Usha Martin (USHAMART)

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Usha Martin Limited
Q2 FY24 Earnings Conference Call Transcript
November 06, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Usha Martin Limited e arnings conference call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you and over to you, sir.
Devrishi Singh: Thank you. Good afternoon, everyone, and thank you for joining us on Usha Martin's Q2 FY24 earnings conference call . We have with us Mr. Rajeev Jhawar – Managing Director of the Company , Mr. Anirban Sanyal – Chief Financial Officer, and Ms. Shreya Jhawar from the Strategy and Growth team of the Company .
We hope all of you had the opportunity to refer to the earnings documents that we had shared with you earlier. We would now like to initiate the call with the opening remarks from the management, following which we will have the forum open for a Q&A sessio n. Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the earnings presentation.
I would now like to invite Mr. Rajeev Jhawar to make his opening remarks. Thank you and over to you, sir.
Rajeev Jhawar: Thank you. Good afternoon, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing quick operational and strategy -related updates on the Company , following which our CFO, Mr. Anirban Sanyal, will run you through the key financial highlights.
I am pleased to report that we have concluded the first half of this fiscal year on a healthy note, making significant progress in our various strategic initiatives. We have two key objectives as a Company . One, enhance our product portfolio to value -added products. Two, increase volume and value through our capex initiatives. Our strategy to enhance our product portfolio has delivered positive results. Comparing figures on a year- on-year basis, our operating EBITDA increased by an impressive 24.8% and our operating EBITDA margins improved by 3.4 percentage points, reaching 18.1% during H1FY24. Moreover, enhanced contributions from International markets with higher realizations have supported our margin improvements.
The share of the wire rope revenue in our consolidated earnings has increased to 69% in H1FY24, reflecting an increase from 66% in H1FY23. International markets

are also playing an important role in our growth story, contributing to 55% of our revenue during H1FY24. While our revenue growth was muted in the first half, largely attributable to subdued performance in the wire and LRPC segments, we maintain a positive outlook for the business expansion in the later half.
Our commitment to value -added industry segments has yielded positive results, with the share of these segments in our consolidated revenue increasing to 50% during H1FY24, up from 44% in FY23. Specifically, within the wire rope category, value - added segments accounted for 70% during H1 FY24, reflecting an increase from 65% in FY23.
I would also like to highlight that despite facing a decline in steel prices during the last quarter, our wire rope realizations have constantly trended upward. This positive trend is especially evident in our value -added wire rope products, which require significant engineering know -how and technical expertise. These products are enabling us to mitigate the inherent vol

atility in raw materials prices.
Additionally, we made considerable progress regarding our capex initiatives. Our Phase I expansion in Ranchi remains on track and it is expected to become operational in the coming months. We would start to see the benefits of that in subsequent quarters.
As a Specialty Wire Rope Solutions provider with a substantial presence in International markets, we are closely monitoring the evolving macroeconomic landscape, including current geopolitical issues. Today, we firmly believe that Usha Martin is well- equipped to identify and

navigate global business challenges that may
arise.

In conclusion, I would like to emphasize that our commitment to the strategic initiatives at Usha Martin remains strong and we are confident that these efforts will yield positive results, driving growth for the Company .

With this, I would like to hand over to Mr. Anirban Sanyal, our CFO, who will present the operational and financial highlights for the quarter and half year ended 30th September 2023. Thank you.

Anirban Sanyal: Thank you and a very good afternoon to everyone. I will now provide a brief overview of the Company 's operating and financial performance for the quarter and half year ending September 30, 2023.

The consolidated net revenue from operations stood at INR 784.7 crore in Q2 of FY24 as against INR 820.2 crore in Q2 of FY23. As the MD mentioned earlier, the 4.3% year -on-year decline in revenue was due to lower contributions from both the wire and the LRPC segments. However, as we assess the current situation, we maintain our confidence in improving our revenue trajectory for the second half of the year. Our revenue performance during the quarter was supported by an increased realization in the wire rope segment.

Our operating EBITDA for the quarter registered a healthy 25.5% rise on a year- on-year basis at INR 144.3 crore. Moreover, the operating EBITDA per ton also demonstrated a 35.8% year- on-year improvement at INR 31,178. The operating EBITDA margin of Q2 FY24 rose to 18.4% from 14% in Q2 of FY22. Our net profit for

the quarter stood at INR 109.5 crore registering an increase of 38.7% from INR 79 crore in Q2 of FY23.

On a half -year basis, net revenues from operations stood at INR 1,599.1 crore compared to INR 1,578.9 crore in H1 of FY23. During this period, we witnessed positive improvements in our value -added offerings, notably in the wire rope segment, along with a healthy traction in various industry segments such as mining, oil and offshore, fishing, elevat or and crane. Operating EBITDA stood at INR 290 crore for H1 of FY24 as against INR 232.4 crore in H1 of FY23. Profit after tax for H1 of FY24 stood at INR 210.3 crore registering a 30.4% year -on-year increase.

Our balance sheet position remain s strong, with our Net D ebt-to-Equity improving to 0.06x in September 2023. The modest rise in absolute net debt is a result of our ongoing investments and the allocation of funds for dividend disbursement.

With regards to our working capital cycle, we have strategically augmented our inventory levels during this period, preparing for the projected upswing in demand anticipated from new customers we have developed through our European operations. With our European operations now closely linked with Ranchi factory for supply of wire and strand raw materials, it becomes essential to have the inventory in stock to meet customers' requirements and delivery times.

Further, our cash flow generations have improved significantly year- on-year. The cash flow from operations before income tax for H1 of FY24 stands at INR 310.5 crore and at a 107% of operating EBITDA compared to INR 95.6 crore during H1 of FY23 and at 41% of operating EBITDA. Robust cash flows along with adequate headroom on working capital lines will continue to support our planned capital allocations.

In conclusion, I would like to say that overall things are moving in the right direction and Usha Martin remains optimistic that its business strategies and initiatives will play a pivotal role in further strengthening its leadership position. We expect that favourable industry dynamics coupled with Usha Martin's inherent strengths will enable the Company to deliver consistent performance going forward.

This brings me to the end of my address. I would now request the moderator to open the line for the question -and-answer session. Thank you.

Moderator: Our first question is from the line of Aman Sonthalia from AK Securities.

Aman Sonthalia: What would be the impact of the slowdown in Europe? Is it possible for the Company to grow at the rate 15% in volume term over the next two years, three years?

Shreya Jhawar: So, on Europe, I would just like to say that we did see slight slowdown in specifically the services part of the business in Europe in EMM and De Ruiter compared to last year. But we do think that with a healthy order book in our Brunton Shaw, UK factory, we do have a positive outlook for especially the higher value ropes for the second half of the year. And your second question was on overall volume , is that correct?

Aman Sonthalia : Yes.

Shreya Jhawar: So, volume is obviously a very important factor, but not the only factor. As we mentioned, with the capex coming in, the volume s should improve. But we will have to continuously balance between the volume and the value aspects to see what would help us achieve our bottom -line profitability targets as well.

Aman Sonthalia : In Europe there are a lot of small rope manufacturers which are not in a very good shape. So s ince our Company has a very good cash flow and it already has a presence in Europe, are we looking for any acquisition in the European market?

Rajeev Jhawar: Right now, Europe is going through a recession and many companies are going through a difficult period. I think there are big opportunities for us with our current setup to gain market share between our integration with Usha Martin India, as well as Brunton Shaw, as well as from Usha Siam and Brunton Shaw. W e have made major breakthroughs and progress with quite a large number of customers and the distribution network over there. And I feel that is something which we would like to really ensure that we successfully develop this model and build a good brand for entire Usha Martin and Brunton Shaw. And I think that is our first priority. Going forward, if there are opportunities whic h would come, we would be open to have a look at those.

Aman Sonthalia : Since the US economy is doing very well, and we already have presence in the US market ; so how much growth we are expecting and how big the US market would be for Usha Martin in the next two years -three years?

Shreya Jhawar: So, the US market is definitely a very important market for us. In the first half of the year itself, we saw good growth in the US, especially on three key value -added segments that we were targeting. One is the elevator rope , for which we did see an increase of over 50% in volumes compared to first half of last year. In crane ropes as well, we were able to double our volumes. And then finally, mining ropes for which we have had initial trials that have been good. And because of those trials being successful, we have secured a long -term contract with a big customer. That should help us get consistent volumes and value over the next three years. For mining ropes, again, it is not just the US, but it is also Canada and Latin America as well, including Brazil, Chile, Peru, which are very important. And other than these three segments, we are also looking forward to grow the market in Swage rope s as well as Gondola ropes, which are critical applications and, again, high value pr

oducts. So going forward that is something which is a focus for us. That being said, I would just also say that for the General Purpose rope market, which is usually a lower- value product but a high -volume product ; typically, right now we are seeing some competition in the US market particularly and also some pricing pressure from other Asian manufacturers. So, while we are seeing continuous growth in the high -value products there might be some impact of that, but overall, a positive outlook for the US.

Aman Sonthalia : Saudi market is really a very exciting market. So , is the Company seriously looking at this Saudi Arabian market?

Shreya Jhawar: Yes, definitely. So, like you mentioned, Saudi is a growing market and we do plan to increase our presence in this market, for sure. I t will become a focus market for us, especially for, I would say, oil and gas, ports as well as crane ropes. And to that effect, the activities to tap into this are already well underway, and you would hear more about that going forward.

Moderator: Our next question is from the line of Gunjan Kabra from Niveshaay.

Gunjan Kabra: My first question is just a follow -up to the last question ; - you mentioned that Europe is not doing well but the order book is very strong. So , are we gaining market share from other players, or the other players are operating at low- capacity utilization? Or are we having any competitive edge in terms of costs ? So why is it that the market is not doing well, but we still have a strong order book?

Rajeev Jhawar: Yes, we have a strong order book. T he efforts which were put in with the integration between Brunton Shaw and our Usha Martin India operations, we had made some good breakthroughs in second half of last year. T hose contracts have been well supplied and we have now got repeat orders . We are also getting more -and-more references to get more orders from other such similar customers. This is helping us to have a strong, healthy order book, because these are long -term delivery, because there are l ogistics issues between supply from India, UK, and to the customers. And these are all specialized, mostly all specialized ro pes. So that is something which is helping.

Now, to answer your second question, of course, it's a competitive market and we are competing with the Europeans and the Americans to get market share. We have some cost advantage. But I think it is more about how you are able to place your product and your brand and along with our Global Development Center, which is our R&D setup over there , together , to help us get these orders. Our few successful supplies which we have made have been well appreciated by our customers and this is helping us to get to bigger share of the pie from the European market.

Gunjan Kabra: The capex plan, the Phase 1 was expected to start in Q3. So , is that on time, how is it?

Rajeev Jhawar: The Usha Mart in Ranchi plant, in which we have put in a major part of the Phase 1 of the capex is a brownfield expansion of our Ranchi plant. So , this is a combination of adding additional manufacturing equipments, both in wire drawing, stranding , closing, and also increasing our patenting facilities to enhance the volume. While most of the equipments are almost in the final stages of commissioning, one important furnace which will help us to increase the volume s is getting commissioned in January. So, I would say that we will be able to complete all of it and start getting the benefits of that from quarter 4. Some we may get in quarter 3, but majority of that we start getting in quarter 4 once the entire thing is getting implemented.

Gunjan Kabra: Also, I wanted to understand that in this quarter the volumes if I compare it quarter-on-quarter i.e with Q1, for wire and wire ropes, it was exactly the same. And in the opening commen

ts, you were guiding a higher realization, but on quarter- on-quarter basis if you see the wire and wire ropes realization s have dropped by 3%, 3.5%. So , what could be the reason for this? A lso, if you can share how the volumes are in outside India and versus the volumes in India?

Anirban Sanyal: Are you talking about quarter- on-quarter developments or year- on-year for the quarter development in terms of volumes and…

Gunjan Kabra: Quarter- on-quarter i.e. for Q1 FY24 and Q2FY24, the volumes have remained the same, which is 23,000, but realization has dropped ; whereas if you see in H1, the prices of steel have increased. So why is that so?

Anirban Sanyal: No, so the prices of steel, don't look at the purchase price. T here is the consumption price and quarter- on-quarter, we have actually got a benefit from the steel prices. W e always have 45 days to 60 days of stock in hand. So therefore, the purchase price is not equivalent to the consumption price. Quarter- on-quarter we had a benefit for about INR 4,000 in the price of steel. T he realization in domestic terms also, we have got an improvement in specifically wire ropes to the tune of around I NR 4,000 to INR 5,000 per ton, quarter -on-quarter.

Gunjan Kabra: Then why ha s the realization decline d quarter- on-quarter by 3%, 3.5%?

Anirban Sanyal: No, so basically, it is the drop in LRPC and wires that has resulted in drop in overall realization s.

Gunjan Kabra: Okay, I thought it is just wire and wire ropes which I was actually calculating. No problem, we can get in touch offline, not an issue. Also, if you can...

Anirban Sanyal: You know, both in terms of volumes and realizations, its LRPC that has taken the biggest decline.

Gunjan Kabra: Is it possible to share the volumes outside India and Indian volumes?

Anirban Sanyal: We can, sure. We' ll do it separately. I mean, we generally put up standalone and console numbers .

Gunjan Kabra: Okay. Also, I wanted to understand about this new capex which we are undertaking and where we are actually trying to cater to in the export market. So are we very confident because Indian markets are doing pretty well right now in terms of capital goods and construction and oil and gas. But in the export markets, in Europe we have a fairly strong order book, but US, Europe, their activity is not that strong compared to the Indian thing. So, are we very confident on ramping -up at full capacity utilization in say, two quarters to three quarters?

Rajeev Jhawar: The demand in India is strong, which is absolutely right and w e are seeing that across because of the investments which is taking place in the infrastructure. So , we already have 65% to 70% market share, but we are maintaining and increasing our volumes in the domestic market based on the overall growth.

But as we had mentioned earlier that our share in the US market was only 2% -3%. Even in Europe, it is around 8% -9%. So , there is an opportunity for us to increase our market share in these markets. So , the new expansion, which we are doing are in two parts. One is, of course, we are increasing the volume s. And secondly, it is also going to help us improve the capability of higher value -added products in the mining, crane, elevator, and all these sectors, where we are reasonably confident of increasing our market share in the International market also. So , we do not see a problem in being

able to ramp up the capacity in three to four quarters, which you wanted to know. It will be possible for us to do that.
Moderator: Our next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: I have a couple of questions. One was that if you look at the turnover growth in the first half, it is 1.3%. And you have guid ed for a 15% k

ind of revenue growth per annum.
So now it looks unrealistic for us to expect that kind of revenue growth in the second half without significantly increasing our LRPC sales, which will be at the cost of margin s. Is that a correct assumption? And the second point to this is how do we read into the margin s in the second half, given that it is 18.4 in the first half with a lower proportion of LRPC sales?
Rajeev Jhawar: In the first question, what you said is absolutely correct. A lthough we got a 1.3% increase, there was almost a 20% to 25% lower sales in our LRPC and wire segment. We expect t he second half of the year to be better because there is a very strong demand coming from the infrastructure projects in India which w as affected during the mosoon period, particularly the segments in which we were selling our products. So, we expect the second half of the year to have an increase in both LRPC and wire sales.
And, of course, the blended margin is definitely going to be impacted because as we had mentioned earlier, we operate in three segments, - the wire rope segment, the LRPC segment, and the wire segment. So , these are the three segments in which we operate. Naturally, if the volume and the value of the wire and LRPC, which is at the lower -end has come down ; although it has impacted the revenue, we have been able to get a better margin because the wire rope gives us a better margin. So , what we would suggest and the way we look at it is the absolute profitability. I think the focus on wire rope would continue and that is something which we feel should be better in the second half . And with the projects getting commissioned, the volumes and the higher v alue -added products keep on increasing on the wire rope segment. I n the next three quarters the LRPC and the wire segment , I feel that it should com e back to its normalized level. T hat is something which is going to help us get a higher topline, but it is going to have a blended EBITDA margin. But again, at the cost of repetition, we would focus to get a higher overall PBT in the Company and that is possible by utilizing all our assets to its fullest possible extent.
Rajesh Majumdar: In this connection, I have another question. Is the return on capital on LRPC , wires as lucrative as the wire rope business ? Because the margins are something but basically for a businessman, the main thing is the return on the capital employed. So, is that comparable across all the three businesses?
Rajeev Jhawar: No, it would be much lower. While we do about 23% ROC E, the ROC E in Rope is much higher compared to the LRPC and wire which would be significantly lesser.
Rajesh Majumdar: My second question is on the value addition from Ranchi. Y ou have guided a 18% kind of margin and we are already at somewhere above 18% or maybe around 18% considering a drop in the second half. So , is it safe to assume that post the Ranchi expansion in full swing, say after a year or so, we can look at a slightly higher margin trajectory for our wire rope business?
Rajeev Jhawar: Yes of course . We expect th at because the new capacity expansion is not only helping us increase the volumes but it is also focused into a more higher segment of wire ropes on which we plan to increase our volumes. So , I am sure that is going to help us improve our margins.
Moderator: Our next question is from the line of Saket Kapoor from Kapoor and Co mpany .

Saket Kapoor: So when we look at your employee cost as a percentage of sales, what should be the number currently , I think it is closer to 13% . On a consolidated topline of INR 785 crore, the employee cost is around INR 105 crore. So , what should it look like going ahead? Any reason why the numbers are so high?
Rajeev Jhawar: You see, this includes all our International operations and India operations

on a
consolidated basis. We operate in different parts, even in developed countries where the manpower cost s are higher. The way we are planning to expand our volumes in
the International market is that there would be a marginal increase in our cost s, particularly on the sales force, but the basic overheads would remain the same. I

would say that going forward with the commissioning of the new capacity and increased activity of business in our Brunton Show and all, the percentage of sales will be around 13%. So going forward, the percentage should come down by at least 1% to 1.5%.
Saket Kapoor: As you articulated regarding the capex initiative at Ranchi, the entire capital, which is work in progress, the amount is around INR 210 crore. So , what will get capitalized by the end of this year? And where is this money being deployed to? Is it e ntirely to the Ranchi capex , if you could just provide the breakups?
Anirban Sanyal: In the first half of the year, we spent about INR 136 crore in capex, out of which on the various programs that are ongoing, it is about Rs. 90 crore during the first half. And we expect that by Q4, the Phase 1 of the capex should be entirely capitalized, which would be in the range of INR 300 to INR 310 crore, but by end of Q4.
Saket Kapoor: So this entire amount is spent for the Ranchi facility only, the closing balance of INR 210 crore also and the one which will be spent across till Q1 of next year?
Anirban Sanyal: No, so don't look at the closing balance, closing balance includes a lot of other capex also. You will have the SAP projects ongoing, other digitization projects ongoing. But I am just giving you from a spend perspective, that almost of the total capex till date, we have spent almost INR 230 odd crore, and we will complete the balance spen d by the end of the year related to the program . And this will be capitalized somewhere between INR 300 crore to INR 310 crore by end of Q4.
Saket Kapoor : And that is entirely for the Wave 1 and it is pertaining to the Ranchi facilities. Is t his correct ?
Anirban Sanyal: Yes, so when I am talking about INR 300 crore to INR 310 crore, that is specifically for the Wave 1 as we have guided and that's entirely in Ranchi.
Saket Kapoor: Mr. Jhawar, two years or maybe one year earlier, you ha d spoken in the A GM that you were making some inroads in some very new nascent markets in the export segment, wherein it takes around three to four years to develop the product. And once you get a patent and you are ready with the testing part, then there would be a series of orders flowing. So where are we in terms of the work that we have done and when are we going to start bearing the fruits, whether we have already started or in which stage are we?
Rajeev Jhawar: We started this journey and we started getting some trial orders and also big contracts in the second half of the last financial year. I t takes almost four months to six months because the wires and strands are produced in India and then finally

closed in Europe. These ropes are between 200 tons to 350 tons single reel. So, I am happy to say that all the trial orders and the initial orders we received have all been successfully delivered to our customers. Also, we have got repeat orders from the same customers as well which has helped us to build a reference . We have a decent order book now and the pipeline of inquiries are good, particularly in the oil offshore and wind energy sector, in the European, South American and some of them in the Australian markets. And I expect the benefit of that to start coming significantly in the coming quarters.
Saket Kapoor : So all these will add to the value -added segment?
Rajeev Jhawar: All these are in the value -added segment only.
Saket Kapoor : When we look at the numbers o f standalone and consolidated in your presentation, sorry if I am incorrect, correct me. If you can provide us what goes into consolidation separately, explaining that would be very helpful. A lso, on account of this JV part, the share of profit on JV ; if in these two aspects more insights are provided, it would be more helpful going ahead .
Rajeev Jhawar: Anirban, it would be good if you can share it offline with him. I think, I would just like to add that on the share of profit of our joint venture, we have one such joint venture which is called Joh Pengg Usha. Pengg Usha, which is a joint venture with an Austrian Company which is producing very high -end wires which goes into the auto sector, oil tempered wires which goes into the auto sector. This has done well. We have 40% of the shareholding and 60% is with Joh Pengg. It has got a plant in Ranchi. We joi ntly manage it and it is a profitable business and helped us very well in improving our market share in the specialized wire market. So, this is something I would like to share. Rest, Anirban can share with you offline.
Saket Kapoor: Could you throw some more colour on the order book pipeline and also on what the earlier participant had asked about our revenue growing by 15%. So how is H2 currently looking in terms of the topline part? I think the profitability portion we may match this 18% EBITDA number. So , what should be the ballpark number we should look forward depending upon what you have spoken about the strong pipeline . Also

do we have any order book number which you can share and the executable period on the same?
Rajeev Jhawar: As I mentioned to you that we are in the process of the final stages of implementing the capex in Ranchi, the Phase 1, which is getting completed by Q4. Also, the LRPC and the wire, because of the second half, we expect the volumes to be better compared to what it was in the first half. So overall, I can say that we should be doing better in terms of the bottom line. Of course , the full benefit of that capex will start coming from Q4 and further quarters. I think as a management what we are focusing is how to maximize our profitability till the time the volume s come in. That is something by virtue of looking at how to improve our product mix, how to improve our share of value -added products and services. Till such time our volumes start coming in and we get a benefit of volume and value both. So, I think the next two quarters, while I would say that we would have a higher topline than what we did in the first half, the immediate task is to see that how we improve and get a better profitability out of our operations followed by volumes coming in th e subsequent quarters.

Moderator: Our next question is from the line of Pratim Roy from B&K Securities.
Pratim Roy: I have two questions. Firstly, the net debt has gone up sequentially. On the working capital, how many days raw material inventory that we have currently for Q 3?
Anirban Sanyal: So right now, although you see an increase in net debt, but I would say that if you look at the leverage ratios , they are very much comfortable . The overall increase in net debt has primarily occurred for two reasons. One , there has been a dividend payout during Q2 and also because of the capex spend of almost INR 136 crore during the first half.
In terms of the working capital days, we are at 190 days overall NWC of which almost about 186 days is pertaining to the inventory. It is slightly built up from the FY23 end levels for the simple fact that we are building -up the inventory at the subsidiaries as we anticipate a higher rate of sales in H2 of this year. So, it is sort of planned and we hope that the inventory levels would reduce substantially over the next two quarters.
Rajeev Jhawar: Let me add a point to this . Our debt is still very low despite the INR 76 crore of d

ividend and the capex outlay which is ongoing. Even considering everything, the Company is highly deleveraged . And of course , our focus on managing working
capital and generating free cash flows would make it better going forward.
Pratim Roy: Is there any market share gain that we have observed during the first half of the financial year from the International market?
Rajeev Jhawar: As I mentioned, International markets , of course there are challenges in the European and the American markets in terms of the overall economic situation over there. But the Company has been able to strengthen its position in the specialized
roles in the European and the American market as Shreya mentioned earlier. And we have started getting benefits and we expect that to continue even in the coming quarters.
Moderator: Our next question is from the line of Arjun from Fordham.
Arjun: Sir thanks for releasing such excellent results. And I think you are among the few companies I track, where the management has been so prudent and frugal in their
capital deployment. Given this backdrop post the announced already capex plans, will we have any more capex other than the maintenance capex for the next two
years or three years?
Rajeev Jhawar: We have capex p hase 1 , which is getting completed of INR 310 crore . Also, we have already announced another capex which will be done over a period of next two years of INR 160 crore in India and around INR 60 crore in Thailand. Other than whatever has been announced, we do not have any other capex plans. A s of now, till we complete all these, it would only be routine capex.
Arjun: This is great news because the capex, if I sum it up, would come around like INR 250 crore, INR 300 crore. But we generated around INR 500 crore, INR 600 crore cash flows this year and maybe would generate much more the next year. So , can we safely assume that a major part of these cash flows would come as a dividend to shareholders?

Rajeev Jhawar: You see, we have a dividend policy, which is minimum 25% to 30% of our profits , which is a stated policy. And I am sure if the Company does well, it will reward its shareholders.

Arjun: Because we will be generating around INR 600 crore, INR 700 crore cash flows is what we estimate given the growth rate which you have. So because we do not have a great amount of capex after this, why can not we expect a 40%, 50% kind of a dividend payout?
Rajeev Jhawar: See, we will definitely look at all options depending on finally the cash generation and return. So , this is what is currently stated. I am sure the Board will look at all these options and all these things once we get to those levels of returns.
Arjun: So could we as investors expect that if there is not much of capex plans , a dividend payout of 50%; is that a possibility?
Rajeev Jhawar: Right now, I can only talk about the capex which is what we have committed and that is what we have in plans to do, and balance is routine capex. H opefully, the things will become better. I am sure that all stakeholders, including our shareholders who are very important will definitely benefit out of that.
Arjun: Thanks for that reaffirming statement, sir. A nother question is on your margins, given now in Q4, you will start commissioning on those high margin growth business from Ranchi. W hat kind of margins can we expect after this on an average from the Company ?
Rajeev Jhawar: Yes, as I mentioned, you see margin is also depending on how all our three segments perform. When we look at it internally, while margins of individual businesses are important, but we have the manufacturing capacity for all three products which as I mentioned, the rope, the LRPC and wire were subdued in the last couple of quarters. We expect that to come back. So, when the volume of those will grow, of course,

the overall profitability will grow. The blended margin may come down marginally, but again, with the increase in the higher value -added wire rope , it will go up. So, we hope that we continue at these levels . The margin going forward also depends on the weightage of the three segments, how much we are producing and how much we are selling, because all these three are totally disproportionate in terms of the margins between the wire and LRPC. But we expect it to be at similar levels or growing gradually as we go forward.
Arjun: Yes, because we are getting into high growth margins from Q4, the natural expectation would be that we would be higher from where we are right now?
Rajeev Jhawar: If the volume of wires and LRPC also grows significantly in these quarters, it will help us in overall profitability, but it may have a blended effect on the overall margin s. So, you see it is a very dynamic business. And in LRPC and wire , if the demand , prices are good, we will continue to increase our production and sales of LRPC. It may add a little dampener to our margin s, but it will improve the profitability. But on the other side, our effort to increase the wire rope value -added as well as the volume would continue. So , what it would ultimately determine would also depend on the margin s and volumes of all the three segments . So, we are all working towards absolute profit and hopefully it should improve the margins.

Arjun : So as investors, we are really expecting that you go a little more aggressive, atleast from my point of view, a little more aggressive in your dividend payout. If there's not much of capex, hoping that you will help us with that. Thank you so much.
Moderator: Our next question is from the line of Anant Jain, who is an investor.
Anant Jain: Congratulations on a good set of numbers. My first question is that you have done a remarkable job in wire ropes, moving up the quality curve. We also had similar plans for wires. Where are we on those plans and whe n can we see significant developments in that direction?
Rajeev Jhawar: The wire side of the business, to be honest to you, our focus has been in the last few quarters, more on the wire rope because we saw big opportunities and particularly through our integration. We have identified quite a few areas on wires, a lot of which is awaiting the new patenting capacities, which are getting added. One of them has just been upgraded and the other one is expected to get commissioned in January. So, then we will see the volume of wires going up. So, our focus is still there, but I would say that it would start happening from next year because all the attention and capacity was primarily first given for increasing the rope products.
Anant Jain: So even this new increase in wire capacity that we will be looking for going ahead, maybe in Q4 or Q1 of next year, do we expect them to be at a reasonably higher margin than the current wires that we are doing?
Rajeev Jhawar: Yes, of course, because all those will be through the patenting route, which generally helps you get a better margin than just pure straight wire.
Anant Jain: On the volume side, in this quarter, was it because that we wanted to have a higher

volume of wire ropes and that is the reason that we had lower volume s of LRPC or it is because that, we did not have orders for LRPC that our volumes went down?

Rajeev Jhawar: You see the wire rope and LRPC making capacities are completely independent of each other. So , there was no loss of LRPC because of the focus on rope. So, that is because they are two independent plants within a plant. The LRPC, the orders and the markets where we were operating were definitely affected in the monsoon period. We are seeing an upper traction from November onwards, partly in October, but November onwards , the order book is also gettin

g better. So hopefully the LRPC volumes, we will see better in Q3 and of course, should do well in Q4.

Anant Jain: And how about plasticated LRPC , how is that doing? That's a very specialized product that we have.

Rajeev Jhawar: Plasticated LRPC, I am happy to say that the products which we have supplied have been accepted well by the customers. These are all project based. Some of the projects where LRPC plasticated, we have supplied, both in India and we have done some Internationally also which have been well accepted. The initial test results have been good. We have got a decent order book, but in this quarter, we must have sold, if I am not mistaken close to about 500 tons in total. We could have done more, but those projects were affected because of the heavy monsoon in that area and, particularly in Bihar and parts of N orthern India. But this is an important product for us and we expect the volumes to be growing towards 400 tons, 500 tons a month in the coming months.

Moderator: Our last question for the question -and-answer session is from the line of Vivek Chaturvedi, who is an investor.

Vivek Chaturvedi: I just wanted to check, what is your broad expectation in terms of H2 on wire rope and LRPC volumes? Would you be able to share that?

Rajeev Jhawar: I can only tell you that we are all pushing hard to do better. H2 will be better than the first half in the LRPC as well because now the monsoon season is over. We expect the volumes to be higher in the second half of the year for both the wire rope and on the LRPC. I can only say at the moment that we should do better.

Vivek Chaturvedi: And the EBITDA would also be broadly similar to H1 levels? EBITDA per ton?

Shreya Jhawar: As mentioned before, the EBITDA margins would really depend on the product mix. With regard to absolute numbers, the endeavour would be to continue to grow, but at this point, we would not be able to give any specific numbers around that.

Moderator: That was the last question of our question -and- answer session. I would now like to hand the conference over to the management for closing comments.

Rajeev Jhawar: Thank you. I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification, or would you like to know more about the Company , please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter. Thank you.

Moderator: Thank you. On behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Usha Martin Limited
Q3 FY24 Earnings Conference Call Transcript
February 07, 2024

Moderator: Ladies and gentlemen, good day and welcome to the e arnings conference c all of Usha Martin Limited. As a reminder, all participant lines will be in the listen -only mode.
There will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Devrishi Singh of CDR India. Thank you and over to you, sir.
Devrishi Singh: Thank you. Good afternoon, everyone and thank you for joining us on Usha Martin's Q3 FY24 earnings conference c all. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Anirban Sanyal – Chief Financial Officer and Ms. Shreya Jhawar from the Strategy and Growth t eam of the Company.
We hope all of you have had the opportunity to refer to the earnings documents that we shared with you earlier. We would now like to initiate the call with the o pening remarks from the m anagement following which we will have the forum open for a question -and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the earnings presentation.
I would now like to invite Mr. Rajeev Jhawar to make his o pening remarks. Thank you and over to you, sir.
Rajeev Jhawar: Good afternoon, everyone. On behalf of the m anagement team of Usha Martin, I would like to welcome you all to our earnings conference c all. I will begin by sharing quick operational and s trategy -related updates of the Company, following which our CFO, Mr. Anirban Sanyal, will run you through the key f inancial highlights .
I am pleased to report that over the first nine months of the year, we have made healthy progress on our strategic growth initiatives. These include – 1) Continuous enhancement of our product portfolio with a focus on value -added offerings and 2) Strengthening our capabilities through planned capex initiatives.
During recent quarters, there have been pricing pressures in our wire and strands and LRPC segments, which has had an impact on the revenue performance. Despite that, we have shown resilience managing to maintain stable topline performance on the back of strong support from our core wire rope segment.
The contribution of wire rope segment to our consolidated revenue has increased to 70% in 9M FY24, up from 67% in FY23. Simultaneously, the share of value -added industry segment in our consolidated revenue, registered growth , reaching 49%, up from 44% in FY23. It's worth highlighting that within the wire rope category, the

contribution of value -added segment increased to 70% in 9M FY24, up from 65% in FY23. Additionally, during the same period, revenue from I nternational markets constituted 55% of our total revenue.
Despite the volatility in steel prices, our wire rope realizations have consistently shown an upward trend. This positive trajectory is particularly noticeable in our value -added wire rope products, which demand substantial engineering expertise. This has helped improve our profitability with our operating EBITDA and PAT registering a healthy growth of 23.7% and 27.9% respectively.
In this financial year, our focus was on value. From next year, we will do value -led volume growth. So, looking ahead, our first wave of capital expenditure, i.e Phase 1 expansion in Ranchi is set to be completed in Q4. This phase includes the increase of capacities for high -end value -added products such as crane ropes, compacted ropes, plasticated ropes, oil and offsho

re ropes. Furthermore, our capex initiatives include the modernization of existing production facilities aimed at enhancing our infrastructu re. We believe that these investments will further strengthen our position as a leading global player in the wire rope sector.
I would also like to take this opportunity to give updates regarding a few important growth initiatives taken by us . Number 1: We have set up a step -down subsidiary Company in Saudi Arabia through our Dubai subsidiary, Brunton Wire Ropes to target the growing Saudi market. Number 2: Our Thailand subsidiary, Usha Siam recently acquired the remaining 50% stake in Tesac Usha. Previously, it was a 50:50 JV with Tesac Wire Rope of Japan. We will use

this facility for the manufacture of high value elevator ropes . Number 3: We are planning to enter the s ynthetic slings market through our UK plant, Brunton Shaw UK. This will be our first foray into the synthetics space.
In addition, Usha Martin is actively pursuing various internal initiatives that will continue to contribute positively to its operational and financial performance.
• Firstly, the successful integration of our I nternational businesses with the Indian operations is encouraging growth synergies and creating a more integrated and collaborative approach across our global and local team s.
• Secondly, to support our constant commitment to strategic growth, we have established cross -functional groups for our key growth segments, such as mining, elevator, ■shing and structural maximizing our impact in these critical areas.
• Furthermore, our dedication to a one -stop shop approach , with an intensi■ed focus on services , is actively contributing to an overall enhancement in customer satisfaction.
Going forward, we are con■dent that our efforts in this initiative will help position us as the comprehensive solution provider in the wire rope sector. Lastly, the continuous strengthening of our I nternational teams and organizational structure is equipping us to effectively meet the unique demands of a diverse market.
In conclusion , I want to highlight that presently , our Company is dedicated to its strategic initiatives and leveraging its fundamental strength s in the face of the global market environment. We are confident that our sustained efforts will yield positive results , playing an important role in driving sustainable growth for Usha Martin.

With this, I would like to hand over to Mr. Anirban Sanyal, our CFO, who will present the operational and financial highlights for the q uarter and nine months ended 31st December 2023. Thank you.
Anirban Sanyal: Thank you, and a very good afternoon to everyone. I will now provide a b rief overview of the Company' s operating and f inancial performance for the q uarter and nine months -ended 31st December 2023.
The consolidated net revenue from operations stood at Rs. 797.1 crore in Q3 of FY24 as against Rs. 833.6 crore in Q3 of FY23. This 4.4% year -on-year dip was primarily owing to reduced contributions from both the wire and strand and LRPC segments .
Notably, our wire rope segment sustained steady revenues despite registering a year-on-year reduction in its sales volumes. This segment's increased realization played an important role in supporting our overall revenue performance during the quarter.
Our operating EBITDA for the quarter showcased a healthy 23.7% rise on a year- on-year basis, reaching Rs. 157.1 crore. Additionally, the operating EBITDA per ton demonstrated a notable 33.3% year- on-year improvement at Rs. 34,000. The Q3 FY24 operating EBITDA margin rose to 19.7%, up from 15.2% in Q3 of FY23. The Company' s sustained emphasis on value -added products and its expanding global presence played an important role in enhancing our overall margin position. Our net profit for the quarter stood at Rs. 107.5

crore, registering an increase of 27.9% from Rs. 84.1 crore in Q3 of FY23.
On a nine -month basis, net revenues from operations stood at Rs. 2,396.2 crore compared to Rs. 2,412.5 crore during nine months of FY23. Operating EBITDA stood at Rs. 447.1 crore in nine months FY24 as against Rs. 359.4 crore in nine months of FY23. Profit after tax for nine months FY24 stood at Rs. 317.8 crore, registering a 29.6% year -on-year increase.
Our balance sheet position continues to be strong with our net debt- to-equity ratio improving to 0.05x as of December 2023. Despite the capex spend of approximately Rs.196 crore in nine months of FY24 and the allocation of funds for dividend disbursement, our net debt remains at comfortable levels .
We have increased our inventory levels to be well prepared for the anticipated increase in demand in the coming quarters, while also considering the challenges posed by global logistics amid the current volatile geopolitical climate. This approach helps us to efficiently meet the requirements of our expanding customer base, particularly new clie nts, ensuring we remain responsive and well prepared in a dynamic market environment.
Coming to our cash flows , there has been a healthy year- on-year improvement in our cash flow generation. The cash flow from operations before income tax for 9M FY24 stands at Rs. 420.3 crore and at 94% of operating EBITDA compared to Rs.214.5 crore during 9MFY23 and at 60% of operating EBITDA. Our robust cash flows coupled with ample headroom on working capital lines will continue in supporting our planned capital allocations.
In conclusion, I would like to emphasize that given the promising demand outlook for

our products and our dominant position within the sector, we are committed to maintaining strong financial discipline. We believe that our thoughtfully planned

business strategies and proactive initiatives will continue to play an important role in
maintaining and further strengthening our leadership position. With favorable industry dynamics and Usha Martin's inherent strengths, we are confident in
achieving sus tainable growth for all our stakeholders.
This brings me to the end of my address. I would now request the moderator to open
the line for the question -and-answer session. Thank you.
Moderator: We will now begin the question -and-answer session. The first question is from the
line of Aman Kumar Sonthalia from AK Securities. Please go ahead.
Aman K. Sonthalia: I have a few questions regarding future outlook of the Company . What is the update
on expansion , and when can we expect the expanded capacity to start contributing to
the Company’s bottom line?
Rajeev Jhawar: As I mentioned, the Phase -I capacity expansion is getting completed within the next
one month . This is a b rownfield expansion at Ranchi which is getting completed and
we expect the volume to start coming in from Q1 of the next financial year. Having
said that, we'll start the ramping up from Q1 , and depending on how the demand picks
up and how we are able to push our volumes, we will definitely see the benefits coming from Q1 of the next financial year.
Aman K. Sonthalia : In the last two years, we have supplied ropes to big -ticket clients in Europe and the
USA. Now, I hope they will be assured of our quality and capabilities. So, can we expect big repeat orders to come from the se big clients?
Shreya Jhawar: Yes. So, we have started getting more business from the premium customers that we
were able to secure in Europe and the US as well. Just to give an example, our Brunton Shaw UK business continue s to see strong growth this year as well and in the current
year we have forecasted it to show growth of 30% compared to what we did last year
at Brunton Shaw UK . And the major growth like you said has come from the
Ocean max, Cran emax brands which are

supplied to the high -end customers like we
mentioned. Other than that, we are also targeting elevator ropes and we have been
successful and now approved with the suppliers of major OEMs in Europe, even within the mining rope segment in the US and also in Europe now we're seeing development especially with our Min emax brand and we have been able to win key contracts. So,
with strong collaboration with all of our European entities along with the global design center and offering customers wi th a one -stop shop solution rather than just supply
of the products, that has helped us develop these relationships with the major customers and helps us continue to gain this business.
Aman K. Sonthalia: My n ext question is regarding high -end wire rope , which is critical and offers low-cost
advantages. However, where does the C ompany score over competitors in the
International market like (inaudible 16:22 min.) and wire rope in terms of quality and
branding?
Rajeev Jhawar: As we mentioned that we have been able to develop through our collaboration and
close working with our I nternational subsidiaries and the parent Company , where we
get the cost advantage of low- cost manufacturing compared to Europeans and
Americans . This is achieved through our integration between the wires and strands
supplied from India and by taking advantage of our manufacturing facility in Europe .
Also, with our design development center in Italy, we are definitely more competitive

and are able to gain market share. So, this is definitely going to happen with this close
integration between the two entities and that is how it is helping us to get a better
market share as well.
Aman K. Sonthalia: When can we expect a contribution from this Saudi Arabia venture , and how ample is
the opportunity ? Are we planning to set up a plant there?
Shreya Jhawar: With regard s to Saudi Arabia, so we have set up this step -down subsidiary through
Brunton Wire Rope and we will provide as part of the entity under the EMM brand, we will provide value -added services there for ropes similar to our other service centers
that we have in Europe right now . Also, we plan to cater to all the value -added
segments, oil and gas, ports, cranes, construction and infrastructure as well. We see
a massive opportunity there and I am sure that there will be demand for general
engineering ropes as well. So, that is something we will also cater to. In terms of
timelines, we do expect to start the operations in Q1. The teams are ready as well as
the equipment has been ordered.

And on the question on the plant setup there ; first it will be a service center like I was mentioning for value addition for rope such as cutting, coiling, socketing, testing and so on. And of course, it will be a stock point for distribution and supply to customers in Saudi Arabia. And our goal is that we want to start this way and eventually we'll get to study the market a little bit better, and we'll get some traction in the market, establish our track record there as well and then consider for the expan sion. But it's early days right now. So, we'll see how things progress first.

Aman K. Sonthalia: The outlook f or LRPC is not looking very bright. I t's a commodity and in LRPC , we neither have pricing power nor le adership . Are we planning to exit this business and put our energy into core wire rope business where we have both pricing power and leadership?

Rajeev Jhawar: You are right that LRPC in the last few quarters has seen the margins coming down considerably . The big competitors having their own steel, have been able to aggressively push volume s in the market with very low margins. Having said that, we are focusing on getting into value -added LRPC, which is galvanized LRPC, plasticated LRPC, PVC coated LRPC. Of course, the quantity and demand is project- based,

and
we have got some good orders. Our products have been well established, but I would say that the ramping up from a demand perspective may take few quarters, but it is definitely going to be one of our focus areas. We would continue to supply the LRPC , though it is adding lower margins but still adding positively to the overall profitability and it's an independent plant. Having said that, we would also look at opportunities that using the wire drawing and patenting facilities, which is part of the LRPC line, h ow we can get into other value -added wires which c an add much better contribution, within the domestic market, exports and even through the Brunton Shaw UK how much we can do that. So, it would be a few difficult quarters with the LRPC overall margins, but I am sure that with these initiatives we should be able to see better margin s from this facility.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: My first question was on the volume growth for next year. If we look at it on a quarterly basis, our wire volume has been between 23,000 to 25,000 MT per quarter for the past

six quarters. So, how do you see the volume growth in the wire rope segment for FY25 once the new capex commences onstream?

Rajeev Jhawar: As I mentioned, the new capex is getting commissioned in Q4 completely. It was a brownfield expansion which require d addition of new machines within the setup as well as upgrading our patenting facilities to increase the volume and a new pickling house. All of that is getting commissioned in this quarter. I would say that next year, we should be able to get at least 15,000 tons of extra volume of ropes coming in. We would definitely aim to go even higher. But, looking at the demand , market and also
taking a little bit time for the se specialty products, it may be plus/minus some quantity. But I would say that at least it would be 15,000 tons more than what we did this year.

Ankit Gupta: And it will be largely for specialized applications like mining, port cranes, etc.,?

Rajeev Jhawar: We would push towards that, and as these markets take some time to develop, it would be a combination of these special products as well as GP ropes through our own distribution facilities where we add value to that. So, it would be a combination of both.

Ankit Gupta: My second question is on the subsidiary performance. If we look at this quarter’s performance by remov ing the standalone figures from the consolidated performance, we have seen a considerable dip in the performance of our subsidiaries for this quarter in both revenue and PAT which have been least compared to the last five quarters. So, what has led to this decline in the performance of the subsidiaries? One request which we had communicated in last concall is to give some brief o n financials in the presentation for each of the subsidiaries , which will be helpful.

Rajeev Jhawar: I think the overall performance has considerably improved compared to the previous quarters. In fact, our EBITDA per ton has been highest in this quarter compared to the last few quarters , showing a constant growth every time. Although our volume has
remained flat, going forward we should be in a position to increase it by 15,000 tons which will definitely increase the revenue in the coming quarters.

As far as subsidiaries are concerned, I think all our International subsidiaries have performed well and have had decent growth. I would say that this is something which would continue to happen. Our International subsidiaries work very closely with the parent Company , and we expect them to continuously contribute to the overall profitability of the business.

Ankit Gupta: By deducting the standalone performance from consolidated performance , the numbers have been showing some decline in both revenue and profitability . It appears that there may have been some transfer pricing adjustments that may have happened in standalone because standalone performance has improved significantly in this quarter. However, consolidated numbers indicate some pressure , particularly in terms of revenue growth and all?

Rajeev Jhawar: We look at the business on a consolidated basis. We don't look at it standalone or the International business separately . This is because this is one business entity and sometimes a particular subsidiary may perform less or more. But I would say that the overall profitability has improved by almost 23% and 30% , if you look at it on a quarter-on-quarter basis . While w e do track the individual businesses, but when we view it as

an integrated business , we look at one consolidated balance sheet rather than break ing it up into individual components.

Ankit Gupta: Last question is on the margin side. We have seen a significant uptick in margins in the quarter, with the EBITDA margin touching almost 20%. So, is it a one -off quarter, or do you think we should continue to maintain 20% kind of margins in FY25 as well?

Rajeev Jhawar: Our endeavor would be to continue maintain ing and grow ing our margins , particularly with the increase in wire rope volumes due to the new capacity expansion, focusing more towards the wire rope side. Also, we even mentioned that we would endeavor to go towards 20% and then gradually increase from there and we are on track. As I mentioned in my address, we have been able to successfully create a value -led growth this year and going forward it will be value -led volume growth. So, we expect the margins to be stable and also hope to get the advantage of higher volumes leading to an overall better performance in the subsequent quarters.

Ankit Gupta: Because in previous calls . you indicated that the margins will remain around 18% to 19% . This time given our performance , you are saying that we can even do 20% -plus kind of margins going forward?

Shreya Jhawar: I mean, like we said that the quarter- on-quarter variations may happen again based on product mix, volumes, various external dynamics. But overall, our focus is to grow the absolute profitability and also to maintain the healthy margins.

Ankit Gupta: The last question is on the Saudi Arabian market. So, how big is this market and what kind of volume s can we expect from this market over the next year or two ?

Rajeev Jhawar: Saudi Arabia is a very growing market. And based on the feedback which we receive through survey s conducted under the new Crown Prince who is taking major initiatives , particularly in new infrastructure and oil and port growth , with infrastructure and a few of large projects have been announced. Currently, we are selling through our Indian operations as well as through our Dubai unit almost about 1,500 to 1,800 tons per annum. Having our own set up over there, with our own marketing team , combined with the growth opportunities, we expect to grow reasonably w ell in the coming quarters.

Moderator: The next question is from the line of Kunal Kothari from Centrum Broking. Please go ahead.

Kunal Kothari: As you mentioned that there was a dip in the realization on the LRPC segment while our wire rope segment is doing well. So, I would like to understand from you what variables we can track properly to understand the changing business environment for the products we are in. T o get a fair understanding of whether the coming quarter will be better or if the coming year will be a bit softer because of certain change s in dynamics, what exactly can help us to understand the business dynamics of our business better?

Rajeev Jhawar: The prime driver is always going to be the growth in the wire rope business because that's our core business. The LRPC lower margins have already been factored . I would say in the last three or four quarters, the LRPC margins have been subdued, the prices have been subdued, and I have said that this is because of the increased volumes by the steel -backed manufacturers. Having said that, going forward, I would say that our

profitability would be driven by the wire rope part of the business and how much we are able to convert the LRPC into plasticated LRPC, galvanized LRPC and also looking at other types of LRPC where higher tensile products can be provided, particularly in

the export market. So, those are definitely going to improve overall the profitability coming from the LRPC sector.
And I would say that going forward , the growth is going to be from the wire rope side where the new capacity expansion is going to give us increased volume of at least 15,000 tons in the next financial year once the capex is completed. So, that is also going to help the value -led volume growth, with a continued focus on the specialty wire rope business, and of course with the new initiatives which we have talked about in Saudi Arabia and also expanding our integration with our I nternational subsidiaries.
So, I would say this is the way we would continue to improve our financial performance going ahead . And in a way, we are insulating or hedging our business and not depending on the LRPC business, which could have a good quarter, a good year depending on the overall demand and supply or could even be subdued. So, I think it has already been factored in our performance in the last two or three quarters.
Kunal Kothari : Let me frame my question in a better way. Currently , we are doing nearly 20% of margin. What variables or factors could have an impact and cause our margins fall to say, 15% or 17% or what factors could take it to 25% margin? Can you help me to understand it in a simpler way that these are the factors that is important for the Company?
Rajeev Jhawar: You see, as far as again , to be very specific to you, this 20% , what we have been able to achieve, going from 15% to 20% , is by continuously focusing on the wire rope business and improving the product mix and going into more value -added businesses, including integrating with our I nternational businesses which deal with absolutely high -end customers, and which fetch us a much higher realization. So, based on this, we have been able to achieve this 20%, and this is after factoring the fall in margins in the LRPC.
Going forward, I would say that if you really see with these margins of LRPC, can we maintain this 20% margin, I will say yes, it is possible to do it based on the work which has already been done and it is reflecting in our margins. Going forward, if LRPC gives
us better margin through the galvanized or plasticated, it is also going to contribute a little bit to the bottom line. Going forward , getting to 25%, I would say that it is going to take a while, and with all the various initiatives, I am sure that the Company would continue to focus on the journey of value addition as well as the increased volumes and hopefully we should do even better going forward.
Kunal Kothari: We are doing a capex right now. So, at present, what is our overall capacity segment-wise ? And after completion of the capex, including Phase -II and Phase -III, how much capacity will be added?

Rajeev Jhawar: In Phase -I and Phase -II together, we are adding between 45,000 to 50,000 tons of capacity increase. Phase -I will get us to almost about 30,000, 35,000 tons of capacity increase. But having said that, it is going to take a while to build the market and establish the quantities in the market, and Phase -II would add between 10,000 and 15,000 tons. So, altogether about 50,000 t

ons is going to be added in Phase -I and Phase -II. This is going to be a combination of wire ropes and wire, and some plasticated LRPC also.
Kunal Kothari: So, this entire capex is in the value -added product, am I right?
Rajeev Jhawar: It is in the wire rope category, which means it is going to be a combination of GP ropes, crane ropes, plasticated ropes, fishing ropes, all the different categories of wire ropes. It would be a combination of different varieties of wire ropes.
Kunal Kothari : So, if we assume that we achieve the full utilization level post- capex capacity in the next three to four years, what kind of margins can we expect at that point in time? Can you provide insight into the trend , such as if we achieve a certain utilization level, our fixed cost s will come down and with the higher contributions from value -added product s and the wire segment, will lead to further improvement in the margin s over the next three to four years?
Rajeev Jhawar: We hope so. Let's see. It has been a journey from 15% to 20% and we would continue to focus o n our journey to further build our value -added products and services, more focused on wire ropes. So, I would not like to make any statement as to how, but I think definitely, with the various initiatives and more focus on wire ropes and value -added services, we would definitely move in the direction of maintaining it and growing it steadily.

Moderator: The next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.
Gunjan Kabra: My first question is I wanted to understand how is the competitive scenario in the Middle East region, the Saudi region as well, considering lot of expansions are happening in that region as well and we're trying to gain market share, so what is the kind of competitive scenario with respect to the other countries and their local companies as well?
Rajeev Jhawar: Our Brunton Wire which is our subsidiary in Dubai is the only wire rope producer in the GCC, in the entire Gulf region. And that has been there for quite some time. W ith our local presence, we have a significant advantage of being local and being able to supply. Even the Saudi Arabian market, which is within the part of the GCC is encouraging local producers and local service providers to come by making investments . They are also having various policies which encourage the locals to come and have an opportunity to gain market share . They are giv ing various formulas where you are having local presence with local investments and local people to be able to get to higher market share with their important customers. So, being the only producer, I would say that should give us an advantage being present in that market. Having said that, being such an important growth market, the whole world, whether it's the Koreans, the Chinese, the Europeans, everybody is looking at this as an opportune market to come in. So, the competition will be there. Having been present in this region from before, will only help us to get a better positioning in that market.

Gunjan Kabra: The margin profile also in the Middle East, is it the same as the US or the Europe market or it's maybe slightly lower or how is it?
Rajeev Jhawar: It's pretty much similar in terms of the value -added products lik e crane ropes, mining ropes, elevator ropes . These are fairly similar to what is there in Europe and US. W hen it comes to GP ropes, it's a competitive market and we all need to compete. I would say it is pretty much similar to the I nternational markets where everyone competes in every market together, so it's pretty similar, I would say.
Shreya Jhawar: Just to add to that, in the Middle East, in terms of the GP ropes, there has been some pressure and more competition coming in. So, our strategy has been two -fold again over there. One is we've added value -

added services there. So, rigging services as of last year in our Dubai plant, so that has helped us get closer to the customer and get higher margins in that sense. And secondly, again, our share of GP ropes has decreased and our share of crane ropes and oil and offshore ropes, which are higher value, that has increased. So, if I compare in FY23, GP ropes was maybe around 48% to 50% of the volume which is now 36% for us in these nine months. And at the same time, the crane and oil and offshore, which was about 47%, is now about 60%. So, with the competitive dynamics at play right now and some pressure on GP, this two -fold strategy has really helped us do really well in our Middle East subsidiary.
Gunjan Kabra: In the European and the US market, last quarter we discuss ed a slight slowdown in the European market, but Usha Martin 's order book was very strong. Currently, I guess the metal market in the European nation s is a little slow. So, how we are panning out there right now?
Rajeev Jhawar: The overall Europe market , especially the GP Rope segment is slow. Basically, the general infrastructure growth in the European markets are definitely slow because of the high inflation and lower capex spend. But when it comes to the se special ropes , particularly for the big projects , we have been able to successfully build through the Brunton Shaw network . So be it the ropes for fishing, big oil projects, big ropes and the big projects which we have been able to successfully develop, those continue to have the strong market, particularly in the oil offshore, fishing . These sectors continue to show good growth, and we are getting good traction through these products. Having said that, I would say that Europe would overall continue to be a very important market for us . Also with the good order book on these special ropes, we should be able to continue to do well in this market.
Gunjan Kabra: And in the US also, are we supplying only to the mining sector or where is the additional demand coming from, which sector?
Shreya Jhawar: In the US, mining rope, definitely we had done some trial orders and those were successful, and we ’ve got good feedback on the life of the ropes there and we ’re getting repeat orders in mining. O ther than that, we ’ve also seen an increase in the crane , elevator market and also gondola rope market, which again is a high value product. So, in that sense again, compared to GP rope, these high -value products have done better for us in the US market. And from the US we also cater to the South America market, right. So, in South America as well in the mining segment, we ’ve done well in Chile, Peru, in the Colombia region as well. Even in the port segment in South America, we ’ve got some traction and a

good contract there. And then finally, the
fishing rope business as well in Latin America has done pretty well. We 've got in some
trial orders in Ecuador and even Brazil, South Chile. Slowly, slowly, we 're building up

the market. I won't say, it's big orders there. Fishing rope, again, we got trial orders,
we supplied successfully and then hopefully we get repeat orders in that sense. So,
overall, we would say a pretty positive outlook for the Americas region.

Gunjan Kabra: Since this is a b rownfield capex that we 're doing right now, will there be any one -time expenses we will have to incur in Q4 or Q1 for this capacity expansion?

Anirban Sanyal: No, there are no separate one -time costs. What we put up is in the range of the wave - I capex is about Rs. 300 to Rs. 310 crore and that takes care of all the cost that we have estimated.

Moderator: The next question is from the line of Jath in Kaithavalappil from Invest Savvy Portfolio Management. Please go ahead.

Jathin Kaithavalappil : While you have managed the profitability despite momentum in steel prices going

lower, if the steel prices trend were to reverse, does that help your business generate more in EBITDA?

Rajeev Jhawar: No, I think our wire rope business has evolved into a value driven business where we have been able to protect our margins, be it in a downward ste el market or upward steel market. And I think that is something which we have worked hard and build a strong product portfolio backed with service, which would help us to maintain margins in a little volatile market also. And that is a model we would like to work and that is how we have been able to build our relationship with our customers. It is not based on steel price increase or decrease, it 's a value protection which we are able to do. So, having said that…

Jathin Kaithavalappil : Volatility is passed on to the customer.

Rajeev Jhawar: Yes, more or less we have been able to work it in our model where we have insulated our business from going up or down. So, I would not say, when it goes down, we gain profit or when it goes up, we lose. W e have been able to work on the wire rope side.
When it comes to LRPC and wire, it is a pass -through when it goes up or goes down.
It is generally factored into the monthly pricing.

Jathin Kaithavalappil : What is your outlook for profit growth , prices on steel going forward or it 's still volatile for you to take a call, let' s say next one year, what is your sense especially for LRPC business?

Rajeev Jhawar: For LRPC, it 's entirely a pass -through. Whether the steel prices increase or decrease, the LRPC prices within a month remain the same and adjust accordingly . For me to forecast how the steel prices would move in the next one year is difficult. We are no more in the steel business for us to comment on the steel prices.

Jathin Kaithavalappil : And in terms of some guidance on where you see, let 's say steady state operating margin percentage is heading because we' ve seen a concerted effort to move the operating margins up from around 14%, 15%, 16% to close to 18% to 20% now. Do you see any further growth of this going up in steady state or do you think that we mostly reached wherever we would want to be in the long run?

Rajeev Jhawar: This is something which is a constant focus for our management to continuously keep on improving. As we had said that we would gradually keep on pushing our

value -added products and the services , which has helped us to come so far. O ur effort is going to continue further, including the new capex which we are adding in our manufacturing facilities in India, whether it is the value -added LRPC. So, our continuous effort would be to see how we continuously improve our margins, and the efforts, let's see, how far it is able to help us manage it. Hopefully, it should be better.

Jathin Kaithavalappil : But what would be your steady- state target be, while obviously it would be good to go beyond that aspiration, but what would be a target where you would say that it would start getting even with all the things you would be happy with it kind of stabilizing at those levels?

Rajeev Jhawar: These levels are good and let's see. It's difficult. In our business, a lot of things depend on the product mix, which segment is getting you better revenues, how the Saudi Arabian market will pan out , how our other initiatives will come. Our endeavor is to,
try to maintain whatever we have achieved and see that how we can improve on it.
So, even in the journey when it was 15%, I was reluctant to commit because though the initiatives are there, it tak es a while to get you to these levels. I can only say that
our entire management team across the globe is focusing more on value -added products and services, which will enable us to get to that. But it is hard to give a particular number that this is something which we will do. And you should see the track recor

d which we have been able to build. I am sure that our team will continue to further focus to improving it, but not to commit on it at the moment.

Jathin Kaithavalappil : What are the two things you are most looking forward to or excited about in your Company growing and what are the two things that you would say kind of our concern areas to you going forward?

Rajeev Jhawar: Let me tell you on the risk side. I feel we have a large volume of LRPC and we have seen a steady decline of margins. So, that is something which in the overall volume is significant and that is something which is definitely a matter of concern. And I don' t see that improving in the near future based on what the market dynamics I see. That is point number 1.

Point number 2 is the logistics issue i.e the global logistics challenges because of the Red Sea and the Middle East geopolitics, I think two things are going to get affected. One is the transit time to our destination, whether it's in Europe or US, would go up by at least 15 to 20 days or almost 30% more time than what it usually takes. Also, it is going to incur higher freight. Having said that, this is going to be not only for us but for all the Koreans, Chinese, Malaysians, anybody who is supplying into these markets. Our endeavor would be to push the cost increase to the customers, that is one part, and that is something which we had done in the past also during the pandemic when the logistics went haywire. So, this is of course a challenge which has come in the last two, three months. Secondly, it is going to create a situation where there could be increased working capital needs because of the increased transit time in our business. So, that is something in the near future. So, these are the two negati ve worrying things.

On the positive side, the Saudi Arabian market is one of the fastest growing markets in GCC countries as well as probably one of the markets which everybody is looking at growth in the near future. Secondly, our foray into the synthetic slings as part of Brunton Shaw manufacturing plants initiative to get into value -added synthetic slings .

We are investing about £ 4 to 4.5 million or say about $5.5 million, that is something I

am excited about and that is something which is the first foray into synthetics for the Company. Thi s is high -end, and it is complementing our wire rope businesses, where our services industry works on it, and I feel this is something which can really build into a good revenue and profit model in two to three years' time .

Jathin Kaithavalappil : There's no concern on that case, which was mentioned , some ED issue as well as some hearing on 20th which is there, some mention of …

Rajeev Jhawar: These are sub -judice matters and I would rather not comment on those at the moment . But I can tell you, it's not impacting the performance of the C ompany.

Moderator: We have the next question from the line of Sonal Minhas from Pre scient Cap Investment Advisors. Please go ahead.

Sonal Minhas : My first question is regarding the expansion plan that you've summarized. So, two parts to it. First one, by when do we expect the Phase -I and Phase -II roughly broader timelines to be over? And secondly, you mentioned the re's a cumulative capacity we are adding roughly is between 45,000 to 50,000 tons. So, is it fair and simplify to assume that if you're selling roughly 190,000 tons a year, we're adding capacity to build up sales to go up by roughly 25% from here on?

Rajeev Jhawar: To answer your first question, the Phase -I capacity expansion is completing in Q4, that is in the month of February, March this year, and the Phase -II would be in another 18 months from now. Various initiatives of the capex ordering has already been done for the Phase -II. Quite a large portion is from imported equipment. So, that is going to come more t

owards the fourth quarter of this financial year.

Yes, the capacity addition is close to 50,000 tons and our endeavor would be to push these volumes. Since these are all technical products with value -added services, we would start getting the benefits from this from Q1 of this year. However , it is going to take the ramp up , including the marketing and the repeat orders and increasing the market share including the initiatives which we mentioned about Saudi Arabia and also integrating with our other I nternational subsidiaries. We'll take some time, but over all, our endeavor would be to get to these levels of the capacity increase in over the next few quarters.

Sonal Minhas : Is it fair to assume that given that it's a value -added product and we're entering new geographies, let's say we achieve the potential and the capacity, we're looking at maybe utilizing the best of this capacity over the next 36 -odd months roughly basically, that's where we are, if I'm not wrong?

Rajeev Jhawar: We would push it very hard with our I nternational subsidiaries as well as the various initiatives that are there. We also need to understand various economi c trends because 55% of our revenue comes from our I nternational businesses. While markets like Saudi Arabia, Middle East are the growing markets , Europe in certain sectors doing well and in certain sectors is still slow. In Americas there is certain growth, particularly on these specialized products what Shreya mentioned is doing well.

Overall, we expect that we should be able to get to those increased volumes over the next two years and we should be able to fully stabilize the market. What we don 't want to do is push the prices down because that is something which is going to impact the existing margins also. It' s been a tough journey for us to take it to these levels. So, we

would develop these markets, we don't want to go and push and get into the lowest end of the markets and get capacity. We would gradually push it up and make sure that the topline and the bottom line steadily grow with us.

Sonal Minhas : Coming to that point itself, any demand outlook triggers like what you mentioned about the Middle East, any demand outlook triggers which we could talk about let's say India and America by and large, assuming there is an infrastructure push in America, there is some similar push in India, if you could just highlight a little bit about what's real, what's not, what is falling in around your area of expertise, that will be helpful to just understand these markets because sitting here in India, w e don't know how much of that was into the relevant sector for you?

Rajeev Jhawar: India is a very strong market. W e have seen this market growing and we have a 60%, 70% market share in India. So, we will grow with whatever the growth at which India grows. Parvat mala Project is a big project which the G overnment has announced and this project is going to have big rope requirements coming up. So, that is also going to help us. W e are in touch with all the authorities and there is a good potential for projects coming up and all of these projects would require wire ropes. Also, there are big infrastructure projects coming up, big highways, high speed railway projects where there would be good demand f or plasticated and galvanized LRPC. So, I am sure that side of the market should do well. With the overall growth of India, if it doe s at the current level, even with our current market share of 60-70%, we would continue to grow at the same pace in India. It wouldn't be possible to increase the market share. Having said that, Europe, US, our market share, particularly in the US, is very low; we are at only 2% to 3% market share. And with the growth opportunities in the US and the various teams which we have augmented there, I feel the volume growth will come fr

om Europe, US, Saudi Arabia, Middle East and even some parts in Southeast Asia, particularly Vietnam, Indonesia, these will also continue to grow and add volumes and value to our business.

Moderator: Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Rajeev Jhawar: I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions. The C ompany is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification, or would you like to know more about the Company , please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter.

Moderator: On behalf of Usha Martin Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

Usha Martin Limited
Q4 FY 24 Earnings Conference Call Transcript
April 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you and over to you, sir.

Devrishi Singh: Thank you. Good afternoon, everyone, and thank you for joining us on Usha Martin's Q4 and FY24 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company , Mr. Anirban Sanyal – Chief Financial Officer, Mr. Abhijit Paul – Finance controller, and Ms. Shreya Jhawar from the Strategy and Growth team of the Company .

We hope all of you have had the opportunity to refer to the earnings documents that we shared with you earlier. We would now like to initiate the call with the opening remarks from the management, following which we will have the forum open for a question -and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the earnings presentation.

I would now like to invite Mr. Rajeev Jhawar to make his opening remarks. Thank you and over to you, sir.

Rajeev Jhawar: Good afternoon, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on operations and strategy, following which Mr. Anirban Sanyal will run you thr ough the key financial highlights.

I am delighted to share that we have concluded the financial year 2024 on a positive note, supported by our stronger operating cash flows and balance sheet. Our focus on diversifying our product mix with an emphasis on higher -value -added ropes has been ins trumental in driving our performance throughout the year. On a year -on-year basis, we achieved a 16.6% increase in operating EBITDA, driven by a 290-basis point improvement in operating EBITDA margins.

In FY24, the wire rope segment's contribution to our consolidated revenue increased to 71%, up from 67% in FY23. At the same time, the overall share of the value -added industry segment in our consolidated revenue stood at 51%, compared to 44% in FY23. Notably, within the wire rope category, the contribution of the value -added

segment rose to 71% in FY24, up from 65% in FY23. Additionally, revenue from International markets accounted for 55% of our total revenue during the same period. These trends have driven the improvements in our margins.

The past financial year saw progress in our Ranchi facilit y’s Phase -I capex programme. This expansion is primarily focused on increasing capacities of high - value -added products. Commercial operations of these expanded capacities have begun from Q1 this year onwards. We expect to ramp up production at the facility gradually over the next 9 -12 months, which will help to significantly enhance our performance goi ng forward.

Following phase -I capex programme, we are advancing into the next phase of capex with an investment of INR 167 Crore at our Ranchi facility. This phase is expected to be completed within the next 18 -24 months and is funded by internal accruals.

During FY24, the Company also made considerable progress in deepening engagement with major global OEMs and extending its International presence.

Regarding the development of our ex

pansion strategy in Saudi Arabia, which we discussed during the last earnings call, I am pleased to state that our plans are progressing as per schedule. With the establishment of a step -down subsidiary through our Dubai subsidiary Brunton Wire Ropes, we are well -placed to offer value -

added wire rope products and services in this region. As we closely monitor market dynamics and strengthen our presence, we maintain a positive outlook on the growth opportunities in this entire region.
Moving forward, our strategy would largely focus on value -driven volume expansion. With a strong emphasis on our wire rope business, we are committed to maximising the utilisation of our existing resources. We are confident that this approach will continu e to positively contribute to both operational and financial performance.
In conclusion, I would like to emphasise that our commitment to the growth initiatives at Usha Martin remains strong. The Company remains dedicated to meeting the diverse demands of the global market in the wire rope sector. With a promising demand outlook for our products and our strong position within the sector, we are optimistic about further improving our results in the future.
Before I close, I would like to cover some developments on the management side. Our CFO, Mr. Anirban Sanyal, has decided to step down from his position for personal reasons. We sincerely thank him for his valuable contributions over the years and wish him well for the future endeavours. Moving forward, Mr. Abhijit Paul, a dedicated member of our finance team with over 18 years of experience in finance accounts and taxation, will take over as CFO from 1st May 2024.
I would now like to invite Mr. Anirban Sanyal to present the operational and financial highlights for the quarter ended 31st March 2024. Thank you and over to you Anirban.
Anirban Sanyal: Thank you and a very good afternoon to everyone. I will now provide a brief overview of the Company 's operating and financial performance for the quarter and year ended 31st March 2024.

The consolidated net revenue from operations stood at INR 829 crore in Q4 of FY24 as against INR 855.2 crore in Q4 of FY23. This 3.1% year -on-year reduction can be primarily attributed to decreased contributions from both the wire and strand and LRPC segments. However, it is noteworthy that our wire rope segment maintains steady revenues accounting for almost 73 % of total revenues. The sustained performance of this segment played an important role in supporting our overall revenue performance during the quarter.
Our operating EBITDA for the quarter stood at INR 151.5 crore as against INR 154 crore in Q4 of FY 23. Our operating EBITDA per ton stood at INR 31,784. Furthermore, the Q4 FY 24 operating EBITDA margin increased to 18.3% up from 18% in Q4 of FY23. This consistent overall EBITDA margin position can be attributed to the Company 's sustained focus on value -added products and its expanding global presence. Additionally, our net profit for the quarter stood at INR 106.3 crore reflecting a 1% increase from INR 105.3 crore in Q4 of FY 23.
On a full year basis, net revenue from operations amounted to INR 3,225.2 crore compared to INR 3,267.8 crore in FY 23. Notably, the wire rope segment's contribution to total revenues grew to 71% in FY 24 from 67% in FY 23. Moving forward, our strategic focus remains on further increasing our contribution from value -added products while gradually reducing the share of low -value offerings.
International markets continue to play a pivotal role accounting for 55% of our FY 24 consolidated revenues. The Company recognizes International markets as a significant avenue for growth and is committed to further enhancing its penetration in these markets in the future.
Operating EBITDA stood at INR 598.6 crore in FY 24 as against INR 513

.3 crore in
FY23. Profit after tax for FY 24 stood at INR 424.1 crore registering a 21% year -on-year increase.
On the balance sheet front, our net debt as of March 31, 2024 stood at INR 124 crore, a significant improvement from INR 184.8 crore as of March 31, 2023. This improvement is reflected in our net debt -to-equity ratio, which improved to 0.05x as of March 24 compared to 0.09x as of March 2023. Despite the capex spend of approximately INR 278 crore in FY 24 and the allocation of funds for different disbursements, our net debt remains at comfortable levels.
We continue to proactively maintain higher inventory levels considering the complexities of global logistics, particularly amidst the current geopolitical landscape. This approach enables us to adeptly address the needs of our expanding customer base, incl uding new clients in new geographies, thereby reinforcing our agility and readiness in a dynamic market environment.
Coming to our cash flows, we are pleased to report a healthy year -on-year

improvement. The cash flow from operations before income taxes for FY 24 stands at INR 561 crore, representing 94% of operating EBITDA, compared to INR 345 crore during FY 23, accounting for 67% of operating EBITDA. These robust cash flows, combined with ample headroom on working capital lines, will continue to support our planned capital allocations.

In conclusion, I would like to emphasize that overall, with the positive outlook for demand for our products and our strong position in the market, the Company remains committed to maintaining strong financial discipline. Going forward, Usha Martin remains focused on consistently improving its financial performance and well-poised to create more value for all its stakeholders.

This brings me to the end of my address. I would now request the moderator to open the line for the question -and-answer session. Thank you.

Moderator: The first question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: The capex has got delayed by a quarter or so , in the last quarter you had guided a volume growth of around 15,000 tons from the new capex. So is that guidance still good , like will we be able to ramp it up? Also, do we have that kind of a demand visibility , from that perspective . I wanted to understand that are the customers visiting us and we have that kind of order visibility from our new customers as well ? Secondly, what is the tenure of the order visibility that we have right now? For example, for how much period do we have order visibility in this business in general I wanted to understand ?

Rajeev Jhawar: Firstly, yes, the capex just got completed in Q4 and we expect to ramp up the production during the coming quarte r. We are still on line to achieve the 15,000 - 20,000 quantity increase with almost 12% to 15% increase in volume, as we had mentioned earlier. We do expect that to happen gradually in the coming quarters.

To your next question on the order book and the overall demand situation, I would say that this is stable and particularly from all the various actions and the initiatives the Company had taken by developing customers in Europe and different parts of the world. I am happy to say that we have got a good response for all the supplies which we have made, and we expect the order book to continue to support the increased volumes which we are looking at in this year.

Coming to the order book position, generally we have one to two months order, but because 85% of the business comes from the replacement market and through our own distribution and dealer network . This is something which is normal in our business, and we continue to get healthy order booking. For big projects, sometimes for our European, say for example for our Brunton Shaw business, we generally see an order book for six to eight mo

nths for the large projects and I am happy to say that we have a fairly healthy order book on that front as well.

Gunjan Kabra: Secondly, I wanted to understand that on a quarter -on-quarter basis, our EBITDA per ton, I am not talking about the margins, but EBITDA per ton has decreased from 34,000 to 31,000 per ton approximately. So, is that because of the product mix as realizations have been quite steady? So, is it because of the product mix change or why has the EBITDA per ton come down this quarter? Though you have maintained the margins of what you have guided of 18% but just wanted to understand is it because of the product mix?

Rajeev Jhawar: You see, the product mix, it's a very diversified product mix between wire ropes, LRPC and wires and within the wire ropes also between the GP ropes and the special ropes. And as we have mentioned in our previous calls also that we should look at the trend

year -on-year which we have gradually been able to increase from 26,000 to 32,000 odd per ton. And quarter -by-quarter between INR 1,000 to INR 2,000, there could always be a variation because of the product mix or the mix between the various product lines we have. But overall, we hold to our strategy of being closer to the targets what we have been able to achieve, that these are the numbers we feel that we would be able to maintain with an increased volume, we expect the performance to be better.

Gunjan Kabra: Okay. But now, when we are venturing into value -added products, the expansion is entirely into that , plus we are going to cater to the export market. So, as compared

to GP ropes versus the value -added growth and plus the export market, what kind of value growth, from 12% to 15 % is the volume growth is what we are targeting, but what kind of value growth can be achieved, if you can highlight that ?
Also, regarding the cost efficiency that we are taking towards our Indian units supplying wires and strands to the European, to the Brunton Shaw plant. So, what kind of cost efficiency can we see from that side? Plus, the market that we are trying to cater to are value added and export markets , what kind of value growth can we see on that side? I am sure that in export markets, the value is a little higher in terms of realization. So, if you can highlight .
Rajeev Jhawar: As far as margins are concerned, we have, moved gradually from 16% to 18% to close to where we are today, close to around 20%. In a dynamic product mix, and also a dynamic market between GP and special ropes . I would say our endeavour will always be to try and see that we hold on to the margins wh ich we have and gradually definitely keep on improving as the product mix starts getting enriched and the realizations also improve. So, our objective would be, when we were at 16, we said, yes, we will gradually go up to 18. And then we had gradually gone up to 20. It's very difficult to predict that we will go from 20 to 22 or 23, we would rather say let's focus to see that we maintain and gradually go up and focus on trying to see that how we continue to increase our share of the value -added products and gradually ramp up the production by 12% to 15% and get the benefit of both. In this process, depending on the product mix, market , the margins could fluctuate, and our endeavour would always be to keep on increasing.
Coming to your second question , which is the integration with the International business . I am happy to say that is working well. In fact, this integration with India with and our Thailand plant supplying to Brunton Shaw as well as to our Brunton Wire, is helping us to become more competitive because of the cost advantage and because of the group making a profit both at the wire supply end as well as the finished product and we are able to look at the costing in totality. That is helping u

s
to become mor e competitive and being able to establish a more competitive environment to get more orders. And I am happy to say that Brunton Shaw over the last few months has been able to win some large contracts, giving us the order booking for the first time I would say for seven, eight months ahead, which is helping us to plan the wire supplies much in advance from India as well as from our Thailand plant. And to answer your question, definitely because of being totally integrated on this, we are having a cost advantage of $300 to $400 per ton compared to what we were buying from our European sources.
Gunjan Kabra; Thank you so much for answering these questions and good luck to your entire team.

Moderator: Thank you. The next question is from the line of Aman Sonthalia from AK Securities. Please go ahead.
Aman Sonthalia: The revenue growth as well as profitability has muted this quarter when compared to Q4 FY23. What are the reasons for that, sir?
Shreya Jhawar: So firstly, because of certain logistical challenges like we mentioned in the International markets, because of the Red Sea issue, certain orders have been deferred from Q4 because our materials for the UK was stuck in transit and the orders couldn't be billed in the Q4. These are expected to be completed over Q1 and Q2. And as you know, of course, Europe is a high value market for us. So , this timing issue has had a certain impact on the revenue as well as profitability for Q4.
Secondly, in the past quarter, we also had a scheduled capital maintenance for the LRPC equipment for about six weeks or so. That did impact our LRPC production and also impacted our revenues to some extent. And also, there have been, in general over the past few quarters, some pressure on the LRPC realizations as well. So, what we've been doing is reducing our exposure to that segment because we've anticipated this. And now going forward, we want to focus more on plasticated and galvanized LRPC, and those are more profitable as well. And as mentioned that the contribution of these increased volumes from the capex program over the next year hopefully will help drive the improvement in the top line and then translate to the bottom line as well.
Aman Sonthalia Okay. When can the dispatches from the wave -1 expansion start and when it will start showing in the top line and bottom line?
Rajeev Jhawar: As I mentioned, commercial operations of Phase 1 expanded capacities have begun from quarter 1 onwards of this year. We expect gradual ramp up of volumes over the

next 9 to 12 months, which will help us to enhance our top line going forward. However, I would like to caution that we don't want to push our volumes by compromising on price or margins, but rather ramp up gradually and continue to focus on the value -added products. Having said that, as I mentioned, that we expect the volume growth during the year to be between 12% to 15% compared to the previous year.

Aman Sonthalia: As far as my knowledge is concerned, the Rock fall netting wire is a big opportunity in the mountainous terrain to avoid mountain stones from falling? Are we getting in Rock netting wires as well as what is the plan in that business?

Shreya Jhawar: Yes, there is a large market for this globally, like you rightly mentioned. And as part of our next wave of capex, actually the wave 2, we are getting into certain high -value wires, the aluminium zinc wires, which are actually used in this Rock fall barrier protection industry as well. So, we do expect these capacities to go on stream within this financial year itself, and hopefully we will be able to cater to this market, like you rightly mentioned, it is a big opportunity.

Aman Sonthalia: So, it's a high margin product?

Rajeev Jhawar: Yes.

It's within the wire segment, and also there are some strands involved in this. It's, I would say, it's a decent value product.

Aman Sonthalia: Saudi was expected to contribute from Q1 FY25. Has it started contributing, and how big is the opportunity here?

Rajeev Jhawar: As I mentioned in my opening remarks, Saudi is on track, and we have started shipments to Saudi Arabia. From Q1 onwards , we expect the revenues to start coming in from there. We have our management team, our sales team already in place and our warehouse and facilities for rigging is also getting commissioned now. So, we should start getting the benefit from Q1 and gradually we will see the benefit of this coming during the year. It's a growing market within the Middle East. It's a large market compared to the rest of the Middle East and we expect to get a decent share of this market in a year's time. We are excited and we expect good business to start flowing, particularly on the oil sector, some big infrastructure side on the crane and the port sector. We expect good business to come in from there.

Aman Sonthalia: And one important question. In the earlier con call, there was an update that the Compan y is working on synthetic slings. What is the status on synthetic slings ,is there a plan t set up and when it will start contributing to top line and bottom line? And is it confined to Europe or will we get business from other geographies as well?

Shreya Jhawar: Yes. So , to answer the first part, the Company is working on launching the synthetic slings as a complementary product line to the core business. And the manufacturing would happen in our BSUK facility. The equipment has started coming in and we expect to gradually again begin the operations within Q2 of this year. To answer the second part, the target geographies for this at first would be primarily UK and within Europe. And then at a later stage, we would also like to target the Americas region once we are able to build a track record and get some traction in the market. And for all of these different geographies, the key applications for this would be at first in the oil and gas as well as the wind energy sector.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Investment Managers. Please go ahead.

Dhananjai Bagrodia: Congratulations on a good result in this environment. Just wanted to understand, what is the possible asset turns and utilization for the new facility for the expansion in Ra nchi?

Rajeev Jhawar: The asset turn would be, I would say, of the new facility would be close to one and a half to two times of the investment what we have done.

Dhananjai Bagrodia: Okay. And our utilization could be up to what percentage and just to have an idea, would it be same as the previous facility?

Rajeev Jhawar: Yes, because you see, it would be at a similar level.

Dhananjai Bagrodia: So the operating profit per ton, would that increase significantly for the new facility or would margin increase?

Rajeev Jhawar: It would also depend on the product mix what we do. But as I mentioned, our objective would be to maintain the EBITDA margin, which has gradually gone up to close to the current levels of close to 19.5%, 20%. And going forward, as we keep on enriching our pro duct mix, as we look at the competitive environment, let us see how we progress. Hopefully, it should get better, but it is better to gradually ramp it up as the volumes grow. This year, we would be looking at more to see that we work at minimum the se levels, protect the minimum levels which we have been operating and first start building the volumes. And then let us see how we progress, how the new capacities, the new markets we are able to develop and what kind of price we are able to achieve in these markets. Hopefully, we should be able to do better

. That
is what I can say at this stage.
Dhananjai Bagrodia: How is the competitive intensity playing out compared to domestic and International players?
Rajeev Jhawar: See, the competition will always be there in any business, and we need to always try to be better in terms of quality, delivery, service, and be able to be having the product at the right time to the customers. And we focus on that. In domestic market, we have about 60% to 65% of the market share and we hope to continue with that. In terms of the International market, our competition would be mainly with the European and the American manufacturers and the Koreans. And through our global distribution as well as integration with Br unton Shaw and our European brands we are trying to see that how we can gradually get a decent market share from that front.
Shreya Jhawar: Yes. And to that, the competitive intensity, we see a little bit more in the GP rope segment, especially in the U.S. and some part of the Middle East. So , our goal in the Middle East, for example, is to get closer to the customers, go into services, and provide the total solution to customers. So that rigging business that we've been able to do and pivot our business model in places like the Middle East hav e really helped us retain our market share and even grow our market share and fight the competitive intensity in that way.
Dhananjai Bagrodia: Okay, thank you.
Moderator: Thank you. The next question is from the line of Pratik Banthia from Girik Capital. Please go ahead.
Pratik Banthia: What would be the realistic realizations for us in LRPC and wire strand because they've been trending kind of downward. So at what number would that stabilize ? Is that something you could, give me a sense of?
Rajeev Jhawar: The steel prices over last one year o r the wire rod prices have been down by about INR 6,000, which is a direct reflection on the LRPC and the wire prices, which is very sensitive to the steel price fluctuation. And on an average, the LRPC prices have come down to around 63,000 from 71,000 last year. And it all depends on the steel prices. Of course, with more competition coming from other integrated players , the prices are under pressure. We are trying to focus to get to more and more of the plasticated and the galvanized LRPC, which would protect us from that price fall. On the wire front, the prices have also come down from to around INR 80,000 per ton compared to INR 90,000 per ton. So , it's almost a INR 10,000 reduction. The movement is very much in line with the steel prices, I would say.

Dhaval Shah : This is Dhaval here. So , we are at 1,80,000 odd tons for the past year '24. Over the next three -year period, what sort of volumes would you be looking at?
Rajeev Jhawar: I would say that we would look at 12% to 15% growth over the next two to three years based on the various capex initiatives already implemented and underway. We expect this to happen.
Dhaval Shah : Okay, so the data you mentioned in the presentation that which is going live from Q1 FY25. What is that capacity?
Rajeev Jhawar: The Q1 capacity, the total increase is 40,000 tons approximately in the Phase -1 capex expansion. And Phase -2 is around 10,000. And as I mentioned, we will gradually ramp it up during this year. And we should be able to get around 12% to 15% over what we produced last year, what we sold last year.
Dhaval Shah : Okay, and if I understand correctly, given our gradual change in product mix over the past three -year period, the same would continue and that would result in a better EBITDA growth compared to the volume growth.
Rajeev Jhawar: I would say that we would now try to see if we can continue to achieve the EBITDA percentage, what we have been able to achieve and focus to see that we take the advantage of volume. As we develop better produ

cts and a better product mix and
more into the higher value -added products, we will see a gradual improvement on the EBITDA margin. But that our immediate priority this year would be to try and see that we maintain that and get the advantage of the higher volume this year and then see gradually how the margins improve with the better product mix.

Dhaval Shah: Okay, interesting. So this entire expansion would be done with the cash flows, or any other funding requirement would emerge?

Rajeev Jhawar: All will be done with internal accruals. Phase -1 was done with internal accruals. The Phase -2 will be done with internal accruals and with the healthy cash flows which we are expecting, we expect to grow, and we have no plans for taking any debt or any raising of any funds.

Dhaval Shah: Okay, thank you very much.

Moderator: Thank you. The next question is from the line of Kunal Kothari from Centrum Broking. Please go ahead.

Kunal Kothari: You mentioned about the expected volume growth from 15,000 to 20,000 tons in FY25. Will it be coming from wire rope segment only or it will be divided among the three?

Rajeev Jhawar: See it will be a combination of all . Our endeavour would be to try to maximize the rope part, but we need to cater to the demand of all customers. So, it will be a combination of ropes, wires, LRPC, plasticated LRPC. We would like to see that we can improve the asset utilization . The endeavour would be to maximize rope, but others would also be there as a part of the increase.

Kunal Kothari: Okay. In LRPC, can you help us to understand that what will be the realization per ton difference between what is the product range in LRPC that we are selling today and with the new product range that we are coming within in the plasticated and galvanized? Similarly, both on the realization part and the margin front, what change that we can look forward?

Rajeev Jhawar: See , plasticated LRPC is a project -based business with limited volumes in the market. So , it is not that the entire quantity can be converted. We are targeting 300 tons to 500 tons a month in this year depending on how these projects get coming up. So , it is only about 7% to 8% of the LRPC capacity. This is sold at about INR 130,000 - INR 135,000 per ton where we get a contribution of around INR 50,000 -INR 55,000 per ton, but the production capacity also gets reduced because it is a much slower process. On the other side, the normal LRPC is sold at INR 63,000 to INR 64,000 per ton with an average contribution of about INR 8,000 to INR 9,000 per ton. So that is the thing, but almost about 90% is sold as the normal LRPC and only I would say 7% to 10% would get developed into the plasticated LRPC.

Kunal Kothari: Okay, got it. So , one more question that comes to my mind is that the wire capacity that we are having, and the LRPC and wire capacity is much higher. So , like how is the manufacturing process? Is it like one -to-one ratio? So , we are buying wire from the market for the additional production of the LRPC and wire because we are also selling wires in the market. So how is the process ratio from wire to strand to wire rope and LRPC and also do we purchase from the market for the production of the same?

Rajeev Jhawar: No. Our raw material starting is wire rods, whether it is for LRPC, whether it is for wires or ropes. We buy the steel from the integrated steel producers including our erstwhile steel business now run by Tata s. So that is our starting raw material. We do not buy any wires and then we have dedicated LRPC line, which only produces LRPC and then it is the wire and the rope plant which is all within this. So, it is not interchangeable. So LRPC is integrated right from wire rod to finished product. So, it is not that I can reduce LRPC and increase rope or vice -versa. These are independe

nt plants within the same facility. And we do not buy any wires. We are only starting with wire rod which is processed into LRPC or wire rods which is processed into wires or wire rods which is processed into rope. So that is a very well dedic ated plant internally , not interchangeable.

Kunal Kothari: So, does that mean that we have wire capacity near to 1 lakh ton . So, it is totally sellable, or it has been used for the manufacturing of wire rope or LRPC?

Rajeev Jhawar: It is a separate plant. The LRPC is a separate plant. I cannot use the LRPC wire drawing capacity to make ropes. So those can only be dedicated for LRPC. So, it is not that I reduce LRPC, and I can increase wire rope. It is not possible.

Kunal Kothari: Okay. So, sir, our utilization from 1 lakh ton, we are doing nearly 35,000 ton of sales in wire itself. So why is it so that we are selling just 35% of our capacity?

Rajeev Jhawar: We only want to produce the high -end wire products. Earlier, we were part of the steel business where we used to even produce low grades and low margins of wires to evacuate steel. Over the last 3 years our focus has been to focus only on value -added wires, LRPC, plasticated LRPC as it is a dedicated plant and wire ropes. And slowly

we have shed out our low -value -added wires and that is why those facilities are not fully utilized because they do not add really any margin to our business.

Kunal Kothari: Sir, can you give the mix of the high -value -added wire and low -value -added wire mix in our capacity?

Rajeev Jhawar: We don't calculate that way. Mostly, we have migrated to the higher -value -added wires.

Kunal Kothari: Okay. And the utilization will be nearly 70% of that high -value wire capacity?

Rajeev Jhawar: Around that, I would say.

Kunal Kothari: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Paresh Shah from Prernatirth Tradecom LLP. Please go ahead.

Paresh Shah: I have just one question that is regarding disclosures which has been coming under Regulation 29 (2) of SEBI wherein one of the promoter and the group promoter Company Peterhouse Investments has been disclosing shares sold in the market , in that they are writing within bracket that there is a GDR option available to them which can be converted into 5 equity shares at the discretion of the holder. Sir, I would like to understand when this exercise is due, by when it can be exercise d, what will be the price because this can lead to dilution in the equity, and it can impact the ratio. So, can you please elaborate on this GDR stuff that has been done in the past?

Rajeev Jhawar: The GDRs have been issued many years ago and these are the outstanding GDRs. And one GDR can be converted to 5 shares. It can be done at any point of time, and it can be exercised. It is considered as the part of the total share capital of the Company . So, it is at the discretion of the GDR holder when he wants to convert it. There is no specific time frame for that.

Paresh Shah: And currently what is the outstanding GDR we have to oblige for?

Rajeev Jhawar: We need to check and get back to you .

Paresh Shah: Okay, sir. So, I do not know how you will get back to me. So, I would request that you can issue a clarificatory note and put it on the site, so that all other shareholders can also understand what is happening on the GDR front.

Rajeev Jhawar: Sure.

Anirban Sanyal : Just a small clarification. It's already part of the disclosures in the annual report.

Rajeev Jhawar: So, I do not think any further clarification is required since it is already disclosed fully in the shareholders balance sheet, as CFO has mentioned. I do not think any specific clarification. If you need anything, you can write to…

Paresh Shah: Sir, our CFO will know the exact amount of GDR outstanding right now?

Rajeev Jhawar: It is already available in our balance sheet. So, it is already in our balance sheet.

Anirban Sanyal: Yes, correct.

Paresh Shah: And is there a price which has been decided to convert the shares? It will be at what price? That is not mentioned in the annual report?

Anirban Sanyal: No, I do not think that is mentioned. But okay, we can take this. You can write to me. I can give you the clarification. But the numbers and the holdings, everything is mentioned in the pattern of shareholders.

Paresh Shah: Okay, fair enough. I will take that. But at least you know the conversion and what rate which is going to happen is going to help me. Thank you, sir.

Moderator: Thank you. We will take the next question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Sir, I have a couple of questions. The extent of cash flows that we are showing now post the expansion is nearly going to the tune of INR 500-odd crore from operations at the least. Against that, we have now a second phase of capital expenditure to INR 100 crore per annum or maybe INR 130 crore per annum. And our payout is just about INR 85 crore. So, do we have any capital allocation plans of increasing our dividend? And a related question is that we have not seen any meaningful acquisitions globally in this space. So, are there any opportunities there where we can utilize the excess cash?

Rajeev Jhawar: On the cash flow front , last year we have gone through a major capex program and Phase 2 is also underway here . Our Thailand plant is also going through an expansion plan, our UK subsidiary is also having the synthetic line expansion plan . It is not limited to INR 100 crore or INR 150 crore. It could be even more depending on the opportunities. And we expect, depending on the cash flow and the capital requirement for our capex, also looking at any opportunity, if and when it comes on the acquisition front, we would definitely look at all options. Right now, there is nothing on the table at the moment. Depending on the free cash flow, definitely, I am sure the Board will consider how to reward the shareholders. I am sure it would definitely look at all these while deciding that.

Rajesh Majumdar: My last question, when you consider an expansion in margins, you are also considering the extra cost that you will incur in hiring employees, etc., or other related costs of expanding into new markets?

Rajeev Jhawar: Yes, as we have expanded our capacity, we have added some people Internationally to help us develop the newer markets, including the Saudi market, as well as the European markets, including the Americas, particularly South America. So, we have added some senior people because you need to start developing the market. So, the cost start s getting incurr ed earlier. And hopefully, we should be able to convert that into getting higher revenue and even out in the coming years.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: My first question is, if you can give an update on our plan for the US, as well as for the mining customers that we were targeting. So, what kind of volumes do you see for these two segments for this year and next year? And how is the general traction goin g on?

Rajeev Jhawar: You see, on the US market, the initial trial supplies have gone off well with the various customers in North and South America, as well as in South Africa and small quantities in Australia also. We have started getting some repeat orders. Mining takes a lo nger cycle time in terms of , applying to the customers, their quality feedback and then getting into the other supplies. So, we are currently at about 2,500 t

ons per annum level as far as the mining rope is concerned. And our endeavour is to take it to close to 4,000 to 5,000 tons in the next two to three years.

Aman Vij: And similarly, for the US sales, what is our current sales and what are our targets for two, three years?

Rajeev Jhawar: Our US sales is close to about 7,000 to 8,000 tons per annum. And we expect to grow depending on the, of course, which sectors, what kind of demand comes there. We expect to grow by 10% to 15% per annum in that market.

Shreya Jhawar: And within the US market, specifically the sectors that we're targeting are elevator ropes, gondola ropes, which are also high value ropes, as well as mining ropes like we previously mentioned. We've gotten decent traction with approaching new OEMs as well. And that is the continuous endeavour to secure more OEM approvals and be able to cater to the high value segment like elevators and gondola.

Aman Vij: My next question is, so some of our International peers were facing some issues last one, two years , both in, I think, US and Europe. So, if you can talk about, are they still facing issues because of energy or there were some other issues also? Or are they coming back in the industry strongly?

Rajeev Jhawar: European manufacturers went through a high cost of energy, which has definitely come down over a period of time after the things are stabilised . But still, they are high compared to the rest of the world. In terms of their cost structure , all these are very strong companies, be it Bekaert Bridon or be it WireCo. And it's a healthy competition. And definitely, we are trying our best to see that how we can, continue to compete and get a larger market share from that market. But they are all doing well. And the overall market is well, competition is also doing well.

Aman Vij: My final question in the opening remarks, you had talked about that we are deepening our relationships with our global OEMs and especially new customers. So, given it's like last one, two years, we have gone to a number of new customers, and these are very big customers. So, if you can talk about in terms of scale, say if we started with x, where we are today? Is it like 2x, 5x? And where do you see this relationship over two, three years? My main question is, where do you see the trust on u s, basically leading to much higher orders?

Shreya Jhawar: So, over the last couple of years, like you mentioned, we have secured new premium customers, especially in the European market, particularly through our two strong brands, which are 'Oceanmax ', 'Minemax ' brands. And we have successfully executed these orders as well. And repeat orders have already started coming in with

some of the big OEMs as well. And these orders have also created references with other customers, and we've been able to win new customers through these references as well within the region. Going forward, using our collaboration of the Brunton Shaw facility with our service centre's , EMM as well as the Reuter, and the technical sales and support of GDC, we hope to continue to strengthen these relationships and continue to grow our relationships with these OEMs.

Aman Vij: Yes, do you think it will still take us two, three more years to get that trust so that they can give us substantial volumes and not small incremental repeat orders? Or do you think it can happen sooner also?

Rajeev Jhawar: You see, we have made certain big progress with the European, particularly oil offshore and the big wind energy sector. And these are all project -based business, as well as repeat orders from the previous equipment's which we have supplied. So, like in the last one year, we have been able to make some major breakthroughs and get decent orders. And we expect this to happen not in two, three years. We expect to happen within the coming few q

uarters.

Aman Vij: That's helpful. Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company . Please go ahead.

Saket Kapoor: The breakthrough we have got through the OEMs in mining segment, the capacity addition that we have undergone and also that we are envisaging, are these all towards these mining contracts only, the segment which we will be getting to?

Rajeev Jhawar: So, the Phase -2 part which is coming this year would be on the mining. We have sufficient capacity to take care of the current requirement. But for our future requirement of mining, the Phae -2 capex which is getting completed in 18 months would be added. So, that would help us improve the capability and the quantity for the mining ropes. So, we have sufficient capacity to take care of that. But our major growth which is coming through our 'Ocean max' and our 'Brunton Shaw ' is mainly in the oil and offshore and the wind energy sector. That is giving us more traction based on the various growth we have done. Mining is of course an important sector, but we will gradually ramp it up depending on the feedback and our supplies and repeat orders. But good part about the mining business is that once it is established, it is a recurring business which continues to happen and not depending much on the project type of bu siness which can happen with spikes.

Saket Kapoor: Just for further understanding, what should be the mix . Currently the landscape which we will be operating for the mining segment and the existing 'Ocean max' and the other opportunity, what should be the percentage mix for mining which you are alluding to be an annuity type going ahead?

Rajeev Jhawar: Our mining business is close to 5 -6% whereas the oil and the wind energy business would be in excess of 20%.

Saket Kapoor: Okay. You mentioned that you will be spending around INR 167 crore for the additional 10,000 tons for the 18 months from this year?

Rajeev Jhawar: Yes.

Saket Kapoor: Okay. And the 40,000 tons would be ramped up from Q1 of this financial year?

Rajeev Jhawar: As I mentioned, it will happen gradually. During the year, we expect 12% -15% growth in total volume compared to last year. But every quarter, we expect to gradually ramp it up to be able to come to the expanded capacity.

Saket Kapoor: On the other expenses front, did we have any one -off item in terms of which madam was earlier referring to because of the geopolitical issue?

Rajeev Jhawar: No, I do not think there is any expense related to the geopolitical issue which is there. Anirban, please…

Anirban Sanyal: No, there are none. So, if you are referring to the freight, of course, that is also inbuilt into the prices as well. But no additional expenses per se in other expenses which are related to the geopolitical issues. Nothing.

Saket Kapoor: Thank you, sir.
Moderator: Thank you. The next question is from the line of Aman Sonthalia from AK Securities. Please go ahead.
Aman Sonthalia: Sir, last year, we did Usha Siam stake purchase from joint venture partners . So, what is the opportunity here?
Shreya Jhawar: So, Usha Siam, which is the Thailand entity, we did acquire the remaining 50% stake of Tesac Usha that was previously a JV, like you mentioned. And the plant is already in operation since the February of this year. In terms of opportunity, the plant capacity which is of elevator ropes primarily is about 170 to 180 tons per month. Again, it is primaril y elevator ropes, but we would produce a mix of elevator and JV ropes depending on the demand from the market as well. Other than that, the facility that was acquired, it is a sort of state -of-the-art facility, and it does have a lot of space for further expansion as well. So, that is something also that we would consider for our future growth plans

in Thailand.
Aman Sonthalia: And right now, every exporter is facing this Red Sea crisis. So, we have distribution centres across different parts of the world. This helps us to keep inventory. So, does the Red Sea crisis offer opportunity to give better services to the customer and acquire new customers?
Shreya Jhawar: Yes. I mean, we have our distribution centres across the globe where we do stock and we sell. We have been able to proactively stock ropes for the customers in these various centers so that we can meet more of the just -in-time requirements, especially when there are so many logistical challenges. We want to do that. We want to ensure that we, like Anirban had mentioned earlier, we proactively build the inventory, and we are able to continuously meet the demands of the customers without interruption in the face of these logistical challenges. So, it has helped us having that wide network close to the customer.

Rajeev Jhawar: While in the Red Sea crisis, we have been able to meet through the inventory at our subsidiaries, it is also important to mention that because of the Red Sea crisis, the transit time to Europe and U.S. has gone up by between 15 days to 30 days depending on the shipping lines and time, which is, in a way, creating certain delays in achieving the deliver ies and also increasing the inventory within our system because most of it supplies to our subsidiaries and to the end customers. So, while there is an advantage o n one side being closer to the customer with stocks on ground, but on the other side, it is impacting higher levels of inventory and higher supply time to meet the customer requirements also.
Aman Sonthalia: And, sir, the last one is that our mantra was value -led volume growth . So, will we start seeing this from Q1 FY25?
Rajeev Jhawar: Yes, we expect to start seeing this from Q1 and with gradual ramp up throughout the next few quarters, we will see the advantage in our results.
Aman Sonthalia: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.
Rajeev Jhawar: I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer to all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification, or would you like to know more about the Company , please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter. Thank you.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Usha Martin Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

Usha Martin Limited
Q1 FY25 Earnings Conference Call Transcript
August 14, 2024
Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you, and over to you, Mr. Singh.
Devrishi Singh : Good afternoon, everyone, and thank you for joining us on Usha Martin's Q1 FY25 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Abhijit Paul – Chief Financial Officer; and Ms. Shreya Jhawar from the Strategy and Growth team of the Company. We hope all of you have had the opportunity to refer to the earnings documents that we shared with you earlier.
We would now like to initiate the call with the opening remarks from the management, following which we will have the forum open for a Q&A session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation.
I would now like to invite Mr. Rajeev Jhawar to make his opening remarks. Thank you, and over to you, sir.
Rajeev Jhawar : Good afternoon, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on operations and strategies, following which Mr. Abhijit Paul will run you through the key financial highlights.
In light of the current macroeconomic and geopolitical climate, we reported positive results this quarter, supported by growth in both revenue and EBITDA. Revenue in our core Wire Rope segment increased by 7.5% year-on-year, and revenue in our Wire segment increased by 8.9% year-on-year, playing a key role in sustaining overall topline. At the same time, volumes in the Wire Rope segment increased by 7.8% year-on-year and volumes in the Wire segment increased by 19.8% year-on-year. The overall performance was achieved despite a notable decline in the LRPC segment, both in terms of the volume and revenue.
Our focus on higher value-added products and operational efficiency has helped achieve an operating EBITDA margin of 18.6%. The overall share of the value-added industry segment in our revenue rose to 54%, up from 51% in FY24. Notably, within the Wire Rope category, the value-added segment's contribution grew to 72%, up from 71% in FY24. Specifically, the growth in the Elevator and Mining Rope categories have had a positive impact. Additionally, revenue from international markets accounted for 56% of our total revenue during the same period. These positive trends have contributed to the improvement in our margins.

With regards to our CAPEX plans, our first round of CAPEX is on stream, and we anticipate a gradual ramp-up in volumes over the next 6 to 9 months, which will enhance our performance in the latter part of the year. The CAPEX is aimed at both increase in capacities as well as value addition on existing capacities.
As a part of the expansion, we have also introduced value-added plasticated LRPC products. We expect this addition in our portfolio to positively impact the LRPC segment, which has faced challenges in the recent past. With the ramp-up in volumes over the coming quarters, contingent on projects, we are confident that this new product line will play a crucial role in turning around this segment and contributing positively to our overall growth in the future.
While our business pipeline remains robust, both in the domestic and international markets, I would like to highlight some demand drivers going forward. The expanding sectors of Oil and Offshore, including Wind Energy, will continue driving increased demand for ropes in the global markets. In the domestic market, planned Government infrastructure projects, including bridges, ropeways, high-speed railways and infrastructure development in Tier-2 and Tier-3 cities are expected to sustain and drive further demand for our products.

Looking ahead, we remain committed to expanding our global footprint while continuing to focus on growth within India. I would like to reiterate that Usha Martin's strategy remains firmly centered on value-driven volume expansion. We are focused on maximizing the utilization of existing capacities to enhance both operational and financial performance. Investments in digitalization and automations are improving efficiency across our operations.

In conclusion, despite the challenges globally, Usha Martin has shown resilience in Q1 FY25 and is well positioned to leverage its strength and pursue growth initiatives to address these macroeconomic hurdles and drive strong growth in FY24-'25.

I would now like to invite our CFO, Mr. Abhijit Paul, to present the financial highlights for the quarter ended 30th June '24. Thank you, and over to you, Abhijit.

Abhijit Paul : Thank you and a very good afternoon to everyone. I will now provide a brief overview of the Company's operating and financial performance for the quarter ended 30th June 2024.

The consolidated net revenue from operations stood at Rs. 826 crore in Q1 FY25 compared to Rs. 814 crore in Q1 FY24, reflecting a 1.5% year-on-year increase. This growth is primarily driven by higher contributions from both the core Wire Rope and Wire & Strand segments. Notably, the Wire Rope segment continued to deliver steady revenues, contributing approximately 72% of our total revenues.

However, the decline in the LRPC segment's contribution impacted the overall topline performance during the quarter. Despite this, we are optimistic about the growing demand and order inflow for galvanized and plasticated LRPC and anticipate a positive contribution from this segment in the coming quarters.

Our operating EBITDA for the quarter stood at Rs. 154 crore as against Rs. 146 crore in Q1 FY24. The operating EBITDA per ton stood at Rs. 32,628. Additionally, the Q1 FY25 operating EBITDA margin increased to 18.6%, up from 17.9% in Q1 FY24. Including other income, EBITDA margins for Q1 FY25 stood at 19.2%, up from 18.3%

in Q1 FY24. This margin enhancement is attributed to our improved product portfolio and increased spreads. Net profit for the quarter stood at Rs. 104 crore, reflecting a 3.1% increase from Rs. 101 crore in Q1 FY24.

On the balance sheet front, we have managed to reduce our net debt to Rs. 73 crore as of 30th June 2024, down from Rs. 124 crore at the end of March '24. This improvement is reflected in our net debt-to-equity ratio, which has improved to 0.03x as of June '24 compared to 0.05x as of March '24. Despite our ongoing CAPEX initiatives, our net debt remains at comfortable levels.

We are happy to share that our credit rating has been upgraded to ‘IND A/ Positive’ with a ‘stable’ outlook from ‘IND A’.

I would like to reiterate that we remain confident in our ability to navigate market dynamics effectively and drive sustainable growth. The Company will maintain strong financial discipline while benefiting from the positive demand outlook for its products and its solid market standing. Usha Martin is committed to continuously enhancing its financial performance and is strategically positioned to create increased value for all stakeholders.

This brings me to the end of my address. I would now request th

e moderator to open the line for the question-and-answer session. Thank you.

Moderator : We will now begin the question-and-answer session. The first question is from the line of Aman Kumar Sonthalia from AK Securities.

Aman Sonthalia : Our Minister Nitin Gadkari has announced a CAPEX of around Rs. 1, 25,000 crore for Parvatmala project. So, how big is the opportunity for the Company over the next 3 to 5 years? Also as per some of the recent news articles, some of the State Governments, like Himachal Pradesh Government, Uttarakhand Government and Jammu-Kashmir Government, are very excited about this ropeway project. So, where do we see our Company in Parvatmala project, sir?

Shreya Jhawar : Yes, you are absolutely right, there are ambitious plans by the Government of India through the Parvatmala Pariyojana project, and they’ve planned about 250 ropeway projects in the next 5 to 7 years. Some of these projects, of course, are at early stages and some are also being retendered right now. Also, like you mentioned, various State Governments have also initiated setting up ropeway projects. We are well positioned to grab some of these opportunities as focus of lot of these projects is also Make in India. We are working with our project teams, along with our global design center in Italy. They're working with all of the relevant project authorities, consultants, directors in order to capture these opportunities. So, I think we are well

positioned because we do produce locked-coil wire ropes, stay cable strands and all of these other products that are required for these projects, not just ropeway, but also the high-speed railway projects, the bridge projects, etc., that the Government has planned as part of its infrastructure initiatives. So, over the next few years, this should contribute positively to our overall performance.
Aman Sonthalia : My next question is; recently over last 2-3 years, we have seen a lot of landslides in the mountain area. Recently, a big tragedy happened in Wayanad in Kerala. We are coming up with this Galfan wire in our Ranchi plant. So, how big this opportunity is for rope knitting in coming future?

Rajeev Jhawar : Yes, our Galfan line is getting commissioned in the next 3 to 4 months, and there is a very big opportunity. Unlike the Western world, particularly Europe, in the Alps, they have a very large program for constantly putting the rockfall barrier, which is produced out of Galfan wire. And Usha Martin is very much working with GEO Group of Switzerland to partner with them to build up this industry, and there is a good opportunity; and we see in the coming years, there should be a good demand coming from this.
Aman Sonthalia : In the last conference call, it was indicated that you are expanding our capacity in European venture. Since Europe is going through a recessionary period, so how we see our products demand in Europe and whether we will be able to sell that expanded capacity in Europe?
Rajeev Jhawar : Of course, in Europe, there is a general slowdown in the economy, but the areas where we are currently focused is in the Oil and Offshore and the Wind Energy sector, which has a fairly strong demand because most of the countries are looking for their energy security and therefore, there are big projects which are going on. We are expanding our capacity in these areas, especially for the high-end ropes for these projects. The order pipeline looks to be fairly strong. The inquiry pipelines are fairly strong. And we expect that the new capacity increase, which is expected to be completed by end of this year, should be able to get a comfortable order booking to be able to ramp up the production there.
Aman Sonthalia : Also, the Indian Tier-1, Tier-2, Tier-3 cities are seeing housing boom, so how we see our elevator rope demand in India? And at the same time, I think U.S. market

is also
witnessing a very huge demand for elevator rope. So, whether we will be able to expand our capacity and how we foresee our future in this elevator rope.
Rajeev Jhawar : The elevator rope market, both in India, overseas, are fairly, fairly strong. With the big push for Tier-2 cities for the building, especially with higher storey buildings, there is a good demand of elevator ropes, and we see a very good order book and a very strong demand in the coming time. We expect the growth should be between 10% to 15% per annum based on the current situation. Also, the demand for elevator ropes internationally seems to be fairly strong. And once we have acquired our 50% stake in our joint venture with Tesac, which we started running it independently from February this year, I am happy to say that facility, which also produces only elevator ropes is also doing fairly well, and we expect a fairly good offtake of elevator rope from that venture itself. So, overall, I would say that elevator rope growth could be between 10% to 12% per annum.
Aman Sonthalia : Our slogan was value-led volume growth. So, in the first quarter, we have seen a virtually flat growth in the volume. So, can we expect in the coming quarters the Company to register value-led volume growth?
Shreya Jhawar : Yes, definitely. I think the focus is still very much on value-led volume growth. I would say we can still expect, say, a 10% or so increase in volume in our Rope and Wire segment, which is very much achievable. With regards to the LRPC segment, of course, like we mentioned, the market dynamics change and our focus in that case is going to be more on the value-added products rather than the volume. And so, we will focus on our plasticated and galvanized LRPC in that particular segment.
Moderator : We will take the next question from the line of Kiran from Table Tree Capital.

Kiran: One of the most interesting slides in your investor presentation was Slide no. 8, where steel prices have reduced, and yet, we were able to hold on to EBITDA per ton or EBITDA per kg. So given the steel prices are probably at an all-time low and all the large steel players are complaining of Chinese imports, would this gap between EBITDA per kg and steel prices continue? Or are you seeing some pressure on

EBITDA per kg? Essentially because we use wire rods and wire rod prices may not have reduced as much as the steel prices. So, if you could just elaborate on the dynamics around raw material prices, spread, and how the entire steel and wire rod dynamics happen?

Rajeev Jhawar : Yes, you are very right. While the steel prices in India have been all-time low, but on the high-carbon wire rod, which is our primary raw material, the prices have remained reasonably firm in the past few quarters. The reason being that there has been shut down by a few of the steel producers and some shortage of supplies from them, which prevented the prices to come down. So, while the global prices have been sluggish on the wire rod prices, the prices in India have not been as low as it is in the international market. However, having said that, we have been able to maintain our EBITDA margins close to Rs. 32,000 per ton by having a fairly strong product mix on the value-added products and ensuring that we work with our product mix and the value-added products and to see that our margins are protected. And you would have seen in the last few quarters, even though there has been volatility in the steel prices, our business model and the way our teams have worked, we have worked towards making sure that we maintain the EBITDA margins what we have been able to over the last few quarters on a sustainable basis.

Kiran: So, essentially, the outlook is we are not going to have severe EBITDA; a Rs. 32,000 in and around will be maintained, maybe improve, because of value-led volume growth, but

not reduce for this year, at least, sir. Is that your view as well?

Rajeev Jhawar : Our objective would be to see that we atleast maintain these levels, and we are reasonably hopeful that we should continue to maintain at these levels. And of course, as the market would progress in the future, as we develop newer products, we could have some positive changes. But as of now, I would say that this is something our business model, we are reasonably confident of maintaining these levels.

Kiran: As we look ahead to the next year, is there a step-jump in terms of any particular product or any particular segment? Because, the way that we were kind of discussing over the last 3, 4 quarters, we were kind of closing in on about Rs. 500 crore profit after tax, in this year, I mean roughly, plus or minus. But is there any step-jump from here? Or are the ambitions a little more tempered? How do you see the outlook for the next couple of years or next year at least?

Rajeev Jhawar : I would say that as we are commissioning our projects and as we are developing our products in the international and building our product pipelines in the international market, we expect, definitely the volumes to grow. But, of course, we need to be mindful of the geopolitical situation as well as the overall macroeconomic situation. But having said that, I personally feel with the various initiatives, which the Company has taken over the last few years along with our global development center and along with our international distribution centers, we are slowly inching up our volumes as well as the value-led volume growth across all segments. We need to understand that we are not a commodity business. We are an engineering business,

engineering product, which takes its own time to get into newer customers, newer territories. And we are confident with the various initiatives which we are taking that we should definitely see a positive jump in the coming 2 years.

Moderator : The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu : A few questions on margins from my side. So, when you look at your business, how do you evaluate margins? Is it more on a percentage basis or EBITDA per ton basis? Because where I am coming from is that if we look at the very simplified version of your business, you take raw material, which is a commodity and then you add value and convert it into a specialty product, right? And also, despite the fluctuation in steel prices, our EBITDA margin on a per ton basis has remained in a very narrow range. So, how do you look at the business? And just to add to that, when it comes to the pricing of any specific product, I understand that majority of our sales are more on a spot basis or very short cycle kind of orders. But is there any element of commodity price linkage in any of the contracts?

Rajeev Jhawar : Let me answer your question in two parts. Number one, we generally look at our EBITDA as a percentage because while we have 3 product lines, the Wire Rope, and within Wire Rope also specialized rope and the GP ropes, then we have the Wire segment and then we have the LRPC segment. So, when we look at it, we look at the blended margin and try to see that we are maintaining a similar, where as you have

rightly said that we have been fairly stable in the last few quarters, so our objective is to continue to maintain that level even though there is variation in terms of the percentage moving between the 3 segments, as I mentioned in my opening statement. So, it is 18.6% in this quarter, and that is something between 18% to 19%. We try to ensure that we maintain within that.
Number two, as far as the commodity is concerned, of course, within our product segment, the normal LRPC is a commodity product, and it is very sensitive to the steel prices. So, if any fluctuation in the st

eel prices going up or down, it has an immediate impact on the LRPC product. And currently, it is having a fairly low EBITDA margin within the entire product portfolio. So, this is probably the only product, which is purely a commodity linked, whereas the Wire Rope business is having a much more resilience, and it is having a lot more technology and engineering and pricing power within this segment, which we work towards ensuring that we work towards the blended margin at the levels at which we are operating.
Prolin Nandu : My second question is in a way, is slightly linked to the same margin related query. So, if I look at your Slide no. 6, where you have given product mix and energy mix and industry mix and geography mix. And you also mentioned that you are aspiring to have this value-led volume growth, and the big part of EBITDA margin improvement that we have seen in last 4 to 5 years is driven by increasing share of some product increasing share to some industry and probably growing international as well, right? So, when I look at this slide, I mean, have we optimized all the levers on product and industry and geography part or there are yet a lot of levers that are yet to be optimized which will not only help us in terms of value-led volume growth, but also in terms of mix improvement, which will also impact the margins. So, on this 6th slide, if you can just let us know whether that optimization has already taken place or there is still enough and more to do to improve our product, industry and geography mix?

Shreya Jhawar : You rightly pointed out that the different levers that have helped us grow our margins and our overall performance. When it comes to value-added products within Wire Rope, I would say that right now, it's at about 72%, and the total value added is about 54%. If you look at FY23, it was about 44%. So, between FY23 and Q1 FY25, we have gone 10% higher from 44% to 54%. Now, will we be able to get that same growth rate; probably not, but at the same time because our CAPEX is more focused on the value-added segment, we should be able to incrementally increase it as our volumes from the new CAPEX ramp up.
When it comes to the geography aspect, of course, our focus is still to continue to grow in new geographies. Middle East, for example, we have roughly maintained at about 9% from FY 23, FY24, even in Q1 FY25, but now that our Saudi Arabia facility is on stream and is finally kicked off, hopefully, we will be able to increase our share in the Middle East as well. Similarly, in Americas and Europe, as we mentioned earlier, the efforts are on within Americas, not just the U.S., but also the Latin America market where Brazil is seeing strong growth. So, I would say that it's not that we are at kind of the end of this value migration, it's still very much part of our overall plan, maybe the rate that we saw from FY23 to now has been really good. Now I think incrementally we still continue to…
Rajeev Jhawar : And one more point I would like to mention on the LRPC, which I mentioned is a commodity product, we have successfully developed the plasticated and galvanized LRPC, which is much more value-added than the simple, pure LRPC. Although this is a project-based business where we are expecting a good pipeline, hopefully in the coming months and quarters as well as we have made some good breakthrough in the export market for these products in both in Southeast Asia and now even looking at Middle East and Europe for these products. And over the next few quarters, we even expect to ramp up this production. So, even on the LRPC, where we have very muted margins in the simple commodity product, we expect the margins to be better once we have the more and more percentage of plasticated and galvanized LRPC as a part of the portfolio.
Moderator : We will take the next question from the line of Gun

jan Kabra from Niveshaay.
Gunjan Kabra : I missed the starting commentary of yours, but just wanted to understand that if we can talk about the construction sector and interactivities across the sector that we cater to has been really good; plus, the export market that you have been guiding, the pipeline in the U.S., Europe and Middle East has been really good. But I guess, the

volume growth in the business has not been coming in a good time because maybe we were in the expansionary phase and operating at full capacity utilization. But some kind of volume growth was also expected this quarter, maybe in Q4, our capacity got commenced in Q1. So, can you explain how we are seeing this growth to come in? And if we are still on track of the 15% volume growth or has it been reduced from 15,000 tons to 10,000 tons which you were explaining in the previous question? So, if you can explain that.
Shreya Jhawar : I would say that like we mentioned that the 10% increase in the ropes and wire segment is definitely achievable. So, previously, we had mentioned 12% to 15% in light of, of course, our current macroeconomic climate as well as other logistical challenges as well. We would say that 10% is more realistic at this stage.

Gunjan Kabra : Also, what would be the value realization that will increase with respect to value-added and export market? So, if you can guide on that as well.
Rajeev Jhawar : See, our focus would be to increase value-led volume growth. And with the success which we have seen in the European market and the American markets, particularly on the oil and energy sector, cranes and ports. And we have seen also within this quarter that the prices of our international businesses have continued to increase, and it is mainly on account of the product mix which we have focused on, and we expect this trend to continue.
Gunjan Kabra : Sir, but the Phase-1 of the CAPEX has commenced, right?
Rajeev Jhawar : Yes, it has. And we are gradually ramping up the production.
Moderator : The next question is from the line of Anil Shah from Insightful Investment Managers.
Anil Shah : Sir, just again, coming back to the volume numbers, we had spoken about 15,000 to 20,000 incremental tons in this fiscal, which I thought was a combination of Wire Ropes, Wire & Strand as well as LRPC. We did about 1,81,000 of volumes last year. So, the increase that we were looking at was broadly in the region of about 20,000 to 22,000 tons in the splits between Wire Ropes, Wires & Strands and LRPC. Is that a fair understanding?
Rajeev Jhawar : Yes, it is a fair understanding, and we should be in a position to get that during this year.
Anil Shah : This is despite the first quarter being slightly on the lower side as far as expectation in terms of volumes were concerned?
Shreya Jhawar : I would say that, like we said earlier, rather than looking at all 3 together, probably keeping LRPC aside when we talk about volumes because again, the focus with LRPC is not as much on the volumes, but more on the plasticated LRPC, right, which will not have the same level of volumes as regular LRPC does. But in the Ropes and Wire segment, definitely, that is a realistic target, like we mentioned, 10%.
Anil Shah : And by which quarter does the LRPC, the galvanized and the plasticized, really start kicking in?
Shreya Jhawar : So, we have the capacities on stream for that, but this is a more plasticated, especially the more project-driven business, and there are projects that are there in the pipeline. But as they mature, we should be able to see it. But it's more a project-driven business.
Rajeev Jhawar : Right now, we are doing about 200 tons a month. And based on these projects, which we are hopeful of bagging, both in domestic and international markets, we should be gradually able to ramp it up to 500 tons a month.
Anil Shah : So, at least

by the exit of fourth quarter, we should be there at about 500?
Rajeev Jhawar : Of course, we should be there.
Anil Shah : Sir, one question on the basis of what we just discussed. So, clearly, Wire Ropes as an overall volume contributor will be significantly higher than last year. And within Wire Ropes, obviously, higher value-add because that's where the CAPEX would happen, should be even more higher. So, from that perspective, the EBITDA per ton

should see 2 trigger points to take it even further higher, as I said, because LRPC, which has lower margins will have as a percentage lower contribution to volumes. And two, within Wire Rope, we should have higher value-add coming through. So, is that again something which is fair assumptions to make?
Shreya Jhawar : I would say that our goal is, of course, right now, value and volume, a combination, right. So, as we increase volumes, the goal would be to maintain at the least the EBITDA per ton and the margins. Of course, depending on the product mix, it might

go a little bit higher, but that really depends on the market conditions, the demand from the market and how we are able to cater to that.
Anil Shah : Yes. But market condition as of now, they seem okay in terms of what you had just given us in terms of global markets as well as Indian markets. There seems to be reasonable demand, which is still very much prevalent, right?
Rajeev Jhawar : See, market demand for the Wire Rope segment and the Wire segment is fairly strong, but LRPC segment, it is pure commodity. During the first quarter, elections were there. There were less orders and projects, which impacted our volumes of LRPC. And the margins of LRPC has practically been very, very low. And the second quarter, because of the monsoon, the LRPC volumes are again very low. So, we need to understand that the rope and the value-added rope and the wire volumes are fairly stable and strong. But LRPC is something which has a significant volume in our product mix, and on a per ton basis, can have a fairly strong impact in the EBITDA moving plus or minus because of the lower margins in the LRPC currently.
Anil Shah : Correct. That's exactly the point I meant that we should see EBITDA per ton actually going up given LRPC is weak.
Rajeev Jhawar : But it depends that the LRPC demand picks up and the volume grows, but the margins of LRPC never be the same…
Anil Shah : Then the absolute EBITDA will be higher. Then, I am saying, aggregate EBITDA will then obviously improve.
Rajeev Jhawar : EBITDA would definitely be higher, but on a per ton basis is what Shreya mentioned that we try to see that at least we achieve this, and if it improves, it is for the better.
Moderator : The next question is from the line of Aditya Arora from 4P Capital Partners.
Aditya Arora : Just a couple of questions here. One is on the international segment if you could help us understand, have you been gaining market share in some of your products? And also, what kind of additional revenue you have got from new set of customers because in your business, which is specialized product, getting new customers are difficult, it takes time. That's my understanding. And if that be the case, have you won any new customers? Have you got new market share? And what percentage of your revenue is now coming from new set of customers?
Rajeev Jhawar : It's a good question. We have, over the last 3 years, developed particularly on the oil energy, wind. And also in the ports, we have worked along with our R&D center. We have been able to make good breakthroughs and built a fairly strong customer base, and it is not just breakthrough, but repeated orders and also a few contracts under negotiation and pipeline. So, this is something which particularly in the European, American and South American markets have been fairly strong in these sectors. In Mining s

ector also, we have made certain breakthroughs in the North American,

South American market. Our products have been well accepted, and we are in the process of getting repeat orders. So, this is the only reason why we feel that in the coming quarters, we should be in a position to push our volumes based on the value-led volume growth. And we expect a decent result coming out of these initiatives.
Aditya Arora : That's helpful. But if that is the case, then is it that the market demand outside India is slow, which is why we are guiding, say, 10% volume growth? Or are there any other reasons? Ideally, in that case, the volume growth should be higher than what we are guiding.
Rajeev Jhawar : You see in the rope industry, there are 2 segments, one is the specialized segment, which we talked about. So, this is something which we is fairly increasing our market share and making more and more breakthroughs and building strong customer relationship in these segments. But the general-purpose (GP) rope, which goes for the normal engineering applications, because of the slowdown internationally, this part of the business is not strong at the moment and is also very competitive. So, while we are focusing on the value-added, specialized products and where our market share is growing, there is a slow offtake coming from the general purpose, which is not allowing the volume to grow the way we would expect to grow if everything was growing at a very good pace.
Shreya Jhawar : Yes and as we mentioned, because the specialized products are highly engineered, so even if the market demand is good, it's not going to see the same rate of growth in volume that we would see if we were focused on GP rope so that the volumes are much easier to increase in that. But as we want to focus on the specialized segment, it takes time to build and get repeat orders and those references as well. The team is working on it, and the segment specifically that we mentioned and even various geographies, we are trying to diversify our presence as well. So, even within Latin

America, it's not that we are just targeting, say, Brazil or Mexico. Whether it's Chile, Peru, Colombia, Ecuador, so in each of these markets, we are identifying our channel partners and diversifying our presence, so that should help. But all of this takes time, and it can't happen very quickly as soon as the capacity goes on stream. So, it will be a gradual process, and that's why we say about 10% is more reasonable.

Aditya Arora : Okay. Have you been gaining market share? And what would be your market share, from the 3 geographies now, say in Europe, U.S., Latin America?

Rajeev Jhawar : Particularly the newer markets, which we are developing, we are taking market share from the global leaders, Bridon, Kiswire and others in the market, the well-established players. So, we are gradually increasing our market share. But to be able to say exactly what percentage, I don't think we have that kind of data. But when we look at the order pipeline and the inquiry and what sort of conversion is there, I would say that the rate is constantly improving.

Moderator : The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor : When we look at the Q-o-Q employee benefit expenses, has gone up from, Rs. 109 crore to Rs. 126 crore. So, what explains this Q-o-Q as well as year-on-year increase in the employee cost? And what should be the annualized number?

Shreya Jhawar : I would say that there are a number of reasons. One is, of course, we have hired some new employees to develop the businesses in some of the international markets as we are having this capacity on stream and we need to develop the market for that.

So, that's number one. Two, we also had increments for our employees. And thirdl

y,
there are, as part of this quarter, some one-time bonuses for rewarding employees for the performance as well. So, a combination of all of these 3 has led to.

Saket Kapoor : So, what should be the annual number we could assume for employee cost?

Rajeev Jhawar : The one-time cost, which she mentioned has been there, but in the coming quarters, they should taper down, and we should be at our normalized level from quarter 2 onwards.

Saket Kapoor : So, Rs. 110 crore should be the number. Sir, Rs. 15 crore is the additional number, which we should factor as one time?

Rajeev Jhawar : It should be factored one time.

Saket Kapoor : Yes, this Rs. 15 crore only that should be factored?

Rajeev Jhawar : Yes. And the rest should be on a normalized basis. But there will be normal increments, so those will be there. But this one-time expense, which she mentioned particularly for rewarding our people in the international business, and so that is there.

Saket Kapoor : Sir, correct me here, earlier you've spoken about our rope product being accepted by the mining companies in the American geography. And over there getting approval takes a long period of 4 to 5 years. But then there is a good chance of getting repeat orders, and there are very strong entry barriers. So, are you alluding to this value-added segment and the high-end facility offering in this vertical itself, where we are going to see growth going ahead? And what is the opportunity size, in this mining segment, especially in the Latin American region, you alluded 2 years ago, maybe some time ago about this?

Shreya Jhawar : Yes, definitely, in the mining segment, we had made inroads, especially during the COVID period where we got our foot in the door to the U.S. market. And since then, we have gotten repeat orders as well as contracts in that region that secure repeat orders for us. Even if you see from our overall topline contribution of mining rope was about 4% in FY '22-'23, but then gradually has increased in FY24 to about 6% and in this quarter to about 8%. So, it has been an important product line for us, and the large part of it comes from, like you mentioned, the U.S. market, the Latin America market as well as the Australia market, internationally. And of course, in India, we continue to supply to mining companies as well.

Saket Kapoor : Is the pipeline also robust there for repeat orders and there are strong entry barriers also?

Rajeev Jhawar : Entry barriers are fairly strong because the time taken to get the approval is, as you rightly said is between 3 to 4 years. And we are expecting the order books and contracts, I think, we should be gradually seeing improvement on this segment on a quarter-on-quarter, we should be seeing a benefit.

Saket Kapoor : On the raw-materials, I want to understand that we are sourcing domestically from how many players; is our dependence on the domestic players. How many players are we sourcing the raw material? Also, what constitute the key raw materials?

Rajeev Jhawar : Our key raw material is high carbon wire rods. We are having 4 important suppliers, JSPL, Jindal Steel & Power. They have a plant just 40 kilometers away in Patratu from where we source our rods. Number two is erstwhile our own steel Company business, which is now with Tatas, part of Tata Steel. So, they continue to be our important supplier. And then Electrosteel, which is 100 kilometers away in Jharkhand. And small quantities, we have also started buying from JSW. Although their plant is in Southern part, but some quantities, we are buying, particularly for our northern Hoshiarpur plant, we are buying from them. So, these are the 4 important suppliers, and we have an excellent working arrangement, including development of our newer products.
Moderator : The next question is from the line of Diksha Jain, an Individual Investor.
Diksha Ja

in : The Company has definitely come out of lot of issues, which were there, 5, 7 years earlier and the Company is now on a growth path. But from the last 2 years we are now seeing sales have kind of stabilized. Now what are the changes that you feel could actually show a positive uptrend on sales?
Rajeev Jhawar : So, basically, we went through a difficult period and post our divestment of steel business, we first focused on consolidation of our business, the Rope business. We looked at all the latent capacity and used it to ramp up and try to integrate with all our international business. Then we have taken this expansion program, which is underway, which is helping us to ramp up our capacity. As we said in the earlier part of the discussion that we would be ramping up gradually our volumes, and we expect a 10% increase in volumes, particularly in the Wire Rope and the Wire segment coming out of the expanded capacity, and of course, based on the current market scenario, what we see. So, that is something which is going to help us improve our volumes and our focus within the volume into the value-added product segment is hopefully going to enrich our product mix and ensure that we sustain and grow our profitability and margins, including the topline in the times to come.
Diksha Jain : So, this 10% growth you are seeing for 1 year, or like will there be a hockey stick kind of thing thereafter because a lot of these are sticky. So, once you start getting the orders in, do we see a higher growth after 1 year?
Rajeev Jhawar : Of course, this again, it depends on how the overall market situation would be, but our endeavor would be to continue to keep on increasing. And as we have increased the capacity, and as we already said, that it is an engineering product, not a commodity product, which can just be ramped up and we start selling based on price sensitivity. Just we have to ensure that we get the approvals, we get new customers, and we continue to supply and get repeat orders. So, definitely, if the global demand remains fairly strong, the geopolitical situation doesn't worsen and the capacity increase, which we have planned in the expansion, all that should only help us to increase our volume and market share in at least next couple of years.
Diksha Jain : Also, any other opportunities which you think could be something which would get you very excited coming up?
Shreya Jhawar : That's a good question. One of the things I think that we had talked about in one of the earlier calls is our synthetic slings facility, which we are setting up in Brunton Shaw UK, and the progress is going well on that. And our internal trials have already started on that, and we expect to go live in the upcoming quarters within this year for that as well. That is a complementary product to our steel wire ropes, and the

R&D team has worked very hard on that to understand the product and also already started approaching quite a few of the end customers, which are sort of common between steel wire ropes and synthetic slings as well. So, we do expect to get good traction on this and especially again within the oil and gas and wind energy segment. This has good applications. And this is our first foray into the synthetic space, but we are quite excited about this product line, which is adjacent to our current product line, yet a little bit of a different product that has a good growth rate. The industry itself is also growing pretty fast, and there are more applications and more geographies we can even cater to in the future, but we started small with a small investment, about GBP4 million or so, but it can become a good opportunity in the coming years.
Moderator : The next question is from the line of Aman Kumar Sonthalia from AK Securities.
Aman Sonthalia : My follow-up question is, as you have said that in the next few years, w

e will get
higher volume and business from the synthetic sling and mining rope. But after 2 years, if things happen as per plan, we can expect big business from Parvatmala project?

Rajeev Jhawar : Parvatmala project is a very exciting project, but as Shreya mentioned earlier, there are 250 odd projects, which have been approved. Wire Rope is a very important part of the whole ropeway system. And Usha Martin is the only supplier in India for these products, and with the Made in India initiative of the Government, and we have had presentation to the Parvatmala project authorities, we see a good opportunity. It may take a year, 1.5 years for the projects to come to this stage. But based on our interaction with the various stakeholders, we see it as a very big opportunity.

Aman Sonthalia : So, it can be a game-changer for the Company in the future?

Rajeev Jhawar : See, we have many product portfolios and Parvatmala and this special project would be. So, LRPC plasticated is important, this is also important. We need to understand in Usha Martin, we are not dependent on one sector and one industry. We have a fairly diversified portfolio, whether it is fishing, mining, structural, which is part of the Parvatmala project, fishing, elevator. And also, we have a fairly diversified geography. So, we are not dependent on any particular single geography. So, in a way it helps you to diversify your risk and not be dependent on just one market or one sector. So, looking at the overall opportunity, Parvatmala is important, but what Shreya mentioned, the synthetic is also equally important, and we are excited about all these. Now, how much of this gets converted into actual reality. But overall, we are fairly optimistic and excited about these opportunities.

Aman Sonthalia : For my understanding, want to know that what is the price difference between GP rope and specialized rope in the international market? Also for this normal LRPC and plasticated LRPC and this normal wire and galfan wire.

Rajeev Jhawar : Let me tell you about the LRPC. The normal LRPC is selling at Rs. 65,000 to Rs. 70,000 a ton depending on the steel price. And the plasticated galvanized LRPC could be between Rs. 1,35,000 to Rs. 1,70,000 a ton depending on the specification of each rope, you can see the difference in that. Of course, the manufacturing process and cost will also be different for these 2 products. Similarly, for the GP ropes, between the specialty ropes, the pricing is fairly, fairly different for different products, whether it is plasticated, compacted depending on the end use. But the GP

ropes would be $1,500, $1600 a ton, and the specialized ropes could be close to $3,000, $3,500 a ton.

Aman Sonthalia : That means, though the volume increase will be less, but the value increase will be much higher.

Rajeev Jhawar : Of course, our whole objective is value-led growth. So, that is going to be something which is going to be our key focus even going forward.

Moderator : There is a follow-up question from the line of Kiran from Table Tree Capital.

Kiran: Bridon-Bekaert had their Q2 concall recently, and they're all over the place, right? They've lost a lot of clients. A lot of clients are unhappy with them. Capacity consolidation has gone wrong both in U.S. and Europe. I mean, is it just market share grabbing from Bridon-Bekaert that we are kind of impaneling others, and the growth is coming from there? Or is the overall opportunity expanding? And generally, are we actually winning against Bridon-Bekaert or is it their own internal issues?

Rajeev Jhawar : First of all, I would say that we compete not only with Bridon-Bekaert, we are competing with all the international players, and we are all on equal footing. And based on the strength of our R&D, based on our closeness to the customers and with our continuous efforts with our R&D

center over the last 3 to 4 years, we are trying
to get a larger share of the market share. I would not like to comment anything on Bridon-Bekaert in their internal issues because I am not purview to that. But I am saying that as far as we are concerned, we are constantly trying to see that how to get into the higher-end products. That is number one.

Number two, the segments related to the oil offshore, to the wind energy is definitely growing, and it is growing at a very fast pace because every country is trying to both increase their energy footprint. And that is something which is helping us to see a good traction of business coming from them. And everybody is fighting for the pie of business and so are we along with our Brunton Shaw and our other brands. We are also trying our best to see how best we can get those businesses.

Kiran: And sir, do we share any order book numbers this year as of previous year? And two, are we actually on track for Rs. 500 crore profit after tax this year?

Shreya Jhawar : No, we don't share any exact order book numbers as such. And in terms of guidance, like we mentioned, around the volume growth around 10% for ropes and wires while maintaining our margins and our realizations that what the extent of guidance that we'd like to give at this stage.

Moderator : Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rajeev Jhawar : I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer to all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter. Thank you.

Moderator : Thank you, members of the management. On behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2024

USHA MARTIN LIMITED
Q2 FY 2025 Earnings Conference Call Transcript
November 07, 2024

Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari of CDR India. Thank you and over to you, sir.

Anoop Poojari: Thank you. Good afternoon, everyone and thank you for joining us on Usha Martin's Q2 FY25 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Abhijit Paul – Chief Financial Officer; and Ms. Shreya Jhawar from the Company's Strategy and Growth team.

We hope all of you had the opportunity to go through the results documents shared earlier. We will initiate the call with opening remarks from the management, following which we will have the forum open for a question-and-answer session. Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation.

I would now like to invite Mr. Rajeev Jhawar to make his opening remarks.

Rajeev Jhawar: Good afternoon, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on operations and strategies, following which, Mr. Abhijit Paul will run you through the key financial highlights.

We are pleased to report a resilient financial performance and strong operational execution in Q2 FY25. We have delivered healthy results, with volumes increasing by 11% year-on-year and topline growth of 13.6%. Our core Wire Rope division performed well across both international and domestic segments, contributing 73% to our overall consolidated revenue. Revenue from the Wire Rope segment grew by 19.2% year-on-year, while revenue from the wire segment grew by 16.2% year-on-year. The LRPC segment continued to face challenges this quarter, reporting a 6.7% year-on-year decline.

Our focus on higher value-added products has enabled us to maintain an operating EBITDA margin of 18% in Q2 FY25. The contribution of the value-added industry segment to our revenue rose to 54% in H1 FY25, up from 52%

in FY24. Within the Wire Rope category, the value-added segment share increased to 72% in H1 FY25 compared to 71% in FY24. The elevator and oil and offshore categories in particular have been key drivers at this expansion.

Additionally, the international markets contributed 55% to our total revenue, and we also saw favorable performance in the domestic market. These trends have played an important role in supporting margins.

With our newly expanded facilities, our teams in domestic and international markets are well equipped to promote sales of our high-quality Wire Rope for critical applications. This positions us to capture a larger share of the global market while consistently meeting our clients' rigorous standards.

Additionally, our ongoing expansion efforts in Ranchi and Thailand are expected to further ramp-up volumes gradually over the next few months, enhancing our performance.

In parallel, a portion of our CAPEX initiatives has been dedicated towards investments in digitalization and automation. These initiatives will elevate operational efficiencies, further enhancing our ability to respond to market demand, while maximizing productivity across our operations.

An important strengt

h that complements our CAPEX initiative is our machinery and technology. Our in-house teams' capability to design, develop and maintain our own machinery sets us apart from competition. This capability allows us to operate with greater efficiency and agility by building and maintaining a number of our equipment in-house, we reduce dependence on outside sources, enabling us to swiftly address maintenance needs and exercise strong control over our processes. This distinct advantage is vital to Usha Martin's long-term resilience and growth, reinforcing our market position as we continue to expand.

In our UK facility, a dedicated capital expenditure has been allocated to support the production of synthetic slings with commercial operations expected to commence by the start of Q4 FY25. Trial runs are already in progress, and we plan to initiate marketing activities this month. Synthetic slings represent a high potential segment that is experiencing promising demand across leading markets. We are excited about the opportunities this product line presents, and if successful, it has the potential to evolve into a major vertical for Usha Martin in the years to come.

The Company continues to prioritize the domestic market, where Usha Martin is implementing essential strategies to leverage its well-established dealer network to capitalize on robust growth opportunities. Looking ahead, various Government infrastructure projects are expected to drive ongoing demand for our products in the domestic market.

In conclusion, I would like to emphasize our commitment to expanding Usha Martin's global footprint and strengthening our operational strategies to capture growth opportunities across all markets. The Company's strategy is

firmly centered on value-driven volume expansion, focusing on maximizing the utilization of existing capacities to enhance both operational and financial performance. By modernizing plant operations and expanding our global distribution and marketing efforts, Usha Martin is well positioned to leverage its inherent strength to drive sustainable long-term growth for all our stakeholders.

With this, I would now like to invite our CFO, Mr. Abhijit Paul, to present the financial highlights for the quarter ended 30th September, ‘24. Thank you and over to you, Abhijit.

Abhijit Paul: Thank you and a very good afternoon, everyone. I will now provide a brief overview of the Company's operating and financial performance for the quarter and a half year ended 30th September, ‘24.

The consolidated net revenue from operations stood at Rs. 891.2 crore in Q2 FY 25 compared to Rs. 784.7 crore in Q2 FY24, reflecting a 13.6% year-on-year increase. This growth is mainly supported by increased contributions from our core Wire Rope and Wire & Strand segments, with the Wire Rope segment showing consistent revenue performance and accounting for around 73% of our overall revenue.

Despite a traditionally softer quarter due to the monsoon season, our core Wire Rope division performed strongly, recording 18.5% growth in volumes and 19.2% increase in revenue. This performance highlights the strength of our operational execution across domestic and international markets. Despite the LRPC segment’s contribution declining this quarter, we remain positive about the increasing demand and order inflow for galvanized and plasticated LRPC products. We expect this segment to make a favorable contribution in the upcoming quarters.

Our operating EBITDA for the quarter stood at Rs. 160.8 crore as against Rs. 144.3 crore in Q2 FY24. The operating EBITDA per tonne stood at Rs. 32,253. Additionally, the Q2 FY25 operating EBITDA margin stood at 18%, which is marginally lower from 18.4% in Q2 FY24. Net profit for the quarter stood at Rs. 109.3 crore as against Rs. 109.5 crore in Q2 FY24. PAT for Q2 FY24 included a one-time inco

me of Rs. 18 crore.

For the half-year period, net revenue from operations stood at Rs. 1,717.5 crore compared to Rs. 1,599.1 crore in H1 FY24. Notably, the Wire Rope segment’s contribution to total revenue grew to 73% in H1 FY25 from 71% in FY24. Operating EBITDA for H1 FY25 was Rs. 314.8 crore, up from Rs. 290 crore in H1 FY24. Profit after tax for H1 FY25 stood at Rs. 213.2 crore compared to Rs. 210.3 crore during the same period last year.

On the balance sheet front, Our net debt stood at Rs. 127 crore as of 30th September 2024, compared to Rs. 124 crore as of 31st March, ‘24. This slight increase in net debt is attributed to our ongoing CAPEX initiatives. Despite these investments, our net debt remains at comfortable levels. The Company aims to maintain a strong balance sheet going forward. As most of you are aware, our credit rating was also upgraded in H1 FY25 to ‘IND A / Positive’ with a ‘stable’ outlook from ‘IND A’.

As we move forward, we remain committed to driving growth in both volume and value. We are confident in our ability to sustain and enhance our performance for the remainder of the year, particularly with the stronger demand typically seen in the second half.

In conclusion, I would like to emphasize that the Company is dedicated to maintaining strong financial discipline while capitalizing on its inherent strengths. Usha Martin is committed to enhancing its financial performance and is well positioned to deliver greater value to all the stakeholders as we move forward.

This brings me to the end of my address. I will now request the moderator to open the line for question-and-answer session. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Congratulations on a steady set of results. Despite an enrichment of the product mix in terms of Wire Rope and lower volumes resulted in LRPC, the EBITDA margin in percentage terms as well as per tonne terms is lower on quarter-on-quarter basis and slightly lower even on a Y-o-Y basis. What is the reason for this?

Shreya Jhawar: So, on the margin front, we have been facing pressures in certain segments for general purpose ropes and also certain categories of crane ropes as well. But despite these pricing pressures that we have been facing because of the enhancement in product mix that you mentioned, we have been able to maintain the EBITDA per tonne at Rs. 32,000 level as well as maintain the margins at 18% level. The goal was value-driven volume growth, so we have seen the volumes pick up in the Wire Rope segment nearly by 19% year-on-year and also in the wire segment by 22% year-on-year. The goal is that we want to continue this volume growth in light of our expanded capacities, while not compromising on our prices and keeping our product mix at that level where we have that 73% mix of Wire Rope as well; so that we are able to maintain these margins and gradually grow as the product mix increases.

Rajesh Majumdar: So, how should we look at the EBITDA per tonne? Because we have seen over the last four years our EBITDA per tonne has gradually been improving and also the EBITDA margins. So, now do we come to a period where we will not expect a major growth in the EBITDA per ton or will it still grow after the new CAPEXs start giving us reasonable volume?

Rajeev Jhawar: As we have been maintaining that this is a level which we would like to definitely maintain. And of course, as the overall economic situation globally and within

India improves, and as our new volumes start growing, we should start getting some advantage of our increased volume and operating leverage. And if that happens, it may take a few quarters, we can expect it to be moving

gradually
upwards.

Rajesh Majumdar: My other question is on the working capital where we have seen a deterioration in both inventory and debtor days for the first half, and probably if some of it is to do with the ongoing Gulf issues. But how should we read into it in terms of full year basis and going forward on the working capital side?

Rajeev Jhawar: The Red Sea crisis has, especially for our exports to Europe and US, the transit time has increased by almost three to four weeks because of the route through South Africa which is taking this extra time. So, this is unfortunately building some inventory in the system. But we are looking at the inventory as a whole for the whole organization, and I would only say that some major actions we have taken in regards to this, we hope to see that we start seeing a gradual reduction in coming quarters as these strategies get implemented.

Moderator: The next question is from the line of Aman Kumar Sonthalia from AK Securities.

Aman Sonthalia: We have seen that there is a significant increase in the cost of Wire Rope. Also due to Red Sea crisis, there is a significant jump in the freight rate. So, how we will manage this situation going forward?

Shreya Jhawar: So, to your first point of the increase in the wire rod prices, yes, for this quarter, wire rod prices were at about Rs. 55,000 per tonne compared to Rs. 52,000 per tonne in Q1. Going forward, there still might be an increase in the upcoming quarters, but we do have some wire rod inventory in place that should help us manage this in Q3. In terms of the Red Sea crisis, yes, freight rates also have increased. But we think they have peaked now, and we are seeing a reversal and slight gradual decrease in the freight rates with more availability of containers. In 60% - 70% of the cases we are able to pass on this freight increase, but in some cases, we are impacted, and we have to absorb that cost.

Aman Sonthalia: Recently we have seen lot of landslides in all the mountainous area. So, when our galfan wire division will start production? Also, what are the chances, scope of further expansion and what are the margins we are expecting from this division?

Rajeev Jhawar: The zinc aluminum line which we are setting up with the capacity of around 7,000 tonnes to 8,000 tonnes per annum. The cold trials are going on, the plant is under commissioning, and we expect that in the next two months we should be able to start producing from this and stabilize the plant. We expect commercial production to start at the end of this quarter, definitely in Q4. And there is a fairly good demand, both within India and international market for these products, and we expect to gradually ramp up the capacity to the 6,500 tonnes, 7,000 tonnes in next financial year. But of course, it will start from the fourth quarter itself. And the contribution per tonne is close to between Rs.

35,000 to Rs. 50,000 per tonne, depending on the different products for different applications. So, this is, I would say, it's a new product line, it's a higher value-added and in both export and domestic market, it should do well. In terms of expanding the capacity, first we have to ensure that this plant stabilizes, and we are able to achieve the rated capacity. And if the demand which looks to be good, we should definitely look at adding further capacities, either in India or Thailand, over the next 18 months.

Aman Sonthalia: In the month of April, we entered Saudi Arabian market, so when you will see a noticeable topline and bottom line from there?

Rajeev Jhawar: See in Saudi Arabia, our setup is up and running, we have our team there now. It took us some extra time to get all the regulatory approvals. And I would say that we have got some good responses from customers, having local facilities and being able to serve them locally. Q3 also we have s

tarted getting some good orders, but supplies based on these orders would commence partly in Q3. In Q4, we should see a significant increase in volumes coming from Saudi Arabia. But by the time we get all the approvals from the various big customers like Aramco and others, it would take towards the end of this year the local infrastructure and facility we have created. In real sense, I would say, next year would be a very important year for us with Saudi Arabia going all out with all approvals, with regulatory as well, and with important customers to take the business, a major leap in Saudi Arabia next year.

Aman Sonthalia: Any update on synthetic sling project?

Rajeev Jhawar: Yes, as I mentioned already, the synthetic sling plant is under commissioning and we should be able to start trial productions in this quarter, and we should make a soft launch in Q4 this year. The facilities, including the testing facilities, all are coming up very well. Our team is also getting ready to launch this in Q4. And as I mentioned in my opening remarks that, this is a very important step for us towards synthetics and the market is decent, it’s buoyant. We are getting a lot of positive signals from our initial marketing from prospective customers. And because this is our first foray into this, it may take 3-4 months for us to really get into the relationship with these customers, initial trials. I would say, next year should be a fairly decent year where we can see good progress quarter-on-quarter growing this business.

Aman Sonthalia: Any update on Parvatmala project because I think it will require a lot of certifications. So, is it that in our facility we have to change something to get big orders from in the Parvatmala project?

Rajeev Jhawar: As far as Parvatmala project is concerned, let me tell you that we are in touch with all the customers, the customers are in touch with us. We are the only producers of locked-coil Wire Ropes and all the other types of ropes which goes into these types of projects. And we have started giving provisional offers and technical offers, and our global development center is working very closely with our team in India to work for these contracts. But it takes time for these

contracts to mature. So, we need to be patient, because these projects do not happen overnight. Even if we secure orders, the supply will start only two to three years from now because there is initial construction and lot of other works involved before you get the rope supply. So, we need to be patient on this. But I can assure you, our team is on the job as far as working with most of the prospective customers.

Coming to the approval, yes, there are approvals required, CE certification, which is from the European Union and our Global Development & Design Center, and our team in India working closely. Also, I am told that we are in the final stages of getting this approval. It's a tedious process. We have been on it for a few months now. Once that comes in, then we are certified and then we go back to the customers, and hopefully that should even help us moving faster on this.

Aman Sonthalia: When will we see volume growth in plasticated LRPC, significant volume growth?

Shreya Jhawar: The plasticated LRPC, as we have mentioned, is a project-based business. Monsoon is generally a bit subdued period for LRPC overall in general. But we are seeing both for plasticated as well as for galvanized LRPC the demand now picking up in the domestic as well as some of our export market. So, we expect to have a demand of about 400 tonnes to 500 tonnes per month on average for this product starting in the upcoming quarters.

Moderator: The next question is from the line of Krupanshu Shah from Thinqwise Wealth.

Krupanshu Shah: On Parvatmala scheme, I wanted to understand that for a typical project of say Rs. 100 cro

re, how much Wire Rope is required? Like if you can speak in volume terms or value terms as well. So, over the last two years, I think project tendering has been in the range of Rs. 7,000 crore to Rs. 8,000 crore, right, and the Government had laid out a plan for Rs. 1.25 lakh crore to be executed on this. So, it has been a little slow over there. So, I just wanted to understand, is it actually a big tailwind for us going forward? Could you speak a little more about it?

Rajeev Jhawar: A good question. The ropeway projects typically take a minimum of three to five years to actually see them after you get the orders, because there are so many clearances required, and it depends on the terrain. So, it is a slow process. There are a lot of projects and a lot of tendering going on. But as I mentioned earlier, it is going to take a lot of time.

On your question that what is the component of percentage of Wire Rope, it could be between 2% to 4% of the entire project cost. So, if it's a Rs. 100 crore project, it could be between Rs. 2 crore to Rs. 4 crore depending on the length of the rope way, the terrain, the total passenger, or the total traffic on it. So, that depends on these things.

To your question that whether it is a good opportunity and is it going to happen soon or it is going to take time; - yes, it is a good opportunity, but the real benefit of the real projects coming on stream where ropes will be required and start getting into the starting of the ropeway, because this will be the last part for the project when they require this rope. Because the construction and the other activities and the carriages they take the maximum time, the Wire Rope supply comes absolutely in the last 20% of the project execution time. So, I would say, in a medium to long term it's a good opportunity. Short term, it is just the process of tendering and technical evaluation and working with customers.

Krupanshu Shah: So, roughly 2% to 4% of Rs. 1.25 lakh crore is our addressable market?

Rajeev Jhawar: Yes, if those projects actually come on ground, that would be the percentage we are looking at.

Krupanshu Shah: And in Wire Rope volumes, now I understand that 70% to 80% of it is recurring in nature, but can you tell us how much in volume terms is it recurring? What I mean by that now say for elevators in that space, so do we have an annual replacement that comes through? So, can you speak about in tonnage for Wire Ropes how much is recurring?

Rajeev Jhawar: So, to give you a specific example of elevators, if we do as a group 12,000 tonnes of elevator per annum, I am giving you a rough number, it would be plus, minus

10%; so 85% would be replacement and 15% would be new. So, if you are doing 12,000 tonnes of elevator, almost 10,000 tonnes would be replacement and 2,000 tonnes to 2,500 tonnes would be going for new elevators. And if you talk about the entire industry, it is almost at a similar level, 85% to 90% would be replacement and 10% to 15% would be for original equipment.
Krupanshu Shah: So, like if you have done roughly 94,000 metric tonnes of volume for full year in FY24, so 85% of that would be just recurring in that sense every year. Is that a fair assumption to make? And then additional volume growth can come through new clients?
Rajeev Jhawar: Yes, absolutely.
Krupanshu Shah: I have this one question on steel prices; in our presentation we have put it has sequentially increased. But as per our understanding, steel prices were on a declining trend month-on-month, say from Q1. And even our LRPC realizations have actually improved, sequentially. So, could you explain the dichotomy there? And as our plasticated LRPC share increased from say 200 metric tonnes per month that was there in Q1, has it increased?
Rajeev Jhawar: In the overall steel price there are two types of steel generally in the in

dustry.
One is the flat products which goes for auto manufacturing, those prices have been subdued in the country. But for the wire rod prices all over the country, being just three or four suppliers, these prices have been firm. They were firm, before the monsoon period the prices had gone up, then they have come down

during the monsoon period. We have been able to secure some quantities at decent prices and we will get some advantage of that going forward. So, the wire rod prices have actually gone up in the country compared to the flat products and we have been able to pass on that increase in our wires and LRPC.
And, of course, when it comes to the rest of the products, these are more engineering products where this percentage is small compared to the final realization what we are able to get.
Coming to the plasticated LRPC, as Shreya mentioned, because these are project-based business and due to the monsoon and the overall demand of construction is generally low this period, we were doing about 200 tonnes to 220 tonnes a month. In the coming quarters, once monsoon is over, we are expecting to go from between 400 tonnes to 500 tonnes per month based on the projects which we have secured within India and some good export orders which we have got. We expect to stabilize at 400 tonnes to 500 tonnes in the coming months. Our current capacity is 500 tonnes. We are looking at even optimizing to see if the demand goes up, and how to increase it. But as of now, we expect it to be at this level.
Krupanshu Shah: We have done CAPEX of Rs. 120 crore in H1, can you tell us how much is in plan for H2?
Rajeev Jhawar: As we had said that we had done about Rs. 308 crore in our Phase 1 project which we completed in March. And we expect the second phase, total out of Rs. 590 crore of project, we have completed Rs. 310 crore last year, and then Rs. 120 crore this half year, we expect to spend a similar amount in the remaining part.
Krupanshu Shah: So, another Rs. 100 crore and Rs. 120 crore in H2 is expected?
Rajeev Jhawar: Yes.
Krupanshu Shah: So, the debt level, do we assume that they will be in this range itself, gross debt of Rs. 300 crore?
Rajeev Jhawar: Gross and net debt should remain at these levels or should even be slightly better as we progress through the year.
Moderator: The next question is from the line of Shraddha Kapadia from Share India.
Shraddha Kapadia: I majorly wanted to understand that how do we actually manage the fluctuating raw material prices? Like you have given in the presentation with regards to the EBITDA per tonne and the steel prices, how they have shot up and how EBITDA per tonne is managed. But do we have a future contract or how do we go about it?
Shreya Jhawar: Looking at our three product lines, as we mentioned for wires and for LRPC, primarily it is purely pass through for the steel prices. For the Wire Ropes, for the general-purpose Wire Ropes also in most cases it is a pass through. For the

more specialized engineering products, if there is a small increase or decrease, since it's a very small percentage of the overall realizations that we get, it's not a pure pass through. But if there is a meaningful shift in the steel prices then the prices and realizations would also be adjusted, accordingly.

Shraddha Kapadia: Also, it was mentioned that we had a very sharp recovery in the domestic market, so any specific industry or changing trend which was observed?

Rajeev Jhawar: You see, basically this is linked to, the Wire Rope is mainly consumed wherever there is construction or where there is infrastructure growth. So, areas where we saw significant growth in India, one is the elevator industry where we see a very strong demand coming not only from the Tier 1 cities, but even from the Tier

2 and Tier 3 cities, and we see that continuing to grow in the coming years. So, that has been one area. Number two, for all our products which goes into ports or into construction like the high-speed railway projects, or even the big bridges and the roadways, lot of construction activities. So, we see a lot of demand coming from crane ropes and from our elevator ropes and from our engineering products. And we see that our distribution network is very strong, and we are working very closely with them to understand wherever the opportunities are there to proactively work together to gain our market share. And this is something which is going to grow as India's CAPEX expenditure keeps on growing in the near future, we should see a steady increase in the domestic market.

Shraddha Kapadia: Also, if you could just give brief guidance for the next two to three years, that would be great.

Shreya Jhawar: See, over the rest of this year as well as FY26, as we mentioned before, 10% to 12% volume growth is what we expect in light of the CAPEX that we have done in terms of the topline growth as well at similar levels because we want to get this volume growth without compromising on our prices. In terms of the EBITDA margins, like we were saying earlier, we have been able to maintain at the Rs. 32,000 per tonne level, as our product mix increases, the wire rope and the product mix as well as the value-added products increase in the product mix we hope to gradually increase the EBITDA per tonne as well.

Shraddha Kapadia: From what I remember, previously we were guiding for approximately 19% to 20% of the EBITDA margin. So, do we stick to that, or do we revise it?

Rajeev Jhawar: As we said that, we would try to maintain at Rs. 32,000 and close to between 18% to 20%, and that is something which we feel confident that we should be able to achieve that.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: My question is regarding the US mining opportunity. If you could help us understand, how many order wins have we had, what is the share of business

right now, and what outlook would you have for it and along with that the US Oil and gas and Australia mining, these three segment.

Rajeev Jhawar: We have made decent breakthroughs, and we have got almost four or five different big mine or mines where we are supplying groups in the US, and three or four in Australia. And I am happy to say the products are well established and the quality and we are getting repeat orders. But at the same time, growing the mining business is not as simple as going and selling and engineering simple GP rope business, because change over from one supplier to the other supplier means a lot of working with the mining at the lower level. And I am happy to say that the relationships which we have built, we have been able to successfully maintain and keep on growing our share with them. But if it is exponential growth, probably it will take some more time before we are able to see a major growth coming in, in the mining. But steadily we are growing in both Australia and the US.

And the good part is that the only way you can continue to increase your market share if your supply and your quality of product is equally good, if not better than your competition, basically European and the Australian manufacturers. So, that part has been successfully achieved and our products are well accepted. And they also come in annual contracts, some of them come in once in two years contracts. So, we are waiting for the right opportunity. Once the trials are over, we will participate in those contracts. So, it will take two to three years, and I am sure that we will continue to grow. And this is an important area, a high margin,

decent business. So, we are on track to do that.
Coming to oil and gas and renewable

energy, that business is fairly strong in
Europe, in the US, South America and probably the rest of the world, including the Middle East. And that is an important area for us, almost 18% to 20% of the share of our business comes from this segment. And this segment, as we are growing our volumes, we are also seeing a good demand from both these sectors, renewable as well as the regular energy, oil and offshore business. And we expect this to atleast continue, the feedback that we get from our customers based on the various projects they have. Then next two to three years should be a fairly decent market for oil and gas.

Dhaval Shah: On the oil and gas and both mining, I would like to understand, what is the life of our products i.e after how much time we get a repeat order?

Rajeev Jhawar: You see, for mining there are different applications. Say for example a dump rope which goes into one part of the guideline is 15 days, then some are 30 to 90 days, some are even one year. So, these are different products where different applications are there. And it could be anywhere between 15 days to one year as far as the open shaft mining is concerned. For grid line rope, for the oil and offshore, for the cranes, it could be between one to three years, depending on how often they are used. And if it is drill line ropes, it could be between six months to a year. And if it is going to be anchor mooring ropes which go into the anchoring of the oil platform, it could be between three to five

years, depending in which kind of sea they are working, is it very soft, you know, so, it's very relative. Also depends on how deep it is and how often it is being used. But we see generally that it's a fairly recurring business. And again, here also we get about 85% to 90% repeat business through the replacement market and 10% to 15% through OEM.

Dhaval Shah: Sir, there's a comment regarding that we are expanding our sales distribution, and we are growing volumes capacities now. So, how should we understand the employee cost figure on the P&L? By the time you are done with the CAPEX, and you fully utilize it, over the next three-to-four-year period how will this employee cost move? In FY24 we had Rs. 428 crore, now current quarter we are run rating at Rs. 120 crore quarterly. So, how will this employee cost figure be? As you mentioned the operating leverage coming in for the Company, so how will this number stabilize going forward?

Rajeev Jhawar: This is a very good question, and this is something which we are looking at it very carefully because we are expanding the volumes. On one side we need a workforce pushing the volumes into the market, but at the same time we are also conscious that the costs need to be controlled. I can only tell you that there is a strong focus to optimize this, and you will see some good benefits coming from Q1 of FY25, when you see the things. So, next two quarters we are putting a lot of efforts on this to optimize it, relooking at every single penny which is being spent. And it's not possible for me to comment on numbers, but you will see decent progress on this in Q1 FY26 onwards. And that is where I personally feel we will get the full benefit of the volume growth kicking in and the operational leverage, which I mentioned earlier, would start kicking in. So, you will see some good results on this.

Dhaval Shah: And now again from a three-year perspective, the incremental Rs. 1,000 crore to Rs. 1, 500 crore sales which we will do over next three-to-four-year period, should that come in at around 30%, 32% margin? Is my understanding correct? Because we are doing everything value addition largely, and so that our total margin should inch towards 20% to 23%. Am I being too optimistic or is it possible with the kind of trajectory we are going to follow now, and we are following already?

Ra

jeev Jhawar: This is the question which we have been replying every time, we have gradually pushed it up from 14%, 15% to 18% to 20%. As of now, it also depends on how we manage our product mix, how we manage our volumes, how we manage our cost. So, all these are very dynamic in a global environment which is pretty uncertain at this moment. So, our endeavor is to definitely try to keep on improving it as much as possible based on what we have been able to achieve. But what we feel confident as of today is maintaining Rs. 32,000 and maintaining between 18% to 20%. If the overall market situation and global situation changes, probably things could get better. But it would be better to go cautiously, because on one side we have to also see that we get more market share, increase our volumes, increasing and getting more volume, market share always does not happen at the same price, so you need to compete. So, there

are so many dynamics involved in this. I would prefer to say that we remain at this level and hopefully we should get better, that's all I can say.

Dhaval Shah: We have changed our logo, so could you spend two minutes and just spell out like, why at this juncture have we decided to do this and what other things have you seen in the organization changing?

Shreya Jhawar: So, in terms of the logo change, there were a couple of reasons. So, as we are shifting from more of the commodity products to the high value engineering segment, we wanted our logo to also reflect that change. And we are on this transformational journey where we are going more towards these specialized products, and we do expect to see a growth over the next few years. So, that was the primary reason. Previously, we were also in the steel making business and the logo was associated with our legacy businesses. So, we thought at this point it was the right time to refresh the logo and come out with this new identity where our focus is on the core Wire Rope business, which is an engineering product.

Secondly, you would have also noticed that the logos of our various entities, the subsidiaries globally, have also come together under one sort of visual identity. What we were noticing as we were growing in the international markets that customers were not realizing the scale of our business because all the visual identities of our different entities, whether it was Brunton Shaw, Brunton Wire Rope, our service centers, DE RUITER, EMM, they all were speaking a different language and we wanted to come together as one Usha Martin to be able to convey to our customers the scale of our business and how we are working well in an integrated manner. Because operationally we have made a lot of changes where we are not working in silos anymore and collaborating overall as an organization. And we believe and we thought it was the right time to reflect that externally in our identity as well. And that has been received very positively. The initial reactions from the customers have been great, especially in the European market where all of our various entities, whether it's the global development center, EMM and DE RUITER, all have come together under one visual identity, the customers over there have been appreciating that and now relating these entities to each other as well.

Moderator: The next question is from the line of Sagar Dhawan from Value Quest.

Sagar Dhawan: On the Wire Rope segment, I just wanted more color on the volume growth. So, is the volume growth coming from value-added ropes or general-purpose ropes in this quarter?

Rajeev Jhawar: It's coming from both, as we have a mix of both the products and both general purpose. I would say it is growing equally; whatever growth is coming; I would say it is coming half and half from value-added and half and half from the GP rope.

Shreya Jhawar: Yes, I would say that since FY23, if you look at from volume terms, the overall mix of value-added by Wire Rope in the overall mix of all products was under 30%, in terms of volume, right. But in Q1 FY25 and the H1 FY25 overall it is about 32% or so, of the total mix, including if you look at LRPC wires, Wire Rope, all combined, like 32% comes from just the specialized Wire Rope.

Sagar Dhawan: And if you were to look at the Wire Rope segment, what is the share of value-added in terms of volumes within the Wire Rope segment? I think you shared it on the value terms, just wanted to understand the same mix in volume terms in Wire Ropes.

Shreya Jhawar: Yes, in value terms, it would be about 73%, in volume terms it would be about, ballpark, about 60% or so.

Sagar Dhawan: And if you can also give a rough difference in terms of the realizations between the value-added ropes and the GP ropes.

Rajeev Jhawar: The GP ropes would be around Rs. 130,000 to Rs. 140,000 per tonne, and the

specialized rope could start anywhere from Rs. 220,000 to Rs. 280,000 a tonne, and some products even would be close to Rs. 4 - 4.5 lakh per tonne.
Sagar Dhawan: If I look at your growth prospects in the international market, what would you say would be the volume growth that you will be targeting for international markets within the VAP side, value-added product side, what is the volume growth possible here and what is the market size, your current market share within that, and the right-to-win over here?
Rajeev Jhawar: I would say that in the domestic market we used to do around 37,000 - 38,000. Based on the various initiatives taken, we should be close to 47,000 - 48,000 this year in our domestic market. Because that's a market where we have a very strong distribution and very close working relationship with all the major OEM's and customers. So, we took a strategy that as we are growing our volumes, let's catch the domestic market where we were losing opportunities and get the share. So, that is something which is on track. On the international market also, I expect the growth by 10% to 12% per annum than what we are doing, because it takes time to get to new OEM approvals and takes time to get into that network. But I expect 10% to 12% growth coming from the international market also in the at least next two to three years with the various initiatives which we have taken.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.
Rajeev Jhawar: I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or to CDR India.

Thank you once again for taking the time to join us on this call. And see you all in the next quarter. Thank you.
Moderator: On behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.
Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2025

Date: 4th February 2025

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
[Scrip Code: 517146]

The Manager
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block,
Bandra Kurla Complex, Bandra
Mumbai – 400 051
[Symbol: USHAMART]

Societe de la Bourse de
Luxembourg
35A Bouleverd Joseph II
L-1840, Luxembourg
[Scrip Code: US9173002042]

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call – Q3 9M FY25

In continuation to our letters dated 24th January 2025 and 30th January 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call for Q3 9M FY25 held on 30th January 2025.

The same is uploaded on the website of the Company and can be accessed through the following weblink TranscriptQ39MFY25.

This is for your information and records.

Thanking you,

Yours faithfully,
For Usha Martin Limited

Manish Agarwal
Company Secretary & Compliance Officer

Enclosed: As above

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USHA MARTIN LIMITED
Q3 FY25 Earnings Conference Call Transcript
January 30, 2025
Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participants' lines will be in the listen-

only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devrishi Singh of CDR India. Thank you and over to you sir.

Devrishi Singh: Good afternoon, everyone and thank you for joining us on Usha Martin's Q3 FY25 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company, Mr. Abhijit Paul – Chief Financial Officer and Ms. Shreya Jhawar from the Strategy and Growth team of the Company.

We will initiate the call with opening remarks from the management, following which we will have the forum open for a Q&A session. Before we begin, I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the earnings presentation.

I would now like to invite Mr. Rajeev Jhawar to make his opening remarks. Thank you and over to you, sir.

Rajeev Jhawar: Good afternoon, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on operations and strategies following which our CFO – Mr. Abhijit Paul will run you through the key financial highlights.

In Q3 FY25, Usha Martin achieved sustained topline growth delivering an 8.0% rise in revenue, despite a challenging global environment. The wire rope division remained a core contributor, accounting for 73% of our total consolidated revenue and registering a 9.8% year-on-year increase. The wire segment performed well, achieving a 17.6% increase in revenue. The LRPC segment continued to face headwinds, reporting a decline of 1.4% year-on-year due to softer demand.

Within the wire rope division, value-added products accounted for 71%* of revenue in 9MFY25, with encouraging contributions from the elevator sector.

International markets formed 55% of total revenue in 9MFY25. However, *Percentage changed from 70% to 71% - this is factual correction made.

pricing softness and margin pressures in geographies impacted our operating profits for the quarter resulting in EBITDA margins of 16.6%. While these headwinds affected profitability, our focus on value added segments have ensured steady contributions from core sectors positioning us well for recovery in the coming fiscal.

During the quarter gone by, Usha Martin continued to make considerable progress in its strategic initiatives, working steadily to support overall business momentum despite facing certain macro-led challenges. Our ongoing expansion in our Ranchi plant and Thailand plant remains on track with expected volume ramp ups, enhancing our market position in the coming quarters. We are also seeing steady progress in our digitalization and automation investments aimed at enhancing productivity. Our capital expenditure for synthetic slings production in the UK plant is also progressing well with commercial operations to begin in Q4 FY25.

As most of you know, Usha Martin has undergone a significant transformation in recent years by divesting its steel business. This strategic move not only reduced our debt but also laid the foundation for a successful turnaround. Following this, the Company refocused in its core specialty wire rope segment, enhanced production capacity, improved our product mix and increased market share in the international markets. These steps laid the foundation for the turnaround we see today, enabling the Company to deliver steady growth and operational improvements in the future.

Building on this foundation, I am pleased to share that we have embarked on the next phase of our transformation under the “One Usha Martin” approach. This initiative is designed to bring greater efficiency across our businesses. The goal is to operate as one cohesive Company rather than separate regional businesses, ensuring optimized cost and increased competitiveness leading to stronger financial performance and sustainable long-term growth.

This strategy focuses on areas such as centralizing operations for certain functions and refining our manufacturing model.

On the operations front, we are consolidating certain functions across the geographies, example, centralizing procurement for various units under one umbrella to achieve economies of scale. Currently, each manufacturing unit is purchasing similar raw materials independently. Consolidating the procurement requirements across the group allows us to negotiate better terms with suppliers across geographies, unlocking cost savings and standardizing input quality globally.

We are also streamlining our logistics function where we are taking a more centralized approach to negotiations, securing rates across the global supply chain. While execution remains local, the strategy allows us to optimize costs. With better coordination, tracking and analytics we can also improve delivery timelines for our customers.

Additionally, we are also optimizing our back-office infrastructure by shifting certain support functions from our high-cost subsidiaries locations to India.

On the manufacturing front, we are advancing our operations with the redefined Brunton Shaw UK model. In the existing model, we manufacture wires and strands in India and complete rope production in UK. The model has been critical in establishing trust with premium customers, particularly in the specialized sectors like oil, offshore and elevators, etc.

Now that we have successfully executed and built credibility with these customers, we are taking the next step in integration. For certain product categories, we will now supply finished ropes directly from India, leveraging our enhanced capacities and cost advantages here. However, for some specialized segments such as the large diameter crane ropes used in oil and offshore applications, the

UK will remain a critical hub for final production. This enables us to achieve cost efficiency while maintaining specialization and effectively serving premium markets across the globe. The implementation has already started, and we aim to complete this transition by September, 2025.

These are just a few examples of the many initiatives we aim to undertake in the coming months as a part of this approach.

“One Usha Martin” is a clear step towards future proofing of our business, strengthening our competitive advantage, improving margins and increasing operating leverage. By integrating our operations globally, we are creating a leaner, more agile business that is better equipped to meet evolving customer needs while driving long-term creation for all our stakeholders.

With this, I would now like to invite our CFO – Mr. Abhijit Paul to present you the financial highlights for the quarter ended 31st December ‘24. Thank you and over to you Abhijit.

Abhijit Paul: Thank you and a very good afternoon, everyone. I will now provide a brief overview of the Company's operating and financial performance for the quarter and nine months ended 31st December 24.

In Q3 FY25, the consolidated net revenue from operations stood at Rs. 860.5 crore, registering a 8% year-on-year increase from Rs. 797.1 crore in Q3 of FY24. This growth was primarily driven by positive performance of our core wire rope and wire and strand segments, which recorded revenue growth of 9.8% and 17.6% respectively. While the LRPC segment continued to face challenges, we remain optimistic about its potential. With a steady increase in demand for galvanized and plasticated LRPC products, we anticipate improved performance in the upcoming quarters.

During the quarter, our operating EBITDA stood at Rs. 142.7 crore compared to Rs. 157.1 crore in Q3 FY24. The operating EBITDA margin for Q3 FY24-25 was 16.6%, down from 19.7% in the same period last year, primarily due to subdued
realizations and market dynamics in the international markets. The net profit for the quarter stood at Rs. 92.3 crore compared to Rs. 107.5 crore in Q3 of FY24.

For the nine-month period ended 31st December, 2024, the consolidated net revenue from operations rose to Rs. 2,578.1 crore, a 7.6% year-on-year increase from 2,396.2 crore in 9MFY24. Our wire rope segment accounted for 73% of the total revenue. The operating EBITDA for 9MFY25 stood at Rs. 457.5 crore compared to 447.1 crore in 9MFY24. The PAT for the nine months stood at 305.4 crore compared to Rs. 317.8 crore in the prior year period impacted by softer realizations and higher cost in certain geographies.

As at 31st December 2024, our net debt stood at Rs. 168 crore which is 28% of our annualized operating EBITDA. Despite ongoing capital expenditure initiatives including expansions in Ranchi and Thailand and upgrades at the UK facility, our debt level remains well within manageable limits.

In conclusion, I would like to emphasize that the Company remains confident in its ability to improve its overall performance going forward. As we progress, we anticipate further growth in both production driven volumes and value led growth. Our strategic initiatives including the “One Usha Martin” approach, along with continued investments in automation and digitalization will further strengthen our competitiveness and improve operational efficiency across both global and domestic markets. Usha Martin remains focused on achieving sustained growth and creating long-term value for all its stakeholders.

This brings me to the end of my address. I will now request the moderator to open the line for question-and-answer session.

Moderator: The first question is from the line of Aman Kumar Sonthalia from AK Securities.

Aman Sonthalia: Both the Indian market and the European market are having very sluggish demand scenario. And

we have expanded our capacities and at the same time we are seeing margin pressure. So, in this sluggish demand scenario, how will we increase our volume and at the same time how we will improve our margins?

Shreya Jhawar: So just answering it in two parts. First, in terms of the India market, actually the wire ropes volumes which is the core segment for us, the wire ropes volumes have gone up significantly this year. So, if we look at the nine months, the volumes have gone up from about 28,000 to about 34,000 for the 9MFY25. So, we have been able to strongly focus on the domestic market especially with the support of our dealer network. That being said, of course to your point, there is an expectation of growth in India in terms of construction, infrastructure development, the ropeways projects, bridges, which do require both ropes as well as plasticated LRPC. But on the ground execution of some of these projects in the market has been a bit slower than expected. So, you know, while in the short term that leads to certain slowdown compared to expectations, in the long term we hope that we should still see this kind of growth. USHA MARTIN

In Europe on the other hand, as mentioned in the opening remarks as well, we do see certain challenges, overall slowdown in the international markets, including Europe, which has led to particularly pricing and margin pressures. Our goal is in this market that we make the European setup more lean, more efficient so that we can optimize our costs and then in turn become more competitive and then able to retain and gain our market share.

Aman Sonthalia: My next question is regarding LRPC. So I think, this LRPC market is very competitive and it's not very remunerative as a lot of big players have come in and there is quite oversupply in the market and also the infrastructure spending is not picking up in India. As far as I know, we have stopped bidding for some haulage rope which is being used in Coal India and some of the other mining area which is not as profitable as other ropes. But it is much more profitable than this LRPC. So instead of putting our energy in selling LRPC, if we concentrate more on selling in this market, I think it will improve our profit compared to LRPC.

Rajeev Jhawar: The LRPC plant is very different to the plant producing the haulage ropes. So you are right that the LRPC demand and markets are fairly subdued at the moment because of oversupply situation and there is slow offtake of demand, because of the slowdown in execution of these projects. However, our objective of continuously upgrading our facility i.e using our facility to produce plasticated and galvanized LRPC continues to be our main focus. We have got certain orders both from domestic and export markets which we expect to ramp up in the coming quarters depending on the demands of these projects. And we feel that is the right strategy to improve the profitability of the LRPC and the facility to produce these LRPC strands, particularly galvanized and the plasticated comes from our rope making facility which is having a big advantage to us, and we feel that should really go up in the next financial year.

On the haulage rope as well as ropes for the domestic market, including Coal India, we have started bidding for these orders. As Shreya mentioned, we have increased our market share in India and been able to increase some of our volumes in these markets. As a part of our strategy going forward, we will aim

to increase our share at every market opportunity in India. Your point is noted
and it is part of our plan.
Aman Sonthalia: What is the update of Galfan Wire plant and synthetic sling plant?
Rajeev Jhawar: As far as the synthetic slings plant is concerned, the plant is completely ready including the most important testing facility of the 2,000 ton through flow testing machine

in the UK and we have started getting some small orders using our distribution and our service De Ruiter and EMM, our subsidiaries. We expect to start commercial production in this quarter itself in Q4 and next year would be the first year where we start working with all the end users to get their approvals. There is a process of getting the approvals especially for the specialized slings and our team is confident that we should be able to achieve that in the next financial year.

Coming to the Galfan which we are naming as Gal Star, which is our zinc aluminum line. I am happy to say that we have commissioned our plant, and it is under trial production, and we hope to stabilize the operations in this quarter, and we should start getting the full benefits of this from Q1 of the next financial year. And of course, some quantities of trial supplies will also be made in this quarter but we expect this to get fully commissioned in the next financial year.
Aman Sonthalia: And what about the Saudi market?
Rajeev Jhawar: In the Saudi market, we have all our team in place, all the approvals in place and we have started our rigging facility and the distribution facility there. The feedback we have received from the customers is that they are very happy as we are there with all our facilities and we have started approaching customers and started getting orders. We have been supplying there through our Brunton wire plant but now by having this facility, I think, there is a fairly good demand, and we expect good orders to flow in. And next year we should be having a significant increase in volume from that market.
Moderator: The next question comes from Dhaval Shah from Girik Capital.
Dhaval Shah: If you compare this conversation to the last quarter's concall, we are now seeing some bearishness in both the European and Indian markets. The Indian market's slowdown can be understood due to the lack of spending and CAPEX activity in the country, which directly impacts our volumes, as our Company is a beneficiary of that. But in Europe, could you explain in detail where are you seeing the slowdown? If I understand correctly, our key markets in Europe would include applications in fishing, rigs and wind installations. Which of these business segments is seeing the slowdown?
Secondly, regarding the US, we have started sending material for mining applications, which is great achievement for our Company. So, what is the progress there? Also, in Australia, we have started sending materials, how is that segment performing as per your expectation? Overall, where will the growth come from? I was expecting a much better performance this quarter and for the year. How do you plan to meet the shortfall in terms of the guidance we had given? Going forward, what sort of volume guidance would you like to share with us? These are my questions.
Rajeev Jhawar: First of all, let me tell you that while in the domestic market, there is a slowdown in the infrastructure and project execution in India, but with our initiative to work with our dealer network to have a better penetration in the market, we have actually been able to increase our market share in India and increase it almost by 18% year-on-year. And that is something which has helped us to get a better market share in India. In the coming period we expect the domestic market should hopefully start getting better and we are well prepared to take care of the increased market if that happens. We feel by focusing on our domestic market and keeping a very strong focus to ensure that we take the

full opportunity of any growth taking place. We are well prepared for that through our own marketing as well as through our distribution partners.
Coming to the European market, I w

ould say that there are three major segments which we operate apart from our rigging and servicing which is there. One is the elevator market which is fairly stable. And as a part of the new model which I mentioned in my opening remarks, that is something which we were supplying the strands from India to our UK plant and then finishing and supplying the ropes to our customers in Europe. I am happy to say that we have been able to convince them, they have come and looked at our facilities that yes, we are equally competent to supply the entire products from India. And that has already started from this month. So that is something gradually both the plants would be supplying but as the India ramps up, we will be supplying. So, this is going to help us not only be able to get a bigger market share but also help us to reduce the working capital in the business as the double freight and as the direct supplies improve from India.

Secondly, on the fishing market, we have been able to establish a fairly strong market base through our BS UK facility. There also, 90%-95% of the customers are ready to buy the products directly from India. So that is something we have started gradually, and I think by September we should be able to ensure that everything starts going from here. This is also going to help us to be more competitive, faster delivery and be able to be much more faster response to the customer needs. The oil and offshore, so this is also a stable market and a stable demand.

The area where we see a lot of competition as well as demand challenges coming is the oil and offshore. This is because of the competition and because of the lower demand; the competition is being aggressive to trying to get i.e everybody's trying to get a pie of the same market. So, we have to be competitive. And part of the strategy is to supply directly from India and part would be continuously to be producing out of our UK operations.

Dhaval Shah: Sorry to interrupt. So, the competition which you're mentioning which geography these competitors are from, is it coming from the South Korean and the Chinese market.

Rajeev Jhawar: Chinese are not there. South Korean is definitely an important player in this rope industry and there are also the European and the American players, mainly the European manufacturers and the Southeast Asian. Chinese are not there in this market. So, we don't see any competition from them.

Dhaval Shah: So, the European competition is competing against our Indian cost base? Because we are doing part production here in India and sending there, so, there is a cost of production difference which is coming when compared to the European and despite this they are still competitive. Is my understanding correct? USHA
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Rajeev Jhawar: If they keep on reducing price, suppose they are supplying at Rs.100 today, and tomorrow we are supplying at Rs. 97, because of the lower demand and their plants still running, they may want to be aggressive in the market, reduce their margin, and keep their plant running. This will also force us to reduce and match prices. So, in a weak demand-supply situation, pricing pressures will emerge, and we need to maintain our market share and compete on price. This is something which will continue in the marketplace. This is a normal business phenomenon; when demand is strong, everyone is happy, but when demand becomes less, people try to pitch for a lower price. So, you have to compete with them. So, as we mentioned earlier, our margins will definitely come down.

Dhaval Shah: Okay. And with regards to the American mining and Australian mining business?

Rajeev Jhawar: In this business, our quality is well established and the supplies are continuing both to the American and the Australian market. Our endeavor would be to slowly keep on pushing the volumes. But I am happy to say

that our quality is well established now.

Dhaval Shah: Okay. So then in terms of the guidance what we had given product wise, we might be quite short of it in the wire and strand category. So the current run rate of volumes, what we are doing on a quarterly basis, you think next quarter we could see some improvement? How is it going?

Shreya Jhawar: Overall on the volume front actually for both the ropes as well as the wire and strand category, over the nine months we've done quite well, even from a topline perspective in wire ropes we saw about 12% growth if you look at the

nine months and about 10% for this Q3 and wires is well in the nine months, about 14% topline growth and strong volume growth as well. Over the next year as well with support from these core segments as well as some of these other initiatives we talked about that hopefully will reduce our cost base and make us more competitive. We do aim to grow by at least 12% overall.
Dhaval Shah: 12% for FY26?
Shreya Jhawar: Yes. The next upcoming year.
Dhaval Shah: So, this year we should be touching overall around 1,90,000 tons in terms of total volume for the FY25 the current year by March?
Rajeev Jhawar: Yes, we should be able to do that.
Dhaval Shah: 1,90,000 and 12% volume growth on 1,90,000 base?
Rajeev Jhawar: Yes.
Moderator: The next question comes from Rajesh Majumder from B&K Securities.

Rajesh Majumdar: I had a question on the margins. How do we read into the 16.6% number that we have got this quarter? Because if you are kind of restructuring the UK operations and sending from India, there would have been some impact on the employee expenses, etc. But that hasn't really come down. So, I assume that this would also entail some kind of rationalization of employee costs in UK which would actually lead to some more cost going forward. So are we going to see more margin pressures on account of these things in the short term before we go back to kind of 18% plus levels or have we seen the bottom of the margin?
Rajeev Jhawar: To be straight to you, I think this is the bottom of the margin. And with the various initiatives of “One Usha Martin” where we are looking at rationalizing our cost across all our subsidiaries. Also, looking at what I mentioned, a lot of activities like shifting back-office to India as well as the new BS UK model where instead of taking the wire and strand, we sell finished products. So, all this should only help us get better from here. It is a journey from now up to September when we will complete all these activities. There is a big digitalization program and everybody is coming on a similar platform to ensure that all these initiatives are getting implemented. So, I see that things only getting better from here.
Rajesh Majumdar: Right sir. And my second question is, I think you have received some kind of certification, European certification for the ropeway project that India has been talking about. So, any update on the Bharat Mala project and where we stand in that?
Rajeev Jhawar: Yes, we have got the CE Certification which is the key certification for any of these ropeway manufacturers in Europe to start buying products from us. So that we have been able to get it in just about a couple of months ago. So, and now we are in touch with all the various projects which are coming up. Having said that, let me tell you that while there is a big buzz that these projects will all be coming up and I am sure that they will all come up. But there is a very big time-lag between the projects getting announced and getting all the approvals and the customers ready to buy the products. But this is a major step which was important to be able to enable us to get into this business. So having done that, we are now closely working with the various projects which are under tendering and the custom

ers who are expected to get the orders and hopefully we should start getting the business in the coming years.
Rajesh Majumdar: Just one added question sir here. This certification, does it cover all the global gondola project like USA etc. that we are bidding for, does it cover that as well the certification or do we have separate certification for this?
Rajeev Jhawar: We are supplying mainly for the projects in India. But we supply gondola ropes to the US market from our Thailand plant as well as to some of the European manufacturers through our Thailand plant. And there are a lot of these special lock coil ropes which we supply to the American market, the USA, Canada markets also. But those are more for the mining projects which require the

same ropes but not goes into the ropeway business. Our ropeway business

focus is mainly in India.
Moderator: The next question comes from Zaki Nasar, an individual investor.
Zaki Nasar: Congratulations on a very decent set of numbers in globally competitive environment. My question is more of a general question regarding your efforts to change Usha Martin from a metal converter to a global engineering Company. I think all your efforts are going behind this in terms of your sourcing, your certifications. I would like to have your thoughts on this. And since you have a new logo and got everything under one new logo, your thoughts on these transformation on Usha Martin.
Rajeev Jhawar: " One Usha Martin" approach of ours is that we have the manufacturing facilities in India and Thailand and then we have our distribution and our service and rigging facilities in different parts of the world. These are all integrated with us as 100% subsidiaries of Usha Martin. Our next step now is to integrate them more closely at the management level as well and explore ways to optimize our total costs. So, this is a major exercise we are taking which will help us become much more competitive and we would be able to take on competition in a bigger way.
On the engineering front, our global design center is working very closely with our manufacturing plants to develop new better-designed products that bring better features and products to our customers. We also have a very strong machinery division in Ranchi, which is helping us improve the engineering capabilities and modernize our plant over a period of time and we are strengthening that.
And these initiatives are all helping us to ensure that our product quality, our ability to produce better products with better features and ultimately be better than the best in the industry. So, I think all these initiatives are at different stages of implementation. And I can only say that in the next 12 months you will see some of these big improvements showing up. So, we are confident to become what you rightly said that what we were steel producer more on the steel side and the value addition. But now that we are focusing on this, probably we will only get better from here.
Moderator: The next question comes from Prolin B. Nandu from Edelweiss Public Alternatives.
Prolin B. Nandu: A few questions from my side. The first will be on competition. Now, if we look at your numbers in terms of margin, both on percentage level as well as EBITDA per ton level, and not on a quarterly basis, but from FY21 to FY24, a large part of these gains came from some of your subsidiaries, right? This gain also coincided with some of the European manufacturers maybe going off-stream because of higher energy cost. Now, the energy costs in Europe have stabilized and if we look at some of the numbers of your competition as well, they have USHA MARTIN

also improved a lot. So, are you seeing a reversal of some of the trends that benefited us during the period of high

energy cost in Europe? And do you see competition sustaining for longer, even if demand factors turns positive? I mean, how do you see this trend evolving?
Rajeev Jhawar: In any business, competition is always going to be there. Last 2 years, we have seen the demand fairly strong, and that is why everybody was very happy, and the prices were fairly decent. But when demand comes down and everybody is well prepared to take on to the competition, prices do come under pressure and ultimately the margins come under pressure for various people because everybody wants their plant to be running at optimum capacity. So, having said that, this is the reality of the business. The European market as a whole and part of the other international markets are seeing some kind of slowdown, which is impacting demand and naturally bringing in more competition.
What we are doing is to see that where we can optimize our cost with all the various initiatives mentioned in the different questions I have answered or in my opening statement. We expect to bring down our cost significantly through all these initiatives one side, and on the other side, with the various CAPEX initiatives which are already underway, part of which is almost done and the balance to be completed within the next year, we should be able to prepare ourselves to be able to take more market share from the competition, both in India and overseas.

So, if you are looking at bringing down your cost structure in different ways, you prepare yourself to take on to the next level of competition, which is happening. Having said that, we are going to ensure that with this cost cutting, we are again more competitive than our Western as well as the Korean suppliers. However, if the market improves, the cost advantage we have achieved will continue, and we should be able to get fairly decent margins. So, markets are dynamic. We need to put our house in order to be ready for any kind of competition. And I am happy to say that we are on track, and by September, all these initiatives will be in place.

Prolin B. Nandu: So that is appreciated. I understand that sir. My question was, has some of the competition that had gone out of the market due to high energy costs come back in? And on the margin also, if I remember it correctly, you were always guiding for 18% in percentage terms. Now, as you take on this entire transformation journey, are you saying that you will recoup to 18%? Does that mean we need to undertake all this cost-cutting just to get back to our original level of 18%? Or should we now think about margins also at the next level, not in the next quarter, but once the transformation is complete in September? Should we be aiming for a margin range of 18% to 20%, higher than what we had initially thought about?

Shreya Jhawar: Quarter-on-quarter, of course the situation is dynamic, but if you look at a nine month for this particular year, we are still at about 17.7% so, at the 18% EBITDA

margin levels. So, and as mentioned in one of the previous questions, the margins for this quarter, we don't expect it to get any worse from here. We are only expected to get better with all of these initiatives. So, I think that the guidance that we had given that still holds. And with these initiatives coming into effect from Q2, from now in phases, but up to Q2 we do expect things to improve.

Prolin B. Nandu: So just on this demand as well, right, in one of the past calls, we had mentioned that maybe, I might be getting this number wrong, but 45% to 50% of our demand comes from replacement demand, which, in a way has nothing to do with new CAPEX coming up or where energy prices in oil and gas are going to be. So, does that mix still hold true? And is a large part of this slowdown in demand coming from new projects, or is something happening in the repl

acement part of our market as well?

Rajeev Jhawar: The replacement market is almost 80% to 85% of the demand. It is not 50%-55%, in most products, 80%-85% of the market is replacement. That is point number one.

Point number two, take the oil sector as an example, say Saudi Arabia. If there were 350 rigs which are working last year, now, based on the current global demand, almost 50 rigs have come down. They have taken out 50 rigs out of operation. Naturally, the replacement market for those 50 rigs will not be there. It's not a question of new builds. So, when it comes to 85% of the market which is replacement holds true. But if the equipments which are in service are taken out of service, it will definitely impact the replacement market demand. I am just giving as an example.

However, overall, I would say the replacement market remains fairly strong, and in certain sectors like elevators, new builds are also doing well. In most of the developing world, the elevator demand is very strong, and both new builds and the replacement market are doing well.

So, to answer your question, 80%-85% of the demand come from replacement, and the slowdown is more due to a general economy slowdown affecting overall demand. You cannot say that new builds have completely stopped, so new builds are also there. But if there is a slowdown in any construction activity, naturally, cranes will not be working in those areas.

Prolin B. Nandu: Understood. Thanks, a lot, and all the very best.

Moderator: The next question comes from Shraddha Kapadia from Share India.

Shraddha Kapadia: So, I had a question with regards to the current capacity utilization. If you could provide it for your different segments, and also facility wise, it would be very helpful?

Shreya Jhawar: Yes. So, for ropes, in Ranchi as well as overall, about 80% to 85% of our capacity would be utilized. In the wires segment, over the years, we have moved out of some low-end wires that we used to manufacture when we had the steel business as well. So, the capacity utilizations for those remains still lower, at around 50% or so.

For LRPC, our capacity utilization is about 70%- 75%. As we get into more plasticated LRPC as well, more of the capacity would shift to make those as opposed to the regular LRPC.

If you want a bit more detail on the breakdown, we can always take it offline for various different factories and different categories.

Shraddha Kapadia: Okay. Also, I just wanted to understand the Parvat Mala project which is expected to come up. So, are we the only one having the certification in India for this? And also how much would be approximate potential which we can expect for the Parvat Mala project for us?

Rajeev Jhawar: As of today, we are the only Company with the manufacturing capability to produce these ropes. To the best of our knowledge, we are also the only Company in India with CE Certification for this.

Having said that, on the demand side, it depends on how soon projects receive final approval and when the projects start getting to a stage where they start building these projects. I personally feel there is a good demand, but it is more medium to long term rather than short term. When you initiate such a project, it typically takes three to four years before you even start supplying the first rope. Because that is the last part of the Parvat Mala project. Suppose a project needs wire rope, so that is something which is required right at the end of the commissioning of the project. So, this will all happen.

We are preparing ourselves with the certification, we have the plant capability and we are talking to all these customers, including the Government authorities. We expect to secure a decent share, but this will all happen in the medium to long term, I guess.

Shraddha Kapadia: So, we are doing this “One Ush

a Martin” initiative, if you could just give a ballpark number for the expected margin improvement which we expect, it's not like exact-exact. But if we can just give a ballpark number, that would be very helpful.

Rajeev Jhawar: Basically, you see, margins don't just come from reducing costs. It also depends on the selling price and the competition. As we said in the previous question, this quarter’s numbers are probably at the bottom, things will only start getting improved from here. But by cutting cost, margins just don't improve. You need to continue increasing your volume and get the right price for the product, which also depends on competition. USHA
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So having said that, as Shreya mentioned, our average has been close to 18%. That is something which we feel is the base at which we would be working. Let's see how the end-market prices, volumes, demand and the benefit of these costs ultimately span out.

So that is something that may not be proper for me to give you an exact number. It is best to see that how things unfold, as we are in a very uncertain global scenario, and we all need to understand that we need to prepare ourselves to face this competition.

Shraddha Kapadia: Just for my understanding. So, if you are not giving margin numbers but this will surely help us reduce the working capital days.

Rajeev Jhawar: Of course, it is going to help us reduce our working capital significantly.

Shreya Jhawar: To the working capital point, I just wanted to mention that as we said, we are optimizing the Brunton Shaw model, right. So earlier when we were supplying wires and stands from India then it would take the transit time to go to the UK then be an inventory before it could get converted into rope. Now with the direct shipments that have started from India, we will obviously reduce the working capital cycle and also that would help faster deliveries to the customer.

So, working capital definitely is an important piece in this overall thing which we're trying to optimize.

Shraddha Kapadia: That was quite helpful, thank you so much.

Moderator: The next question comes from Ishika Bajaj from Helios Capital Asset Management Private Limited.
Ishika Bajaj: I just wanted to know if you are getting any rupee depreciation benefits in the current quarter from exports?
Abhijit Paul: In the standalone financials there was some impact due to the GBP INR exchange rate. But overall, on a consolidated basis there was no impact.
Actually, there was a slight gain in the CFS books.
Ishika Bajaj: Okay.
Moderator: The next question comes from Dikshi Jain from Invest Savy PMS.
Dikshi Jain: So, part of my question is answered but on the LRPC side just wanted to know the margin profile and the asset turn. So, because the LRPC volume is around 25% to 30%.
Rajeev Jhawar: The material margin is close to Rs. 12,000 to 13,000 per ton. And so, the difference between the rod price and the ex-work selling price and our cost of production would be close to Rs. 7,500 per ton which includes the entire direct cost of production. So, the margins are fairly low. If you look at it, the contribution itself is around Rs. 4,000 to 4,500 per ton.

Shreya Jhawar: This is for the regular LRPC.
Rajeev Jhawar: This is for the regular LRPC which is the majority of the volume today.
Dikshi Jain: Okay, so on the LRPC side, can we say that this is fairly a replacement for TMT bars or TMT kind of saria in infrastructure and buildings?
Rajeev Jhawar: I don't know what the TMT margins are but these are the very-very thin margins.
We are not into the TMT market, so I am not aware of what their margins are.
But when it comes to our product these are our margins.
Dikshi Jain: No, I'm saying replacement, not margins.
Rajeev Jhawar: No,

these are two different markets altogether. Where saria is used, it doesn't get replaced. Saria has a much wider application. LRPC is mainly used for post tensioning special applications, mainly in high-rise buildings, large bridges, high speed railway projects and nuclear power projects. So, these don't replace saria. These are post-tensioning designs that are decided, they are designed by the contractors, mainly formed by the consultants for these applications. That is where our LRPC is used.
Dikshi Jain: Okay and one broader question on the slowdown in demand in Europe, Korea side, in our country also. What are the indicators you are seeing that the demand will improve in future? What are the indicators you are seeing or watch out for?
Rajeev Jhawar: I think investment in infrastructure across the country is very important. The real estate as well as the bridges and other projects are there, but we are seeing a slowdown in new orders and even the Government’s implementation of these projects. So, we have to see that when these projects get announced and when the activities start. We'll have to wait and watch to see how things unfold.
Internationally, with the current slowdown and recession in Germany and the UK, we see that in certain sectors the demands is low. So, we have to wait and see whether these Governments and economies start spending again. When that happens, infrastructure projects will pick up, and our business will start getting gaining traction.
Dikshi Jain: Okay. And the margins, you already alluded that we are at the bottom of the margin. So due to this cost cutting measures and the further expansion in some facility, we can see the margin improvement, right, when the demand will pick up?
Rajeev Jhawar: I think I have already answered this question that this is the bottom of it. Let's see, based on all these initiatives and how the selling price and how the demand pans out, we expect as of today, this to be the bottom. We should only see an improvement going forward from here.
Dikshi Jain: And just the last question on the LRPC side, what are the initiatives that you are taking to increase the volume in this segment? Because continuously we are

seeing year-over-year the volume is decreasing. So, what's your view on the

LRPC kind of revival in the volume?
Rajeev Jhawar: I don't see the LRPC as a commodity. Our whole objective is to convert as much as possible into plasticated and galvanized LRPC, which provides much higher value addition. The demand for LRPC is directly linked to projects, especially the various Government projects, bridges and infrastructure projects, which are currently subdued. There is also a lot of competition in this area, and the prices are very competitive. I don't see the Company focusing on this as an area for growth in the future. All margin growth for LRPC will come from how much we are able to convert into plasticated and galvanized LRPC. Having said that, plasticated and galvanized LRPC is not a commodity. They are project-driven, depending on how these specialized projects get commissioned both in the country and overseas. We are doing around 300 tons a month and expect this should improve in the next financial year. A lot of projects are in the enquiry or finalization stage, but it all depends on how these projects finally get into order. So, we don't see a long-future for simple LRPC in terms of margin and volume. But definitely, the more we are able to convert to the other varieties, we will be better off as an organization.
Dikshi Jain: We are not seeing the future CAPEX also?
Rajeev Jhawar: No CAPEX at all. Zero CAPEX.
Dikshi Jain: Okay, got it.
Moderator: Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.
Rajeev Jh

awar: I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter.
Moderator: On behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.
Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.
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Call: May 2025

Date: 17th May 2025

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
[Scrip Code: 517146]

The Manager
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra
Mumbai – 400 051
[Symbol: USHAMART]

Societe de la Bourse de
Luxembourg
35A Bouleverd Joseph II
L-1840, Luxembourg
[Scrip Code: US9173002042]

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call – Q4 & FY25

In continuation to our letters dated 6th May 2025 and 13th May 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call for Q4 & FY25 held on 13th May 2025.

The same is uploaded on the website of the Company and can be accessed through the following weblink TranscriptQ4&FY25.

Further, please take note that no unpublished price sensitive information (UPSI) was discussed/shared during the call.

This is for your information and records.

Thanking you,

Yours faithfully,
For Usha Martin Limited

Manish Agarwal
Company Secretary & Compliance Officer

Enclosed: As above

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USHA MARTIN LIMITED
Q4 & FY25 Earnings Conference Call Transcript
May 13, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Usha Martin Limited earnings conference call. As a reminder, all participants' lines will remain in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0", on your touch tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anoop Poojari of CDR India.
Anoop Poojari: Good afternoon, everyone, and thank you for joining us on Usha Martin's Q4 and FY25 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Abhijit Paul – Chief Financial Officer; and Ms. Shreya Jhawar from the Strategy and Growth team of the Company. We trust you have reviewed the earnings documents shared earlier. To begin, we will initiate the call with opening remarks from the management following which we will have the forum open for a question-and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.
I would now like to invite Mr. Rajeev Jhawar to make his opening remarks.
Rajeev Jhawar: Good afternoon, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on operations and strategies, following which our CFO – Mr. Abhijit Paul will run you through the key financial highlights.
We are pleased to share that FY25 ended on a steady note with revenue reaching INR 3,474 crore, a growth of 7.7% year-on-year, driven by 9.5% increase in volumes across our core segments. The Wire Rope division performed well, recording a 9.3% year-on-year revenue growth, while the Wire segment registered a robust 19.7% increase over the same period. Within the Wire Rope segment, the value-added products accounted for 71% of revenue in FY25 with encouraging contributions from the Oil and Offshore, and the Elevator sectors. International markets contributed 55% to total revenues during the year.

In Q4 FY25, EBITDA margins were at 15.6%, primarily due to a higher share of LRPC sales during the quarter. As part of our measures to optimize the business model in our international locations, we have taken a provision of onetime redundancy cost of INR 4 crore during the quarter. Excluding this one-time cost, the EBITDA margin stands at 16%. Looking ahead, we remain focused on cost control, operating discipline and enhancing the share of value-added offerings to support margin expansion.
As shared previously, "One Usha Martin" is our Company-wide transformation program, aimed at operating as a unified enterprise, moving away from regional silos. This strategic shift is yielding gains in cost optimization. It will also help us become more competitive and strengthen our position to gain further market share. The initiative is now firmly embedded in our culture. and way of working.
I would like to share a few key developments under the "One Usha Martin" approach; - Number one, as a part of this initiative, the restructuring at our Brunton Shaw UK business is progressing very well. Under the new model, Brunton Shaw will operate as a specialized hub, focused exclusively on manufacturing critical large diameter ropes for the Oil and Offshore sector. For other key value-added sectors, such as Fishing, Elevator, Crane and Mining, we have commenced direct exports from India to the European customers, enabling improved service levels, and enhanced cost efficiency. The full transition is on track and set to be completed by September of 2025. This integration of Ranchi and Brunton Shaw has also played a significant role in reducing inventory requirements at BSUK, thereby contributing to better

working capital management.
In parallel, we are implementing best practices in procurement, logistics and back-end operations across regions, with a focus on driving leaner and more efficient administrative structure.
We anticipate that the benefits of these enhancements will start delivering measurable value from the second half of the year FY25-FY26. We are also making significant progress in our digitalization efforts.
During the year, the implementation of SAP S/4 HANA was successfully completed for our operations in Singapore, Australia, Vietnam, Indonesia, United States and Thailand, with the upgradation of our European entities currently in progress. Moving everyone on a single unified digital platform is a key enabler of the “One Usha Martin” vision, facilitating stronger process controls and ensuring the successful integration of our back-office operations.
With these initiatives underway, we are starting to see early results across key metrics and expected further improvement as the programs mature. We have begun to see improvement in working capital efficiency, because of this

integrated approach. Working capital days improved from 209 in September of 2024 to 199 days in March 2025, reversing the earlier trends.
Additionally, we generated INR 141 crore of operating cash flows from international operations in H2 of FY25, helping strengthen our balance sheet.
As a result, even after undertaking INR 245 crore of CAPEX during the year, we brought down the consolidated net debt to INR 63 crore, while our standalone India operations turned into net cash positive. With these improvements in place, we are confident of sustaining this trajectory and maintaining tighter control over working capital in the quarters ahead.
Looking forward, our strategic focus for the upcoming year will center around the following priorities:
1. Continue to pursue value-led volume growth through completing the capacity expansion at our Ranchi plant. We expect volume ramp-ups in the value-added Wire Rope segment to support our marg

in expansion
in the quarters ahead.

2. Focus on value-added services for customers through our dedicated rigging shops in Europe, Middle East, Southeast Asia, thereby also improving customer stickiness and margins.

3. In the domestic market, the continued growth in infrastructure activity, port expansion and advancement of Tier-2 and Tier-3 cities is expected to drive demand for our products, particularly in segments such as Elevator and Crane Ropes. We are working closely with our channel partners' network to grow our market share in India.

4. We will continue to focus on our ‘Gal Star’ product line, which offers aluminum zinc-coated wires for rock fall barrier protection. This initiative is part of our broader strategy to pursue high-value products, even within the Wire segment, both in the domestic and the international markets.
Our commercial production of ocean fiber has begun, making our entry into the synthetic sling space for offshore lifting. Though at a nascent stage, at the moment, the venture reflects our long-term commitment to product innovation and global relevance.
To conclude, we remain committed to long-term value creation through consistent investments in value-added segments, product diversification and operational resilience. While there are uncertainties globally and ongoing geopolitical tensions, our disciplined approach to execution and financial prudence will continue to support sustained performance in the quarters ahead.

With this, I would now like to invite our CFO – Mr. Abhijit Paul to present you
the financial highlights for the quarter ended 31st March '25. Thank you, and
over to you, Abhijit.
Abhijit Paul: Thank you, and a very good afternoon to everyone. I will now provide a brief
overview of the Company's operating and financial performance for the quarter
and year ended 31st March '25.
In Q4 of FY25, our consolidated net revenue from operations stood at INR 896
crore, reflecting a year-on-year growth of 8% over INR 829 crore in Q4 of FY
'24. This revenue growth was led by strong performance of our Wire & Strand
segment, which grew by 36.5% year-on-year, and LRPC segment, which saw
18% year-on-year increase. The core Wire Rope segment remained at the same
level on a Y-o-Y basis and is expected to gain momentum in FY26, supported
by a recovery in demand, and the ongoing "One Usha Martin" initiative. These
efforts are aimed at enhancing our competitiveness in international markets,
which in turn will drive growth and margin improvement.
Operating EBITDA for the quarter stood at INR 140 crore, compared to INR 152
crore in the corresponding period last year. Excluding onetime redundancy
provision, EBITDA margin stood at 16% for Q4 of FY25. That said, as highlighted
earlier, our focus on driving operational efficiencies remains firm and we expect
this to support margin recovery going forward. Net profit for the quarter stood
at INR 101 crore compared to INR 106 crore in Q4 FY24.
On a full year basis, FY25 consolidated net revenue increased by 7.7% year-on-
year to INR 3,474 crore, compared to INR 3,225 crore in FY24. The Wire Rope
segment remained our key contributor, accounting for 72% of total revenue.
Operating EBITDA for the year was INR 597 crore, largely stable compared to
INR 599 crore in FY24. Profit before tax stood at INR 527 crore as against INR
550 crore in FY24. PBT was impacted by higher depreciation costs resulting
from capitalization of assets worth INR 303 crore.
On the balance sheet front, I am pleased to report a notable improvement in
our financial position. As of 31st March '25, our consolidated net debt reduced
to INR 63 crore, down significantly from INR 124 crore a year ago.
Correspondingly, our net debt-to-equity ratio improved to 0.02x, down from
0.05x as of March '24. Our prudent capital allocation ensures th

at ongoing and
planned growth investments remain comfortably funded.
From a cash flow standpoint, we delivered a solid improvement. Cash flow from
operations before tax in FY25 stood at INR 541 crore, representing 91% of
operating EBITDA, compared to INR 200 crore, which was 63% of the operating
EBITDA in H1 FY25. These robust cash flows, coupled with adequate working
capital headroom provide a strong foundation for future investments and
capital deployment.

In closing, I would like to reiterate our confidence in "One Usha Martin's" long-
term growth trajectory. We expect continued momentum across both volume-
led and value-led drivers, supported by strategic initiatives such as "One Usha
Martin" transformation and ongoing investments in digitalizations and
customer engagement. We remain committed to delivering sustained
performance improvements and long-term value creation for all stakeholders.
This brings me to the end of my address. I will now request the moderator to
open the line for the question-and-answer session.
Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The
first question comes from the line of Aman Sonthalia from AK Securities.
Aman Sonthalia: I have few questions regarding the performance and future direction of the
Company. Firstly, what is the reason behind the dip in margin, and when can
we expect margin improvement?
Shreya Jhawar: So as we mentioned in our opening remarks, there was a one-time redundancy
cost of INR 4 crore this quarter, which did impact our margin percentage.
Secondly, the margin percentage was also impacted during this quarter
because of the LRPC mix. The volumes of LRPC in this particular quarter were
about 15,000 metric tons compared to Q3, where it was about 13,000 metric
tons. So, this LRPC mix, if we think about how this accounted for the overall
margin percentage, it would be approximately a 1% margin reduction on
account of this mix.

And thirdly, another reason is also the higher cost in large European entities, which we had mentioned in the last call as well. These continued to impact our margin, and for that, we have taken certain initiatives, especially in our BSUK facility. Based on these restructuring initiatives of the BSUK business, which we are implementing, we do expect further margin improvement, especially starting Q2 of this next financial year.
Aman Sonthalia: Okay. Next question is - for the last few years, I think our volume in Wire Rope is almost stagnant. So from when we can expect noticeable volume growth in the Wire Rope segment.
Rajeev Jhawar: As I had mentioned in the opening remarks, our volume has been growing by about 10% year-on-year as far as Wire Rope is concerned. The new CAPEX is already in place, and we have the capability to increase our volumes. As the markets keep on improving, and as we are targeting newer markets in Saudi Arabia and also different sectors, even further consolidating our markets in India, we are now geared up to increase our volumes. I expect quarter-on-quarter, we should be able to see growth in our volumes as we move forward.
Aman Sonthalia: Okay. And what is the latest update on galvanized wireline, plasticated LRPC, and business in Saudi Arabia?

Rajeev Jhawar: The 'Gal Star' line is now started to produce, and we have got trial orders as well as some commercial orders from our customers. I am happy to say that the samples produced have been accepted in terms of quality. We are now expecting the ramp-up of volumes to take place. We expect to gradually ramp up the volumes in the next two quarters to come close to 400-450 tons a month, and by the end of this year, to reach almost 80%, 85% of our capacity.
On the plasticated LRPC, our plant i

s capable of producing 500 tons a month.
As of now, we are doing close to 200 to 250 tons a month. This largely depends on the various projects we have quoted for. Depending on the demand from these projects and as the schedules come in, we should be able to ramp up. We would say that in the next 3 to 4 quarters, based on the projected demand and the projects under the pipeline, we feel there's an opportunity that towards the end of the year, we see the volume offtake come closer to our capacity.
Aman Sonthalia: Okay. And how is the European and U.S. market?
Rajeev Jhawar: The European market is fairly stable, I would say, with demand from Oil and Offshore continuing to be strong with good inquiries. I think the order book should get better in the coming months. Even the Elevator business is stable. As far as the U.S. market is concerned, the markets are a little confused at the moment with the various tariff issues happening on a day-to-day basis. But based on our team, we expect that the business should ultimately be stable, as the U.S. does not have the manufacturing capability of the additional volumes. And with a fairly good product mix and customer base established already there, we should expect the business to be as usual, and hopefully, better as things stabilize.
Aman Sonthalia: Sir, there may be a chance of peace between Ukraine and Russia in near future. This could present a significant opportunity for our product in Ukraine. So how prepared are we to capitalize on this potential, if it happens?
Rajeev Jhawar: First of all, if it happens, that would be very good for the overall geopolitical situation. I think this would lead to a big reconstruction of whatever happened during the destruction in the war. So a lot of reconstruction activity will happen, thereby increasing the demand for crane ropes as well as elevator ropes, particularly in these two areas. And I feel that that could result into a big opportunity coming up. But that always depends if and when it happens. And the Company, with its expansion, has enough capacity to be able to take care of these demands, if and when they come.
Aman Sonthalia: Okay, thanks a lot.
Moderator: The next question comes from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: I had a question - our Wire Rope quarterly volumes were about 28 kt in Q2 FY25, and from there it has fallen to 25 kt. Can we attribute this entirely to the European business, and the fact that there is some short-term restructuring going on? Or is there some slackening in the demand as well?

Shreya Jhawar: See in the European market, while the demand is healthy, there have been certain margin pressures which have impacted the performance, and there are some competitive pressures in the market. So part of it would be attributed to the European market, as you mentioned. But overall, globally as well, in Q4, there was a slight slowdown on account of the uncertainties around policies and tariffs. That's why the Rope performance was largely flat compared to Q4 of the previous year.

At the same time, in terms of the domestic market as well as the Middle East, certain project execution was slightly slower than anticipated. But we see some early signs, and we think it should pick up in the upcoming year.

As we mentioned before, our focus will now be to optimize our costs in order to tackle some of these pressures that we are seeing in the European market as well as globally. At the same time, we will focus on value-added Rope product, as well as our rigging business in Europe, the Middle East, and South-East Asia, in order to grow volumes as well as our margins.

Rajesh Majumdar: Okay. And secondly, on your outlook for margins - we have seen ~16% for the two consecutive quarters. So, you have a long-term guidance of 18% to 20%. So, w

ill we see that in Q2 FY26, or even later than Q2, when will that margin profile return for the Company?

Shreya Jhawar: So, quarter-on-quarter, obviously, depending on the mix, the margin can change. But I would say that over the next year, we expect an overall margin of 18% at minimum, which is what we are targeting, with stronger progress towards the second half as some of our “One Usha Martin” initiatives are in full swing. So, on an overall year basis, we still maintain that a minimum of 18% is our target.

Rajesh Majumdar: Okay, thank you.

Moderator: The next question comes from the line of Krupanshu from Thinqwise Wealth Managers LLP.

Krupanshu Shah: So just on the Wire Rope volumes - earlier, we had some visibility from the Saudi Arabia market, we were targeting 4,000 metric tons, in a year. Similarly, for Elevator Rope, we were targeting around 12,000 tons. So, how is the visibility now that we have entered FY26? And are there new opportunities from the U.K.-India free trade agreement? Just on the volume side, if you can give me some visibility. USHA
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Rajeev Jhawar: So, on the Elevator volumes, I think we are on target, and we expect a strong demand, both from the international markets where we are operating as well as in the domestic market, with the growth in the Tier-2, Tier-3 cities. We expect demand to be fairly strong, and we are on target to achieve the numbers we had projected.

In terms of the Saudi market, we have started doing between 150 to 200 tons a month, which is on an annual rate of close to 2,500 tons. We expect that gradually, because we have just started few months ago, with initial supplies made and some repeat orders coming, we are fairly optimistic to achieve these numbers - maybe a quarter here or there. But ultimately, the demand traction is fairly strong, and we expect to be around an exit rate of 4,000 tons, which we should be able to achieve.

Krupanshu Shah: And on the U.K.-India agreement, does it open any opportunities for us?

Rajeev Jhawar: The U.K.-India, I don't think (Audio Distortion from 27:17 min. to 27.27 min.). Our demand between India and the U.K. through our BSUK continues to be stable, and we expect that these volumes should continue. I don't see a big increase because our new model, which we have built up, where we now supply directly from India to European companies instead of through BSUK plant, so there may not be direct supplies to BSUK, but overall, our volumes in the European market under the BSUK brand should be fairly stable to becoming better.

Krupanshu Shah: Understood. And on the gross margin - this quarter, we have obviously seen significant compression. Can we attribute it entirely to the product mix

change? And if assuming the wire rope mix improves, then is a 50% margin reasonable?
Shreya Jhawar: Yes, as anticipated, it was primarily due to the mix of LRPC, which impacted the gross margins. If we look at our usual mix from the last couple of quarters, it would be at similar levels.
Krupanshu Shah: Understood. And my last question would be - our Wire & Strands volume growth has been very encouraging. So where is the growth coming from exactly? If you can give us the type of orders also, please?
Rajeev Jhawar: Mainly, from the Auto segment and some of the Specialized Spring requirements. This includes supplies to both the domestic market as well as to customers who are exporting. So it's mainly coming from the Auto and the Specialized Spring segment.
As far as the Strand is concerned, it is the LRPC, which is driven by demand from the construction sector, and the plasticated LRPC would be going into the big bridge construction. So, these would be the sectors where we expect the growth coming from.

Krupanshu S

hah: Okay, thank you.
Moderator: The next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives.
Prolin Nandu: The first question is slightly on the margin pressure that you alluded to - not just in this quarter, but couple of quarters back as well; - you have also clarified that there is heightened competition. So, my question is – with, let's say, this tariff settling, and maybe the Ukraine issue also solving, should we expect to see some easing of competitive-intensive-led margin pressure in the coming quarters? Any color on this aspect of margin pressure that we have alluded to in the past. Any change there that you see in the near term? Or this margin pressure is something which you think is going to continue?
Rajeev Jhawar: As we mentioned, the margin pressure is because of two reasons. One is because of competition, which is always going to be there. And secondly, because we are going through a change in the business model. With our European subsidiary, BSUK, now focusing only on higher value-added products, and direct shipments from the new capacities built in India, this would result in a reduction in our fixed costs.
Additionally, as part of the “One Usha Martin” initiatives, we are focusing on shifting a lot of back-office work to India, thereby optimizing our costs and focusing on the logistics, procurement, and related areas. All these initiatives are actively being pursued.
We expect for the whole year, as Shreya mentioned, to be at a minimum 18% EBITDA margins, from the current levels of 16%. Overall, with these initiatives and improvement in product mix and increase in volumes, all coming together, we should expect to be around 18% for the year, at a minimum.
Prolin Nandu: I understand. So, what I am trying to understand is that this is not assuming any change in competition, right, or any change in the intensity of competition. Am I correct in assuming that?
Rajeev Jhawar: Yes, this is assuming business as usual at our current level. Yes, that's what we are assuming as the state of business today.
Prolin Nandu: Understood. And on this restructuring, you have spent INR 4 crore as a one-off, in Q4 FY25. How much more do we intend to spend on restructuring? And do you think that the benefit might start accruing from Q1 onwards, or this would be back-ended even in FY26?
Shreya Jhawar: Yes. So in terms of the BSUK restructuring, as part of our overall plan, we are reducing manpower at BSUK by about 50%. And that entire provision of INR 4 crore for that restructuring largely was on account of this manpower reduction, which is a one-time cost, and we don't expect any further provisions to be taken

in the upcoming quarter. So, this was the major cost related to restructuring that we see when it comes to this initiative.
At the same time, we are also looking at optimizing other fixed costs, like we

mentioned, around the back-office operations (Audio Distortion from 0:34:36 min. to 0:34.38 min.) . So, costs would reduce, but we don't expect any further provisions in terms of restructuring to be taken.

Rajeev Jhawar: And the other question is when we expect the benefit of this to start reflecting;

- I would say, once all this is completed, we'll see the effect on the overall cost and improvement in margins from Q2 of this financial year.

Prolin Nandu: Okay, that's it from my side.

Moderator: The next question comes from the line of Aryan Sharma from B&K Securities.

Aryan Sharma: Just a couple of questions regarding the guidance. So could you just guide me through - like you mentioned previously - that we can expect sequential volume growth. But could you just guide me through some numbers as to what you are expecting for FY26 and FY27?

Shreya Jhawar: Overall, in terms of both volume and topline, we expect, about a 12% to 15% growth overall across the Wire Rope as well as Wire segment. LRPC again is up and down, depending on competitive pressures. So within that, our focus will be primarily on plasticated LRPC, growing as much we can grow within our capacity of 500 tons a month.

Aryan Sharma: And like what will be our value-add share then, like what we are expecting in value-add share?

Shreya Jhawar: Within Wire Ropes, our value-add share right now, in terms of revenue is 71%. The goal is to maintain that at a minimum. And with the new capacities that have come on stream, and certain OEM approvals that we are targeting, hopefully, that should grow gradually as well. But we, at minimum, will maintain that share.

Aryan Sharma: Okay. And just one final question with regards to the restructuring being undertaken currently. So, is there any quantifiable number which you guys have worked out - like how much we are expecting in EBITDA margin just because of this restructuring, over the normalized EBITDA.

Abhijit Paul: So, once this entire restructuring exercise is done in the European facilities and across global entities, we are looking at the cost side for all the entities, wherever we have scope. So this will have an impact of 1% to 1.5% on the margin. So, the cost impact will be around 1% to 1.5%, up to a maximum of 2% of the margin that we are targeting.

Aryan Sharma: Okay, That's it from my side.

Moderator: The next question comes from the line of Shraddha Kapadia from SMIFS.

Shraddha Kapadia: So my question is regarding the international market. Currently, they contribute approximately 55% of our revenues. So, for the future or the next leg of expansion, which are the major markets which we would be targeting?

Shreya Jhawar: In terms of the international market, as previously mentioned, Saudi Arabia will be one of the major markets we are targeting. There are lot of construction projects as well as in the Oil and Gas and port sector in Saudi Arabia that would boost the demand for our crane ropes as well as slings. So, that is one of the markets we are targeting.

Secondly, the Offshore Wind sector in the U.K. and the North Sea area is another key demand driver, because we are seeing certain projects in the pipeline for the upcoming years. Thirdly, in UAE, Oil and Gas projects are gaining some traction now. So, if some of those projects materialize, we would see growing demand for our Oil and Offshore ropes in the UAE as well.

And then, in the Americas, of course, the market was a bit uncertain over the last couple of quarters. But now, with things stabilizing a bit, we hope that the mining, port and elevator markets that have been strong in the U.S., will continue as well.

That being said, while international market share has grown and now is at ~55% of the total topline for the last few quarters, we think this would maintain at the same level. In the domestic market as well, we are seeing a lot of traction. While it was slow in terms of project execution in the last few quarters, hopefully, with the demand in the elevator sector, crane ropes, and the construction sector, we see growth in the domestic market as well. So overall, the mix would largely be at the 55%, 56% range for international and 45% for India.

Shraddha Kapadia: Thank you so much for such a detailed answer; my next question was somewhat related to this. So, if we take a look, infra spending is picking up in India and

Europe. How do you look at this going forward for FY26?
Rajeev Jhawar: Yes, infra growth has started picking up in India. And also, if the geopolitical situation gets better, as we discussed earlier, this should bring a big opportunity growth in the infra sector, and that would enable demand for crane ropes and elevator ropes to be fairly strong, both in the domestic and international markets. With infra g

rowth, these are the two sectors where we see good demand coming in. So, hopefully, it should get better in the coming quarters if the infra growth trend continues.
Shraddha Kapadia: Thank you so much for answering my question.
Moderator: The next question comes from the line of Pritesh Chheda from Lucky Investments. USHA
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Pritesh Chheda: Can you give a bridge on the capacity utilization in wire ropes that you have, across all the capacity? And how much is the expanded capacity addition that we have done?
Abhijit Paul: So, our capacity utilization for the current year is around 80% to 85%. And with the additional capacity coming in, our wire rope capacity will be around 1,50,000 tons. The current volume is around 1,04,000. So we have headroom for growth for the next 3 to 4 years. So that is the current situation.
Pritesh Chheda: So, at 1,04,000, you are 85% utilization. So you are basically adding about 30,000 tons.
Abhijit Paul: No. So 1,04,000 is the current volume on a capacity of 1,25,000. We are adding another 20,000 to 25,000 tons in rope capacity, so we will reach around 1,50,000 by the end of this quarter. On that basis, what we are saying is that for the next 2 to 3 years, with a 10% volume growth, we are quite covered.
Pritesh Chheda: Okay. What is your market share in U.S. and Europe in Wire Ropes?
Shreya Jhawar: In Wire Ropes, our market share in U.S. would be 3% to 4% overall. So, we are at a low base right now. In terms of our overall topline, about 5% to 6% comes from the U.S. market. So, we are at a fairly low base in terms of market share and even the mix of U.S. business in the total revenue.
But with certain traction in Mining, Elevator Ropes, as well as certain Port contracts that we are looking at, hopefully, that is something that we can build on. But again, the U.S. is something where there is a little bit of uncertainty. So apart from our U.S. operations, we are also looking at Canada as well as Latin America as opportunities for growth. So that's something that we are looking to pursue more aggressively over this financial year.
Pritesh Chheda: In Europe?
Shreya Jhawar: In Europe, again, in different sectors, it would be different. In the Fishing Rope segment, for example, it would be less than 5%, while in Oil and Offshore, our market share is more with the OceanMAX brand. But overall, I would say it's still between 8% to 9% market share even in Europe. The competition is obviously more intense in the European market with regional players and a couple of regional players in the high-performance sector.
But I think with the new model - again, back to the new Brunton Shaw model that we have with supplies from India - we think that the European market is an area where we can get a lot of growth, because the customers have shown positive signs and acceptance of supplies from our Ranchi facility that have already started. So with the reduced cost being more competitive in the market as well as with the acceptance of our products from India, I think the combination of that should help us increase the market share in Europe. USHA
MARTIN

Pritesh Chheda: And lastly, what is the differential EBITDA per kg between wire ropes and wire and strands?
Shreya Jhawar : Overall, as you know, our EBITDA per ton has been about INR 30,000 per ton for the year. We don't usually separate it out between wire rope and wires, because a lot of the capacities are fungible. But if I have to give you a ballpark, wire rope will be INR 55,000 to INR 60,000 per ton, whereas wires would be between INR 12,000 to INR 15,000 per ton.
Pritesh Chheda: You were not audible. Wire ropes is how much?

Shreya Jhawar: Wire ropes would be between INR 55,000 to INR 60,000 per ton, whereas wires 12,000 to

15,000, but these are indicative.
Pritesh Chheda: Thank you very much.
Moderator: The next question comes from the line of Jathin from Investsavvy Portfolio Management.
Jathin Kaithavalappil: Would like to know what are the top 2 opportunities and top 2 risks that you see for the Company, especially in light of all the global uncertainties that have emerged?
Rajeev Jhawar: I would say the opportunities would always be in the infrastructure and Oil and Offshore, which continues to be fairly robust, with most countries still trying to be energy self-sufficient. That has been a growth area for us in the last year as well, and it continues to be strong.
The Elevator Rope business also continues to be fairly strong, particularly in the domestic market, with extensive growth in Tier-2, Tier-3 cities driven by the real estate business with multistory buildings. So, that is an area where we feel growth would continue to be very strong.
On the risk side, the top risk is, of course, the uncertainty on the U.S. tariff, which hopefully should not be a major issue for us. But definitely, with new policy changes coming every day, uncertainties remains in the minds of customers - what happens if they import and prices are higher, and then the tariffs come down? They could get stuck with higher inventory. All these uncertainties could definitely be one of the risk factors.
The other risk factors could be if the geopolitical situation gets worse globally, it could again destabilize logistics and the market. So, these could be the potential risks we see in front of us.
Jathin Kaithavalappil: Now the fact that China's tariff has more or less been frozen at 30%, and India currently is at 26%, which could go down, would that be an opportunity for you?

Shreya Jhawar: For us, when it comes to tariffs, we are under Section 232. So it's almost a level playing field of 25% for all countries. China is a bit higher, I think, at about 35% for our sector, in particular. We don't see that changing. This has been effective since March 12. Before that, there was a bit of uncertainty. But since then, I think this has stabilized. In the future, we don't know what might happen, but as of now, this is what it is. So, for all other countries except China, it's a 25% level playing field.
Jathin Kaithavalappil: And the U.K. treaty has also not changed that for U.K. The U.S.-U.K. treaty, the agreement between U.S. and U.K., which was just signed, has also not changed that for U.K.
Rajeev Jhawar: Nothing for us. So those changes are not having any impact on us.
Jathin Kaithavalappil: Okay.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the Management for their closing comments.
Rajeev Jhawar: I would like to thank everyone for attending the call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions.
The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on the call and see you all in the next quarter.
Moderator: On behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Date: 20th August 2025

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
[Scrip Code: 517146]

The Manager
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra
Mumbai – 400 051
[Symbol: USHAMART]

Societe de la Bourse de
Luxembourg
35A Bouleverd Joseph II
L-1840, Luxembourg
[Scrip Code: US9173002042]

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call – Q1 FY26 (Revised)

With reference to our letter dated 19th August 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the revised transcript (with factual corrections made on pages 9 and 13 of the transcript) of the Earnings Conference Call for Q1 FY26 held on 13th August 2025 at 11:00 AM (IST).

The same is uploaded on the website of the Company and can be accessed through the following weblink TranscriptQ1FY26.

Further, please take note that no unpublished price sensitive information (UPSI) was discussed/shared during the call.

This is for your information and records.

Thanking you,

Yours faithfully,

For Usha Martin Limited

Manish Agarwal
Company Secretary & Compliance Officer

Enclosed: As above

USHA MARTIN LIMITED
Q1 FY26 Earnings Conference Call Transcript
August 13, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing "*" then "0", on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you, and over to you, sir.
Devrishi Singh: Good morning, everyone and thank you for joining us on Usha Martin's Q1 FY26 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Abhijit Paul – Chief Financial Officer; and Ms. Shreya Jhawar from the Strategy and Growth team of the Company.
We hope all of you have had the opportunity to refer to the earnings documents that we shared with you earlier. We will initiate the call with opening remarks from the management, following which we will have the forum open for a Q&A session.
Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation.
I would now like to invite Mr. Rajeev Jhawar to make his opening remarks. Thank you and over to you, sir.

Rajeev Jhawar: Good morning, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on the operations and strategy, following which our CFO – Mr. Abhijit Paul, will run you through the key financial highlights.
We are pleased to report a stable start to FY26, with the consolidated revenues of Rs. 887 crore, driven by a year-on-year volume growth of 10.4% across our key segments. The Wire segment registered a strong 32.3% year-on-year revenue growth, while the wire rope division continues to perform steadily, with a 7.9% increase in revenues, supported by encouraging contributions from the crane and elevator rope segments. The LRPC segment continues to face certain USHA MARTIN

headwinds and recorded a 3.4% year-on-year decline, though strategic initiatives are underway to address these challenges.
Operating EBITDA for the quarter stood at Rs. 145 crore, with a margin of 16.3% and an EBITDA per ton of Rs. 28,502 per ton.
Early gains from the "One Usha Martin" transformation supported profitability amid market-specific and global uncertainties. While the foundational phase of our initiative is largely complete, we expect more tangible benefits to emerge in H2 FY26, as mentioned on our previous concall. A key measure of success will be our ability to scale while keeping costs in check, thereby driving better operating leverage going forward.
Some of the key growth drivers for the business which will enable us to scale are:
1. The new CAPEX at our Ranchi plant is now operating at a much more stable level, with 70% commissioning complete and stabilized as of Q1. We are meticulously planning both factory and on-ground sales efforts to strengthen our product mix for this capacity. Progress is being closely monitored on a daily basis to ensure we capture high-value opportunities which will drive EBITDA margin improvement.

2. With the CAPEX on-stream, we have also successfully increased direct shipments of high-value segments from India to the European

customers, which demonstrates acceptance of our products in these quality-conscious markets. It is encouraging to see that we have already started to get repeat orders, reinforcing our confidence in this model as a sustainable growth driver.

3. Even with some uncertainty in the US market due to tariffs, we are confident of our position in the US market. Our focus has been on retaining and even growing our market share. We have secured a sizable tender that provides strong order visibility for the rest of the year alongside our regular business in the US.

4. Our synthetic sling solution, Oceanfibre, has gained faster-than-expected traction, with strong brand acceptance in a short period of time. The enquiry pipeline is robust across offshore, subsea, and heavy-lifting applications, and our sales teams are actively working with potential customers to move these enquiries towards orders. Early trials and feedback have been extremely positive, and we are already seeing promising signs that Oceanfibre will become a meaningful contributor to our high-value product portfolio in due course.

While these growth drivers strengthen our topline, we are equally focused on disciplined cost management to enhance margins. As a group, we are examining every cost line with the aim of improving efficiency and profitability. USHA MARTIN

Some initiatives are already delivering results, while others will yield benefits in the coming quarters. For example, employee costs have reduced from an average of Rs. 118.6 crore per quarter in FY25 to Rs. 113.2 crore in Q1 FY26, with further savings expected as we expand our shared services back office in India. Another example is on our finance costs. We have repaid the entire US$3.4 million loan in Singapore and plan to fully repay €2 million loan in Netherlands, with the impact of these actions expected to reflect from Q2 onwards.

All of these initiatives have led to strengthened balance sheet. Inventory levels have come down meaningfully from FY25 peak, driving strong cash conversion. Operating cash flow stood at 95% of operating EBITDA in Q1 FY26. Our balance sheet has also strengthened with the net debt-free position at both standalone and consolidated levels, giving us greater flexibility to fund future growth without leverage constraints.

Looking ahead, while Q1 FY26 reflects a steady operational performance, a stronger growth trajectory is expected in the second half as the benefits of transformation initiatives and capacity e

xpansion gather pace.

Better demand visibility, supported by improved competitiveness across global markets, positions the Company to pursue market share gains even amid prevailing macro geopolitical uncertainties. This approach is expected to strengthen leadership in core segments and deliver sustainable value for all our stakeholders.

With this, I would like to now invite our CFO – Mr. Abhijit Paul to present the financial highlights for the quarter.

Abhijit Paul: Thank you and a very good morning to everyone. I will now provide a brief overview of the Company's operating and financial performance for the quarter ended 30th June 2025.

In Q1 of FY26, our consolidated net revenue from operations stood at Rs. 887 crore, reflecting a year-on-year growth of 7.4% over Rs. 826 crore in Q1 of FY25. This revenue growth was led by strong performance of our wire segment, which grew by 32.3% year-on-year.

The core wire rope segment, which continued to be the largest contributor with 72% share of the total revenue, registered stable performance with 7.9% growth on a year-on-year basis and is expected to gain momentum from H2 of FY26, supported by recovery in demand and the ongoing “One Usha Martin” initiative.

Operating EBITDA for the quarter stood at Rs. 145 crore as against Rs. 154 crore in the same period last year. While margins were impacted by market-led pressures, our continued focus on operational efficiencies is expected to aid USHA MARTIN

recovery in the coming quarter. Net profit for Q1 FY26 stood at Rs. 101 crore compared to Rs. 104 crore in Q1 of FY25.
On the balance sheet front, I am pleased to report a significant strengthening in our financial position. As of 30th June 2025, we have achieved a consolidated net cash position of Rs. 14 crore compared to a net debt of Rs. 63 crore on March '25. Our disciplined capital allocation approach ensures that both ongoing and planned growth initiatives remain well-funded.
From a cash flow standpoint, we recorded a healthy improvement. Operating cash flow before tax for Q1 FY26 stood at Rs. 137 crore translating to approximately 95% of operating EBITDA compared to Rs. 102 crore or 66% of EBITDA in Q1 FY25. This improvement reflects our tighter operational controls and sharper working capital management. These strong cash flows supported by adequate working capital headroom provide a strong foundation for future investment and disciplined capital deployment.
To conclude, we remain confident that strategic groundwork laid under "One Usha Martin" initiative combined with disciplined financial approach positions the Company well for the next phase of growth. Steady traction across markets, a sharper focus on operational agility, and a continued strength in the balance sheet cash flows act and working capital management provide a solid foundation for improved performance going forward.
Moderator: Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from Aman Kumar Sonthalia from A K Securities.
Aman K. Sonthalia: My question is related to U.S. market. There is a significant hike in the duty in the U.S. market. So, how will we grow there and maintain our business?
Shreya Jhawar: So, with regard to the U.S. market for steel wire rope, which fall under the Sec. 232, the tariffs are 50% across the board. So, the reciprocal tariff is separate and this 50% tariff for our particular product category is different and applies to all countries except UK, which is at 25%. For us, so far, in terms of the impact of these tariffs, we have not seen a major issue because for most of our high value products like elevator ropes and mining ropes, which we sell in the U.S. In most cases, we have been able to pass on a large part of the tariff increase to our distributors or to our end customers. And in some cases where w

e cannot
do that, we have to take a judgment call of how to proceed.
But our major focus has been that we do not want to give up our market share in the U.S. because we want to ensure that we do not lose our customers in the U.S. in the long term. And in fact, because we have a warehouse in Houston, with our inventory on the ground for our GT ropes, we have been able to actually get a better realization for our products and actually gain share in some cases. USHA
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And one of the other positive developments has been that we recently won a tender in the U.S., which is a sizable tender, which gives us a good order visibility and a consistent order book for FY26.
So, all in all, while the environment still remains uncertain, we do not know how things will evolve overall in terms of the tariff environment. Things change every day. But as of now, we are feeling cautiously optimistic.
Aman K. Sonthalia: My next question is related to European market. I think there is a huge geopolitical tension going on. So, how do we see our European business going forward?
Rajeev Jhawar: We are very positive on our European business. With our integration between India and the BSUK facility, we have now started supplying the BSUK brand directly from our Indian plant to the European market. Supplies are going well, and we are also receiving repeat orders. This is helping us become more competitive in that market, and we are able to ensure faster deliveries to our customers. Demand remains fairly strong across wind energy, renewable energy, oil & offshore, and the crane and elevator segments. We expect to see decent growth in Europe in this financial year.
Aman K. Sonthalia: I have seen a decrease in the manpower cost. But at the same time, I have seen that there is an increase in the other expenses. So, can we expect a further

reduction come down in manpower costs? And what is the reason for the sudden spike in other expenses?

Shreya Jhawar: That is a good question. So, if we look at our other expenses, for this quarter, it was about Rs. 166 crore, and if we compare it to the quarterly average for FY25, it was about Rs. 163 crore. As you said, there is a slight increase; there is a Rs. 3 crore increase. But if we break that down further, the other expenses can be seen as fixed as well as the variable expenses. So, the fixed expenses have actually decreased from the Rs. 37 crore level to about Rs. 34 crore through all of the initiatives which we have been talking about under 'One Usha Martin'. What has increased is the variable expenses, which has increased from about Rs. 126 crore to Rs. 132 crore. But a large part of that increase is the freight component of Rs. 6 crore, largely for Europe orders, which is actually recovered from end customers.

And the second part you mentioned, which was the employee expenses. The employee expenses have decreased actually from Rs. 125 crore in Q1. But that was slightly higher level, on average if we see of FY25, it was Rs. 118 crore for quarter, which has decreased to Rs. 113 crore this quarter, which is on an annualized basis, a Rs. 20 crore decrease, which we do expect will further reduce with all of the initiatives and the back office that we are setting up in India. So, as more of these 'One Usha Martin' initiatives materialize, we will see expenses across the board come down. But the most important part is we have to do that without compromising on our growth, which we are confident of, and that is what will give us better operating leverage. USHA
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Aman K. Sonthalia: As sir has said in the initial remark that we are seeing a very good traction in the synthetic sling business. So, can you shed some light on that business?

Shreya Jhawar: So, as we mentioned in the opening remar

ks, the Oceanfibre brand, which is our Synthetic Sling brand, that has picked up really well. We are getting repeat orders from our customers for that product in Latin America, even in Europe. And we thought that it would take a while to build track record and go into this heavy lift synthetic sling market. But it has been great to see that we have already got success there and we will be supplying heavy lift sling for the critical offshore wind market, which is a high value, high margin product, and we have already secured the order, and we will be supplying it in the upcoming quarters. While it is still early days and we do not want to put a number to it, we definitely think that in 18 to 24 months, it will become a meaningful, sizable, independent vertical for our next level of growth that we are targeting.

Aman K. Sonthalia: Okay, thanks.

Moderator: The next question is from the line of Pratim Roy from B&K Securities.

Pratim Roy: Congratulations on the good set of numbers. I have just two questions. First of all, in the last quarter, there was a one-off. So, is there any one-off in this quarter as well?

Rajeev Jhawar: No, there are no one-off expenses in this quarter.

Pratim Roy: Okay. Secondly, when can we expect that the 800 to 100 million cost optimization strategy that we have will be reflected in our books?

Rajeev Jhawar: It should reflect from quarter 2, but we should be able to see full advantage from quarter 3 onwards.

Pratim Roy: You said that the U.S. tariff impact is not that much as we can easily pass through the tariff to the end customer. But in some cases, Shreya ma'am mentioned where we are unable to do so, we have to take some other steps. So, if you can quantify any number, what kind of impact we can expect from the U.S. tariff overall. Any ballpark number on that side?

Rajeev Jhawar: I think we are cautiously optimistic. We should be able to not only retain our market share and protect our margins, but also, in some cases, increase our market share. However, since tariffs continue to change fairly frequently, we remain cautiously optimistic. If the current status quo is maintained going forward, we believe we should be able to sustain both our margins and volumes in the U.S. market.

Pratim Roy: Okay, thank you.

Moderator: The next question is from Prolin Nandu from Edelweiss. USHA
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Prolin Nandu: I continue with the last participant's question on tariff, right. Now, 50% is a very large number, and despite that you are confident of maintaining the market share as well as margin. Can you help us understand how you plan to achieve this? I understand that domestic producers do not have enough capacity to supply, but with 50% differential, maybe they can also put up the capacity. And the larger question is that, let us say, for example, you were aware of the tariff before you thought about this restructuring from the U.K. to India, - would your decision change? And can you keep some capacity operational at the U.K. plant so that between India and U.K., you can take advantage of some of the tariff differential, when it comes to some markets like U.S.? So, this is the first question that I had.

Shreya Jhawar: While 50% is the tariff, it is the same for others as well. We compete with the Koreans and we compete with other people in the India market. So, for everyone, it is 50% as opposed to the reciprocal tariff, where it is different tariff for different countries, right; so, in that way, it is a level-playing field. Secondly, when it comes to the U.S. market, the domestic market versus export, that is looked at very differently because the domestic prices, even with the 50% tariff in a lot of the major categories, will still be at higher levels, they do command a premium. So, in that way, we are still overall competitive. Thirdly, your point around,

will the domestic producers set up any capacity; - with the environment being so dynamic right now and uncertainty for them as well in the market as there are changes happening on a daily basis. Based on our initial analysis, they are also not feeling like it makes sense to put in more capacity because if things change in a couple of years, then they would be stuck with that additional capacity and there might be an oversupply at that point. So, while they do not have production capacity right now to meet the demand, import will always be a factor. We do not see any major CAPEX plans for the major producers over there.

And then to your last point, for the BSUK part, we still have our machines in BSUK. We have reduced our manpower and we have reduced our production over there. But we do have the flexibility where if we feel that this environment continues or changes and in some cases the unit economics makes sense for us to produce in BSUK for the US market, we have the flexibility to do that.

Prolin Nandu: That is very encouraging to hear. My second question would be on the domestic market. Can you just help us understand what the competitive environment looks like, because there are some other players who seem to have received approvals in some of the mining tenders, and some domestic players are also putting up capacity for high value-add wires.

So, compared to a few years ago, has our competitive position in the domestic market taken a hit, or how should one think about competition in the domestic market? USHA
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Rajeev Jhawar: Good question. In the domestic wire rope segment, Usha Martin holds about 65% to 70% market share. We have a very strong dealer network and a highly capable technical team that supports customer service along with our dealers. This strength has helped us consistently maintain and in some cases even grow our market share.

Domestic prices have improved slightly, mainly due to a better product mix. We expect to maintain our strong position going forward, with continued support from both our dealers and customers.

Competition exists across all segments, and we are focused on continuous improvement, enhancing our products with the help of our global design center and R&D facility in India. This close collaboration with customers allows us to keep upgrading our products and improving technical performance, which in turn helps us maintain our market share.

On the wire business side, we recorded a 30% year-on-year growth. Our focus is on increasing the production of high-value-added wire, which boosts overall sales while keeping us away from the low-margin commercial wire segment. That’s not a space we operate in. We're focused on a niche market and expect to continue growing within it.

Prolin Nandu: Thank you.
Moderator: The next question is from the line of Jasdeep Walia from Clockvine Capital.
Jasdeep Walia: So with respect to products that you supply to US, are these being supplied by your India facility or the UK facility? And if the tariff were to remain at current levels, would it be possible for you to shift the entire production for your US market to the UK plant?
Rajeev Jhawar: Most of the supplies are currently taking place from our India and Thailand plants, and we will continue with this arrangement. As Shreya mentioned earlier, if an opportunity arises to supply from the UK, we can definitely shift 10% to 15% of the volume through our UK plant. However, we do not foresee that situation occurring in the near term. That said, we have ensured flexibility, especially on the manpower front and should the situation change, we will be well-positioned to make that shift.
Jasdeep Walia: Got it, and with respect to this flexibility that you mentioned, is it that the UK plant will require some manufacturing investments or modifications to be able to ca

ter to US volumes, or is the plant ready and, whenever you feel the time is right, the production could be comfortably moved to the UK plant?
Rajeev Jhawar: No, we do not require any further fixed asset investment there. Our plant and machinery in the UK are in good shape, and we have retained all the equipment, nothing has been moved out. Should the need arise, we can quickly resume production from that facility.
Jasdeep Walia: I am just curious, given the fact that there is a large duty differential between UK and other manufacturing locations of almost 25%, why aren't you already shifting the US volumes to the UK plant because it will add a significant amount of margin to your US sales?
Rajeev Jhawar: Anything that goes from the UK plant, wires and strands, must first be shipped from India or Thailand to the UK. The cost of manufacturing in the UK is also not low, primarily due to higher labor costs. Then there's the added logistics cost: first sending material to the UK, converting it there, and then shipping it again to the US. Considering all of this, it still remains more competitive to supply directly from India and Thailand.
Shreya Jhawar: And in most cases, the distributors, end customers are taking on a large part of the price increase. So, that is something that is also helping us retain our share.
Jasdeep Walia: Got it. thank you.
Moderator: The next question is from Rajesh Agarwal from Moneyore Capital.
Rajesh Agarwal: We are seeing a traction in which elevator or locally domestic in that segment, specifically in the domestic market? Because I read an article that the elevator segment is growing by double digit. This is my first question.
Rajeev Jhawar: The elevator segment is definitely growing fairly fast in the domestic market. With the construction of multi-storied buildings in tier two and tier three cities, we are seeing a lot of demand coming up. Elevators are one segment witnessing strong growth, in addition to the crane market, which is also linked to construction activities such as piling, mobile cranes, and even ports. So, these are the two segments showing fairly strong growth in India.
Rajesh Agarwal: And the second question, is there a possibility of further reduction in working capital, and what do we plan to do to increase the margin to the guided level of 18%? How will the margins improve, and how will the working capital improve?
Shreya Jhawar: So, definitely the working capital will reduce going forward. In September last year it was at 209 days at its peak and now it has come down to 196 days as of this last quarter. We are confident that this positive trajectory will continue.
The second part is the EBITDA margin growth. Yes, we definitely expect it to grow from the current 16.3%* levels to an average of 18% for the full year and we are quite confident of that both in the domestic and international market.
So, first in terms of the domestic market, we do expect better product mix and realizations going forward and we have seen already early signs of that from our order pipeline with our dealer network. So, overall from Q2 there we expect the margins to go up. And then when it comes to the international business one of the reasons the margin was also subdued was because in the Middle East in the past quarter, we did see certain pricing pressures with GP rope but even *Changed from 13.3% to 16.3% - this is a factual correction.

there our focus is more on the high value products now in elevators, piling like we were talking about even in the Middle East market. So, with that it might take a little bit more time, but in H2 we do expect the recovery to come in, and then of course with the European business initiatives which we have already talked about, that would also lead to

further better margin improvement. So, all of this gives us confidence that H2 should be at a much better level.

Rajesh Agarwal: This mitigates any increase in steel prices also?

Rajeev Jhawar: No, the steel prices have been fairly stable and in fact we saw last two months a slight reduction in prices and with the feedback what we have, we do not see a major increase coming up on steel. So, it is more or less stable I would say.

Rajesh Agarwal: What will be the maintenance CAPEX this year?

Rajeev Jhawar: Maintenance CAPEX would be close to Rs. 25 to Rs. 30 crore.

Rajesh Agarwal: Okay and fresh CAPEX?

Rajeev Jhawar: The maintenance CAPEX is expected to be Rs. 25 to Rs. 30 crore and the total CAPEX to be around Rs. 150 crore.

Rajesh Agarwal: Okay.

Moderator: The next question is from the line of Shreyansh Shah from Fort Capital.

Shreyansh Shah: Congratulations on a decent set of numbers. Basically, I have two questions. One is in the wire segment you reported a 32% year-on-year growth. So, I just wanted to understand, is it driven by structural demand or short-term orders seen this quarter? And the second question is the LRPC segment - volumes fell, so was this is due to temporary project delays, price competition or a structural slowdown in the segment?

Rajeev Jhawar: On the first question, the wire business as we mentioned in our previous calls, we have started focusing on increasing our presence in the auto sector as well as on some niche products like door springs, etc. So, this market is one we have been consistently focusing on, and we expect this trend to continue going forward.

Coming to the LRPC market, yes, the monsoon period as well as the demand and price pressures have been significant. As mentioned in our opening remarks, both the volume as well as the margins are under pressure. Our focus would be to keep on increasing our focus on the plasticated LRPC business, which would help us to get a better margin for our product. So, this trend of pressure on the general LRPC is expected to continue more so on the margin front. Volumes may get better once the monsoon is over and the project activity starts.

Shreyansh Shah: Just a follow up question on the LRPC that you mentioned. So, going forward do you think that the revenue contribution from the LRPC segment would be declining from here on?

Rajeev Jhawar: Yes, we expect it to be at similar levels or would be declining, and the plasticated LRPC which is the value added should gradually be going up. So, that is what we expect. We do not see this as a very business which can add significantly to our growth going forward, the general LRPC.

Shreyansh Shah: Okay, understood. Post your Ranchi expansion how much incremental capacity in metric tons will you add, and how quickly can it be ramped up for sudden orders that may come in?

Abhijit Paul: So, regarding the Ranchi capacity, as mentioned in the last concall, we have an overall capacity increase of around 40,000, out of which rope capacity is around 20,000. As of now, we have already installed about 70% of the capacity and the remaining 30% installation will be completed by end of Q2, around October. Within this increased capacity, we have developed new products, plasticated ropes are part of this additional capacity. So, expansion will help us generate good volumes going forward.

Shreyansh Shah: Okay sir, thank you.

Moderator: The next question is from Shraddha Kapadia from SMIFS Capital.

Shraddha Kapadia: So, just continuing with the question by the earlier participant, I would just like a brief overview, - could you share the new CAPEX plans beyond Ranchi for the future?

Rajeev Jhawar: For the future, we have a Rs. 60 crore investment plan in Thailand which is under implementation. At our Ranchi plant, once this phase is completed, as our CFO mentioned, by Q2, we

would definitely look at opportunities to grow,
particularly in our elevator rope and crane rope segments, because that is an area where we are seeing a lot of traction coming from both domestic and international markets. As and when we see demand growing, we would take proactive steps to increase our capacity, which could be at the Ranchi plant, or we could also add new capacity at our Hoshiarpur plant to cater to this increasing demand.

Shraddha Kapadia: We have seen a good growth in the wire strands segment. How sustainable is this growth? Is it driven by new customer acquisitions or increased industrial demand, - could you help us understand that?

Rajeev Jhawar: It's a good question. We are acquiring new customers as well as increasing volumes with our existing ones. Having identified this as an important vertical for us, we've been working on it over the last few quarters and have successfully developed the business. This is not a one-off growth, we expect it to continue steadily, with volumes growing quarter after quarter.
The key areas we are focusing on include the auto sector, which is performing fairly well. We are also working on door springs, as one example, and zinc-aluminum wires, which are used for rockfall barriers and certain critical spring applications. These areas are our focus, and we believe this will continue to be an important vertical going forward.

Shraddha Kapadia: Thank you so much for your detailed answer.

Moderator: The next question is from Sanjay from ithought PMS.

Sanjay Kumar : I have a question on margins and EBITDA per ton. We reported Rs. 28,500 as EBITDA per ton in Q1. Is it possible to break this up into wire rope domestic and export segments within the wire rope business?

Abhijit Paul: We do not specifically mention the EBITDA per ton. But if we do a rough calculation for wire ropes, it will be in the range of Rs. 55,000 to Rs. 60,000 per ton, as most of the fixed cost is allocated to the wire ropes. For the wire segment, EBITDA per ton will be between Rs. 12,000 to Rs. 15,000, and for LRPC, it will be on the lower side, around Rs. 2,000 to Rs. 3,000 per ton.

Sanjay Kumar : The reason I was asking is because I was looking at the wire rope realizations in the U.S., which are as high as $8,000 - $8,500 per ton. With wire rope doing a 12% EBITDA margin, it seems like they are doing $900-$1,000 EBITDA per ton, translating to Rs. 85,000 per ton. Are we also in a similar ballpark for our U.S. exports? And does it imply that as our share of U.S. goes up, our margins could increase going forward.

Shreya Jhawar: So, wire rope, like Abhijit said, is on average Rs. 55,000 to 60,000 per ton, but export and international markets, definitely you get a better EBITDA margin compared to domestic. We do not separate it out and share those numbers, but it would definitely be on higher levels. And if we increase our share in our international markets, whether it is U.S. or direct export to Europe from India, it would definitely improve the EBITDA per ton going forward.

Sanjay Kumar : Okay. So, post all the cost initiatives, like the 'One Usha Martin' initiative, what kind of EBITDA margins target do we have let us say for FY27 at the consol level?

Rajeev Jhawar: As Shreya mentioned earlier, we should be able to achieve 18% on an annualized basis for this financial year, based on the various cost initiatives we have undertaken, most of which are under implementation and expected to be completed by Q2 of this year. We will begin seeing the benefits of these initiatives thereafter.

Secondly, with the new CAPEX now implemented, we expect volumes to improve from these additions. Alongside this, our marketing efforts for the expanded capacity have also gained traction. If we are expecting 18% for the full year, we are confident that next year this will improve further and

believe
margins in the range of 19% to 20% are achievable going forward.
Sanjay Kumar : Got it. Sorry to keep going back to the tariff issue, but given that Bridon-Bekaert is based out of UK, they might have a better advantage over us, and even WireCo which is based out of USA, - can we still compete with them despite manufacturing in India or Thailand? Do we see any weakness in WireCo, especially since some credit rating reports have indicated they've been struggling over the last two to three years?

Rajeev Jhawar: Yes, we've also heard that WireCo has been facing some challenges, though I don't have detailed information on that. What I can say is that our team is fairly

confident and we too are confident that we should be able to maintain and grow our market in that region. This confidence stems from our local presence, our own distribution and warehouse setup, and our close engagement with customers.
We have also recently won a large contract, which strengthens our position in that market. Among the international players including Korean, Turkish, and ourselves, the tariff levels are fairly similar. Chinese competitors, in fact, face slightly higher tariffs. So overall, we remain cautiously optimistic about our position in the U.S. market as of now.
Sanjay Kumar : Got it.
Moderator: The next question is from Jayshree Bajaj from Trinetra Asset Managers.
Jayshree Bajaj: As you mentioned in Q1 that the Company is nearing completion of the foundational phase of the transformation, could you please provide some specific, measurable operational KPIs that you expect to improve by the end of the second quarter? Also, what percentage of cost savings or efficiency gains has been realized so far?
Shreya Jhawar: Yes, so in terms of the measurable KPIs, of course, we talked about in terms of cost reduction, the employee cost as well as other expenses and we expect decrease in that which would help us get at least 18%. The other is the working capital reduction which came down to 196* days this quarter. Even the inventory came down to 175 days this quarter. We are tracking both of these, and we hope to reduce this further by at least 10 days over the few quarters. That is another KPI we are targeting. Third is looking at our cash conversion. So, we converted about 95% of the operating EBITDA to cash and by the end of the year we are targeting to take this even more than 100% levels which we are confident of achieving through overall better financial discipline and working capital management. These are some of the KPIs that we are targeting. In terms of how far we are with this, we started this in around September, October of last year and from Q3 we expect to see the full benefits of it.
Jayshree Bajaj: Okay, so there are no numbers you can share right now? Are there any numbers I can get that shows how it has helped in cost savings so far? *Changed from 166 to 196 - this is a factual correction.USHA MARTIN

Rajeev Jhawar: You will start seeing the full benefits of what has been articulated begin to reflect in our numbers from the coming quarters. Some of the figures have already been shared by her, the rest are still a work in progress and should start showing from Q2 onwards.
Moderator: That will be the last question for today. I will now hand the conference over to the management for closing comments.
Rajeev Jhawar: I would like to thank everyone for attending this call and showing interest to Usha Martin Limited. I hope we have been able to answer all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or CDR India. Thank you once again for

taking the time to join us on this call and see you all in the next quarter.
Moderator: Thank you very much. On behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Date: 19th August 2025

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
[Scrip Code: 517146]

The Manager
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra
Mumbai – 400 051
[Symbol: USHAMART]

Societe de la Bourse de
Luxembourg
35A Bouleverd Joseph II
L-1840, Luxembourg
[Scrip Code: US9173002042]

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call – Q1 FY26

In continuation to our letters dated 5th August 2025 and 13th August 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call for Q1 FY26 held on 13th August 2025 at 11:00 AM (IST).

The same is uploaded on the website of the Company and can be accessed through the following weblink TranscriptQ1FY26.

Further, please take note that no unpublished price sensitive information (UPSI) was discussed/shared during the call.

This is for your information and records.

Thanking you,

Yours faithfully,

For Usha Martin Limited

Manish Agarwal
Company Secretary & Compliance Officer

Enclosed: As above

USHA MARTIN LIMITED
Q1 FY26 Earnings Conference Call Transcript
August 13, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing "*" then "0", on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you, and over to you, sir.
Devrishi Singh: Good morning, everyone and thank you for joining us on Usha Martin's Q1 FY26 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Abhijit Paul – Chief Financial Officer; and Ms. Shreya Jhawar from the Strategy and Growth team of the Company.
We hope all of you have had the opportunity to refer to the earnings documents that we shared with you earlier. We will initiate the call with opening remarks from the management, following which we will have the forum open for a Q&A session.
Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation.
I would now like to invite Mr. Rajeev Jhawar to make his opening remarks. Thank you and over to you, sir.

Rajeev Jhawar: Good morning, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on the operations and strategy, following which our CFO – Mr. Abhijit Paul, will run you through the key financial highlights.
We are pleased to report a stable start to FY26, with the consolidated revenues of Rs. 887 crore, driven by a year-on-year volume growth of 10.4% across our key segments. The Wire segment registered a strong 32.3% year-on-year revenue growth, while the wire rope division continues to perform steadily, with a 7.9% increase in revenues, supported by encouraging contributions from the crane and elevator rope segments. The LRPC segment continues to face certain

headwinds and recorded a 3.4% year-on-year decline, though strategic initiatives are underway to address these challenges.
Operating EBITDA for the quarter stood at Rs. 145 crore, with a margin of 16.3% and an EBITDA per ton of Rs. 28,502 per ton.
Early gains from the "One Usha Martin" transformation supported profitability amid market-specific and global uncertainties. While the foundational phase of our initiative is largely complete, we expect more tangible benefits to emerge in H2 FY26, as mentioned on our previous concall. A key measure of success will be our ability to scale while keeping costs in check, thereby driving better operating leverage going forward.
Some of the key growth drivers for the business which will enable us to scale are:
1. The new CAPEX at our Ranchi plant is now operating at a much more stable level, with 70% commissioning complete and stabilized as of Q1. We are meticulously planning both factory and on-ground sales efforts to strengthen our product mix for this capacity. Progress is being closely monitored on a daily basis to ensure we capture high-value opportunities which will drive EBITDA margin improvement.

2. With the CAPEX on-stream, we have also successfully increased direct shipments of high-value segments from India to the European customers, which demonstrates acceptance of our products in these quality-conscious markets. It is encouraging to see that we have already

started to get repeat orders, reinforcing our confidence in this model as a sustainable growth driver.

3. Even with some uncertainty in the US market due to tariffs, we are confident of our position in the US market. Our focus has been on retaining and even growing our market share. We have secured a sizable tender that provides strong order visibility for the rest of the year alongside our regular business in the US.

4. Our synthetic sling solution, Oceanfibre, has gained faster-than-expected traction, with strong brand acceptance in a short period of time. The enquiry pipeline is robust across offshore, subsea, and heavy-lifting applications, and our sales teams are actively working with potential customers to move these enquiries towards orders. Early trials and feedback have been extremely positive, and we are already seeing promising signs that Oceanfibre will become a meaningful contributor to our high-value product portfolio in due course.
While these growth drivers strengthen our topline, we are equally focused on disciplined cost management to enhance margins. As a group, we are examining every cost line with the aim of improving efficiency and profitability.

Some initiatives are already delivering results, while others will yield benefits in the coming quarters. For example, employee costs have reduced from an average of Rs. 118.6 crore per quarter in FY25 to Rs. 113.2 crore in Q1 FY26, with further savings expected as we expand our shared services back office in India. Another example is on our finance costs. We have repaid the entire US$3.4 million loan in Singapore and plan to fully repay €2 million loan in Netherlands, with the impact of these actions expected to reflect from Q2 onwards.
All of these initiatives have led to strengthened balance sheet. Inventory levels have come down meaningfully from FY25 peak, driving strong cash conversion. Operating cash flow stood at 95% of operating EBITDA in Q1 FY26. Our balance sheet has also strengthened with the net debt-free position at both standalone and consolidated levels, giving us greater flexibility to fund future growth without leverage constraints.
Looking ahead, while Q1 FY26 reflects a steady operational performance, a stronger growth trajectory is expected in the second half as the benefits of transformation initiatives and capacity expansion gather pace.
Better demand visibility, supported by improv

ed competitiveness across global markets, positions the Company to pursue market share gains even amid prevailing macro geopolitical uncertainties. This approach is expected to strengthen leadership in core segments and deliver sustainable value for all our stakeholders.
With this, I would like to now invite our CFO – Mr. Abhijit Paul to present the financial highlights for the quarter.
Abhijit Paul: Thank you and a very good morning to everyone. I will now provide a brief overview of the Company's operating and financial performance for the quarter ended 30th June 2025.
In Q1 of FY26, our consolidated net revenue from operations stood at Rs. 887 crore, reflecting a year-on-year growth of 7.4% over Rs. 826 crore in Q1 of FY25. This revenue growth was led by strong performance of our wire segment, which grew by 32.3% year-on-year.
The core wire rope segment, which continued to be the largest contributor with 72% share of the total revenue, registered stable performance with 7.9% growth on a year-on-year basis and is expected to gain momentum from H2 of FY26, supported by recovery in demand and the ongoing “One Usha Martin” initiative.
Operating EBITDA for the quarter stood at Rs. 145 crore as against Rs. 154 crore in the same period last year. While margins were impacted by market-led pressures, our continued focus on operational efficiencies is expected to aid

recovery in the coming quarter. Net profit for Q1 FY26 stood at Rs. 101 crore compared to Rs. 104 crore in Q1 of FY25.

On the balance sheet front, I am pleased to report a significant strengthening in our financial position. As of 30th June 2025, we have achieved a consolidated net cash position of Rs. 14 crore compared to a net debt of Rs. 63 crore on March '25. Our disciplined capital allocation approach ensures that both ongoing and planned growth initiatives remain well-funded.

From a cash flow standpoint, we recorded a healthy improvement. Operating cash flow before tax for Q1 FY26 stood at Rs. 137 crore translating to approximately 95% of operating EBITDA compared to Rs. 102 crore or 66% of EBITDA in Q1 FY25. This improvement reflects our tighter operational controls and sharper working capital management. These strong cash flows supported by adequate working capital headroom provide a strong foundation for future investment and disciplined capital deployment.

To conclude, we remain confident that strategic groundwork laid under “One Usha Martin” initiative combined with disciplined financial approach positions the Company well for the next phase of growth. Steady traction across markets, a sharper focus on operational agility, and a continued strength in the balance sheet cash flows act and working capital management provide a solid foundation for improved performance going forward.

Moderator: Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from Aman Kumar Sonthalia from A K Securities.

Aman K. Sonthalia: My question is related to U.S. market. There is a significant hike in the duty in the U.S. market. So, how will we grow there and maintain our business?

Shreya Jhawar: So, with regard to the U.S. market for steel wire rope, which fall under the Sec. 232, the tariffs are 50% across the board. So, the reciprocal tariff is separate and this 50% tariff for our particular product category is different and applies to all countries except UK, which is at 25%. For us, so far, in terms of the impact of these tariffs, we have not seen a major issue because for most of our high value products like elevator ropes and mining ropes, which we sell in the U.S. In most cases, we have been able to pass on a large part of the tariff increase to our distributors or to our end customers. And in some cases where we cannot do that, we have to take a judgment call of how to proceed

.

But our major focus has been that we do not want to give up our market share in the U.S. because we want to ensure that we do not lose our customers in the U.S. in the long term. And in fact, because we have a warehouse in Houston, with our inventory on the ground for our GT ropes, we have been able to actually get a better realization for our products and actually gain share in some cases. USHA

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And one of the other positive developments has been that we recently won a tender in the U.S., which is a sizable tender, which gives us a good order visibility and a consistent order book for FY26.

So, all in all, while the environment still remains uncertain, we do not know how things will evolve overall in terms of the tariff environment. Things change every day. But as of now, we are feeling cautiously optimistic.

Aman K. Sonthalia: My next question is related to European market. I think there is a huge geopolitical tension going on. So, how do we see our European business going forward?

Rajeev Jhawar: We are very positive on our European business. With our integration between India and the BSUK facility, we have now started supplying the BSUK brand directly from our Indian plant to the European market. Supplies are going well, and we are also receiving repeat orders. This is helping us become more competitive in that market, and we are able to ensure faster deliveries to our customers. Demand remains fairly strong across wind energy, renewable energy, oil & offshore, and the crane and elevator segments. We expect to see decent growth in Europe in this financial year.

Aman K. Sonthalia: I have seen a decrease in the manpower cost. But at the same time, I have seen that there is an increase in the other expenses. So, can we expect a further reduction come down in manpower costs? And what is the reason for the sudden spike in other expenses?

Shreya Jhawar: That is a good question. So, if we look at our other expenses, for this quarter, it was about Rs. 166 crore, and if we compare it to the quarterly average for FY25, it was about Rs. 163 crore. As you said, there is a slight increase; there is a Rs. 3 crore increase. But if we break that down further, the other expenses can be seen as fixed as well as the variable expenses. So, the fixed expenses have actually decreased from the Rs. 37 crore level to about Rs. 34 crore through all of the initiatives which we have been talking about under 'One Usha Martin'. What has increased is the variable expenses, which has increased from about Rs. 126 crore to Rs. 132 crore. But a large part of that increase is the freight component of Rs. 6 crore, largely for Europe orders, which is actually recovered from end customers.

And the second part you mentioned, which was the employee expenses. The employee expenses have decreased actually from Rs. 125 crore in Q1. But that was slightly higher level, on average if we see of FY25, it was Rs. 118 crore for quarter, which has decreased to Rs. 113 crore this quarter, which is on an annualized basis, a Rs. 20 crore decrease, which we do expect will further reduce with all of the initiatives and the back office that we are setting up in India. So, as more of these 'One Usha Martin' initiatives materialize, we will see expenses across the board come down. But the most important part is we have to do that without compromising on our growth, which we are confident of, and that is what will give us better operating leverage. USHA MARTIN

Aman K. Sonthalia: As sir has said in the initial remark that we are seeing a very good traction in the synthetic sling business. So, can you shed some light on that business?

Shreya Jhawar: So, as we mentioned in the opening remarks, the Oceanfibre brand, which is our Synthetic Sling brand, that

has picked up really well. We are getting repeat orders from our customers for that product in Latin America, even in Europe. And we thought that it would take a while to build track record and go into this heavy lift synthetic sling market. But it has been great to see that we have already got success there and we will be supplying heavy lift sling for the critical offshore wind market, which is a high value, high margin product, and we have already secured the order, and we will be supplying it in the upcoming quarters. While it is still early days and we do not want to put a number to it, we definitely think that in 18 to 24 months, it will become a meaningful, sizable, independent vertical for our next level of growth that we are targeting.

Aman K. Sonthalia: Okay, thanks.

Moderator: The next question is from the line of Pratim Roy from B&K Securities.

Pratim Roy: Congratulations on the good set of numbers. I have just two questions. First of all, in the last quarter, there was a one-off. So, is there any one-off in this quarter as well?

Rajeev Jhawar: No, there are no one-off expenses in this quarter.

Pratim Roy: Okay. Secondly, when can we expect that the 800 to 100 million cost optimization strategy that we have will be reflected in our books?

Rajeev Jhawar: It should reflect from quarter 2, but we should be able to see full advantage from quarter 3 onwards.

Pratim Roy: You said that the U.S. tariff impact is not that much as we can easily pass through the tariff to the end customer. But in some cases, Shreya ma'am mentioned where we are unable to do so, we have to take some other steps. So, if you can quantify any number, what kind of impact we can expect from the U.S. tariff overall. Any ballpark number on that side?

Rajeev Jhawar: I think we are cautiously optimistic. We should be able to not only retain our market share and protect our margins, but also, in some cases, increase our market share. However, since tariffs continue to change fairly frequently, we remain cautiously optimistic. If the current status quo is maintained going forward, we believe we should be able to sustain both our margins and volumes in the U.S. market.

Pratim Roy: Okay, thank you.

Moderator: The next question is from Prolin Nandu from Edelweiss. USHA MARTIN

Prolin Nandu: I continue with the last participant's question on tariff, right. Now, 50% is a very large number, and despite that you are confident of maintaining the market share as well as margin. Can you help us understand how you plan to achieve this? I understand that domestic producers do not have enough capacity to supply, but with 50% differential, maybe they can also put up the capacity. And the larger question is that, let us say, for example, you were aware of the tariff before you thought about this restructuring from the U.K. to India, - would your decision change? And can you keep some capacity operational at the U.K. plant so that between India and U.K., you can take advantage of some of the tariff differential, when it comes to some markets like U.S.? So, this is the first question that I had.

Shreya Jhawar: While 50% is the tariff, it is the same for others as well. We compete with the Koreans and we compete with other people in the India market. So, for everyone, it is 50% as opposed to the reciprocal tariff, where it is different tariff for different countries, right; so, in that way, it is a level-playing field. Secondly, when it comes to the U.S. market, the domestic market versus export, that is looked at very differently because the domestic prices, even with the 50% tariff in a lot of the major categories, will still be at higher levels, they do command a premium. So, in that way, we are still overall competitive. Thirdly, your point around, will the domestic producers set up any capacity; - with the environ

ment being so dynamic right now and uncertainty for them as well in the market as there are changes happening on a daily basis. Based on our initial analysis, they are also not feeling like it makes sense to put in more capacity because if things change in a couple of years, then they would be stuck with that additional capacity and there might be an oversupply at that point. So, while they do not have production capacity right now to meet the demand, import will always be a factor. We do not see any major CAPEX plans for the major producers over there.

And then to your last point, for the BSUK part, we still have our machines in BSUK. We have reduced our manpower and we have reduced our production over there. But we do have the flexibility where if we feel that this environment continues or changes and in some cases the unit economics makes sense for us to produce in BSUK for the US market, we have the flexibility to do that.

Prolin Nandu: That is very encouraging to hear. My second question would be on the domestic market. Can you just help us understand what the competitive environment looks like, because there are some other players who seem to have received approvals in some of the mining tenders, and some domestic players are also putting up capacity for high value-add wires.

So, compared to a few years ago, has our competitive position in the domestic market taken a hit, or how should one think about competition in the domestic market? USHA
MARTIN

Rajeev Jhawar: Good question. In the domestic wire rope segment, Usha Martin holds about 65% to 70% market share. We have a very strong dealer network and a highly capable technical team that supports customer service along with our dealers. This strength has helped us consistently maintain and in some cases even grow our market share.

Domestic prices have improved slightly, mainly due to a better product mix. We expect to maintain our strong position going forward, with continued support from both our dealers and customers.

Competition exists across all segments, and we are focused on continuous improvement, enhancing our products with the help of our global design center and R&D facility in India. This close collaboration with customers allows us to keep upgrading our products and improving technical performance, which in turn helps us maintain our market share.

On the wire business side, we recorded a 30% year-on-year growth. Our focus is on increasing the production of high-value-added wire, which boosts overall sales while keeping us away from the low-margin commercial wire segment. That’s not a space we operate in. We're focused on a niche market and expect to continue growing within it.

Prolin Nandu: Thank you.

Moderator: The next question is from the line of Jasdeep Walia from Clockvine Capital.

Jasdeep Walia: So with respect to products that you supply to US, are these being supplied by your India facility or the UK facility? And if the tariff were to remain at current levels, would it be possible for you to shift the entire production for your US market to the UK plant?
Rajeev Jhawar: Most of the supplies are currently taking place from our India and Thailand plants, and we will continue with this arrangement. As Shreya mentioned earlier, if an opportunity arises to supply from the UK, we can definitely shift 10% to 15% of the volume through our UK plant. However, we do not foresee that situation occurring in the near term. That said, we have ensured flexibility, especially on the manpower front and should the situation change, we will be well-positioned to make that shift.
Jasdeep Walia: Got it, and with respect to this flexibility that you mentioned, is it that the UK plant will require some manufacturing investments or modifications to be able to cater to US volumes, or is the plant ready and, whenever you feel the

time is
right, the production could be comfortably moved to the UK plant?
Rajeev Jhawar: No, we do not require any further fixed asset investment there. Our plant and machinery in the UK are in good shape, and we have retained all the equipment, nothing has been moved out. Should the need arise, we can quickly resume production from that facility. USHA
MARTIN

Jasdeep Walia: I am just curious, given the fact that there is a large duty differential between UK and other manufacturing locations of almost 25%, why aren’t you already shifting the US volumes to the UK plant because it will add a significant amount of margin to your US sales?
Rajeev Jhawar: Anything that goes from the UK plant, wires and strands, must first be shipped from India or Thailand to the UK. The cost of manufacturing in the UK is also not low, primarily due to higher labor costs. Then there's the added logistics cost: first sending material to the UK, converting it there, and then shipping it again to the US. Considering all of this, it still remains more competitive to supply directly from India and Thailand.
Shreya Jhawar: And in most cases, the distributors, end customers are taking on a large part of the price increase. So, that is something that is also helping us retain our share.
Jasdeep Walia: Got it. thank you.
Moderator: The next question is from Rajesh Agarwal from Moneyore Capital.
Rajesh Agarwal: We are seeing a traction in which elevator or locally domestic in that segment, specifically in the domestic market? Because I read an article that the elevator segment is growing by double digit. This is my first question.
Rajeev Jhawar: The elevator segment is definitely growing fairly fast in the domestic market. With the construction of multi-storied buildings in tier two and tier three cities, we are seeing a lot of demand coming up. Elevators are one segment witnessing strong growth, in addition to the crane market, which is also linked to construction activities such as piling, mobile cranes, and even ports. So, these are the two segments showing fairly strong growth in India.
Rajesh Agarwal: And the second question, is there a possibility of further reduction in working capital, and what do we plan to do to increase the margin to the guided level of 18%? How will the margins improve, and how will the working capital improve?
Shreya Jhawar: So, definitely the working capital will reduce going forward. In September last year it was at 209 days at its peak and now it has come down to 196 days as of this last quarter. We are confident that this positive trajectory will continue.
The second part is the EBITDA margin growth. Yes, we definitely expect it to grow from the current 13.3% levels to an average of 18% for the full year and we are quite confident of that both in the domestic and international market.
So, first in terms of the domestic market, we do expect better product mix and realizations going forward and we have seen already early signs of that from our order pipeline with our dealer network. So, overall from Q2 there we expect the margins to go up. And then when it comes to the international business one of the reasons the margin was also subdued was because in the Middle East in the past quarter, we did see certain pricing pressures with GP rope but even USHA
MARTIN

there our focus is more on the high value products now in elevators, piling like we were talking about even in the Middle East market. So, with that it might take a little bit more time, but in H2 we do expect the recovery to come in, and then of course with the European business initiatives which we have already talked about, that would also lead to further better margin improvement. So, all of this gives us confidence that H2 should be at a much better l

evel.

Rajesh Agarwal: This mitigates any increase in steel prices also?

Rajeev Jhawar: No, the steel prices have been fairly stable and in fact we saw last two months a slight reduction in prices and with the feedback what we have, we do not see a major increase coming up on steel. So, it is more or less stable I would say.

Rajesh Agarwal: What will be the maintenance CAPEX this year?

Rajeev Jhawar: Maintenance CAPEX would be close to Rs. 25 to Rs. 30 crore.

Rajesh Agarwal: Okay and fresh CAPEX?

Rajeev Jhawar: The maintenance CAPEX is expected to be Rs. 25 to Rs. 30 crore and the total CAPEX to be around Rs. 150 crore.

Rajesh Agarwal: Okay.

Moderator: The next question is from the line of Shreyansh Shah from Fort Capital.

Shreyansh Shah: Congratulations on a decent set of numbers. Basically, I have two questions. One is in the wire segment you reported a 32% year-on-year growth. So, I just wanted to understand, is it driven by structural demand or short-term orders seen this quarter? And the second question is the LRPC segment - volumes fell, so was this is due to temporary project delays, price competition or a structural slowdown in the segment?

Rajeev Jhawar: On the first question, the wire business as we mentioned in our previous calls, we have started focusing on increasing our presence in the auto sector as well as on some niche products like door springs, etc. So, this market is one we have been consistently focusing on, and we expect this trend to continue going forward.

Coming to the LRPC market, yes, the monsoon period as well as the demand and price pressures have been significant. As mentioned in our opening remarks, both the volume as well as the margins are under pressure. Our focus would be to keep on increasing our focus on the plasticated LRPC business, which would help us to get a better margin for our product. So, this trend of pressure on the general LRPC is expected to continue more so on the margin front. Volumes may get better once the monsoon is over and the project activity starts. USHA
MARTIN

Shreyansh Shah: Just a follow up question on the LRPC that you mentioned. So, going forward do you think that the revenue contribution from the LRPC segment would be declining from here on?

Rajeev Jhawar: Yes, we expect it to be at similar levels or would be declining, and the plasticated LRPC which is the value added should gradually be going up. So, that is what we expect. We do not see this as a very business which can add significantly to our growth going forward, the general LRPC.

Shreyansh Shah: Okay, understood. Post your Ranchi expansion how much incremental capacity in metric tons will you add, and how quickly can it be ramped up for sudden orders that may come in?

Abhijit Paul: So, regarding the Ranchi capacity, as mentioned in the last concall, we have an overall capacity increase of around 40,000, out of which rope capacity is around 20,000. As of now, we have already installed about 70% of the capacity and the remaining 30% installation will be completed by end of Q2, around October. Within this increased capacity, we have developed new products, plasticated ropes are part of this additional capacity. So, expansion will help us generate good volumes going forward.

Shreyansh Shah: Okay sir, thank you.

Moderator: The next question is from Shraddha Kapadia from SMIFS Capital.

Shraddha Kapadia: So, just continuing with the question by the earlier participant, I would just like a brief overview, - could you share the new CAPEX plans beyond Ranchi for the future?

Rajeev Jhawar: For the future, we have a Rs. 60 crore investment plan in Thailand which is under implementation. At our Ranchi plant, once this phase is completed, as our CFO mentioned, by Q2, we would definitely look at opportunities to grow, particularly in our elevator rope and crane rop

e segments, because that is an area where we are seeing a lot of traction coming from both domestic and international markets. As and when we see demand growing, we would take proactive steps to increase our capacity, which could be at the Ranchi plant, or we could also add new capacity at our Hoshiarpur plant to cater to this increasing demand.
Shraddha Kapadia: We have seen a good growth in the wire strands segment. How sustainable is this growth? Is it driven by new customer acquisitions or increased industrial demand, - could you help us understand that?
Rajeev Jhawar: It’s a good question. We are acquiring new customers as well as increasing volumes with our existing ones. Having identified this as an important vertical for us, we’ve been working on it over the last few quarters and have successfully developed the business. This is not a one-off growth, we expect it to continue steadily, with volumes growing quarter after quarter.

The key areas we are focusing on include the auto sector, which is performing fairly well. We are also working on door springs, as one example, and zinc-aluminum wires, which are used for rockfall barriers and certain critical spring applications. These areas are our focus, and we believe this will continue to be an important vertical going forward.
Shraddha Kapadia: Thank you so much for your detailed answer.
Moderator: The next question is from Sanjay from ithought PMS.
Sanjay Kumar : I have a question on margins and EBITDA per ton. We reported Rs. 28,500 as EBITDA per ton in Q1. Is it possible to break this up into wire rope domestic and export segments within the wire rope business?
Abhijit Paul: We do not specifically mention the EBITDA per ton. But if we do a rough calculation for wire ropes, it will be in the range of Rs. 55,000 to Rs. 60,000 per ton, as most of the fixed cost is allocated to the wire ropes. For the wire segment, EBITDA per ton will be between Rs. 12,000 to Rs. 15,000, and for LRPC, it will be on the lower side, around Rs. 2,000 to Rs. 3,000 per ton.
Sanjay Kumar : The reason I was asking is because I was looking at the wire rope realizations in the U.S., which are as high as $8,000 - $8,500 per ton. With wire rope doing a 12% EBITDA margin, it seems like they are doing $900-$1,000 EBITDA per ton, translating to Rs. 85,000 per ton. Are we also in a similar ballpark for our U.S. exports? And does it imply that as our share of U.S. goes up, our margins could increase going forward.
Shreya Jhawar: So, wire rope, like Abhijit said, is on average Rs. 55,000 to 60,000 per ton, but export and international markets, definitely you get a better EBITDA margin compared to domestic. We do not separate it out and share those numbers, but it would definitely be on higher levels. And if we increase our share in our international markets, whether it is U.S. or direct export to Europe from India, it would definitely improve the EBITDA per ton going forward.
Sanjay Kumar : Okay. So, post all the cost initiatives, like the ‘One Usha Martin’ initiative, what kind of EBITDA margins target do we have let us say for FY27 at the consol level?
Rajeev Jhawar: As Shreya mentioned earlier, we should be able to achieve 18% on an annualized basis for this financial year, based on the various cost initiatives we have undertaken, most of which are under implementation and expected to be completed by Q2 of this year. We will begin seeing the benefits of these initiatives thereafter.
Secondly, with the new CAPEX now implemented, we expect volumes to improve from these additions. Alongside this, our marketing efforts for the expanded capacity have also gained traction. If we are expecting 18% for the full year, we are confident that next year this will improve further and believe margins in the range of 19% to 20% are achievable going forward.

Sanjay Kumar : Got it. Sorry to keep going back to the tariff issue, but given that Bridon-

Bekaert is based out of UK, they might have a better advantage over us, and even WireCo which is based out of USA, - can we still compete with them despite manufacturing in India or Thailand? Do we see any weakness in WireCo, especially since some credit rating reports have indicated they've been struggling over the last two to three years?

Rajeev Jhawar: Yes, we've also heard that WireCo has been facing some challenges, though I don't have detailed information on that. What I can say is that our team is fairly confident and we too are confident that we should be able to maintain and grow our market in that region. This confidence stems from our local presence, our own distribution and warehouse setup, and our close engagement with customers.

We have also recently won a large contract, which strengthens our position in that market. Among the international players including Korean, Turkish, and ourselves, the tariff levels are fairly similar. Chinese competitors, in fact, face slightly higher tariffs. So overall, we remain cautiously optimistic about our position in the U.S. market as of now.

Sanjay Kumar : Got it.

Moderator: The next question is from Jayshree Bajaj from Trinetra Asset Managers.

Jayshree Bajaj: As you mentioned in Q1 that the Company is nearing completion of the foundational phase of the transformation, could you please provide some specific, measurable operational KPIs that you expect to improve by the end of the second quarter? Also, what percentage of cost savings or efficiency gains has been realized so far?

Shreya Jhawar: Yes, so in terms of the measurable KPIs, of course, we talked about in terms of cost reduction, the employee cost as well as other expenses and we expect decrease in that which would help us get at least 18%. The other is the working capital reduction which came down to 166 days this quarter. Even the inventory came down to 175 days this quarter. We are tracking both of these, and we hope to reduce this further by at least 10 days over the few quarters. That is another KPI we are targeting. Third is looking at our cash conversion. So, we converted about 95% of the operating EBITDA to cash and by the end of the year we are targeting to take this even more than 100% levels which we are confident of achieving through overall better financial discipline and working capital management. These are some of the KPIs that we are targeting. In terms of how far we are with this, we started this in around September, October of last year and from Q3 we expect to see the full benefits of it.

Jayshree Bajaj: Okay, so there are no numbers you can share right now? Are there any numbers I can get that shows how it has helped in cost savings so far? USHA
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Rajeev Jhawar: You will start seeing the full benefits of what has been articulated begin to reflect in our numbers from the coming quarters. Some of the figures have already been shared by her, the rest are still a work in progress and should start showing from Q2 onwards.

Moderator: That will be the last question for today. I will now hand the conference over to the management for closing comments.

Rajeev Jhawar: I would like to thank everyone for attending this call and showing interest to Usha Martin Limited. I hope we have been able to answer all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter.

Moderator: Thank you very much. On beha

lf of Usha Martin Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Nov 2025

Date: 14th November 2025

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
[Scrip Code: 517146]

The Manager
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra
Mumbai – 400 051
[Symbol: USHAMART]

Societe de la Bourse de
Luxembourg
35A Bouleverd Joseph II
L-1840, Luxembourg
[Scrip Code: US9173002042]

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call – Q2 H1 FY26

In continuation to our letters dated 31st October 2025 and 10th November 2025 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call for Q2 H1 FY26 held on 10th November 2025 at 10:30 AM (IST).

The same is uploaded on the website of the Company and can be accessed through the following weblink TranscriptQ2H1FY26.

Further, please take note that no unpublished price sensitive information (UPSI) was discussed/shared during the call.

This is for your information and records.

Thanking you,

Yours faithfully,

For Usha Martin Limited

Manish Agarwal
Company Secretary & Compliance Officer

Enclosed: As above

USHA MARTIN LIMITED
Q2 & H1 FY26 Earnings Conference Call Transcript

November 10, 2025
Moderator: Good morning, ladies and gentlemen, and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participant clients will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchstone phone. Please note that, this conference is being recorded.
I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you, and over to you, sir.
Devrishi Singh: Good morning, everyone, and thank you for joining us on Usha Martin's Q2 and H1 FY '26 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Abhijit Paul – Chief Financial Officer; and Ms. Shreya Jhawar from the Strategy and Growth team of the Company.
We hope all of you have had the opportunity to refer to the earnings documents that we shared with you earlier. We will initiate the call with opening remarks from the management, following which we will have the forum open for a Q&A session.
Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation. I would now like to invite Mr. Rajeev Jhawar to make his opening remarks.
Rajeev Jhawar: Good morning, everyone. On behalf of the management team of Usha Martin, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on our operations and strategy, following which our CFO, Mr. Abhijit Paul, will take you through the key financial highlights.
We are pleased to share that Q2 FY '26 reflected steady financial progress and disciplined operational execution. Consolidated revenues for the quarter stood at INR 908 crore. The Wire Rope business continued to deliver a steady performance, recording a 2.6% year-on-year growth in revenues, driven by healthy contributions from the elevator and crane rope segments.
The Wires segment delivered a 14.2% year-on-year revenue increase, reflecting sustained demand and momentum. Meanwhile, the LRPC division reported a 26% year-on-year decline.

The operating EBITDA for the quarter stood at INR 173 crore, with a margin of 19.1% and EBITDA per ton stood at approximately INR 35,000 per metric ton.
The improvement was aided by a favourable mix and ongoing cost efficiency. Margin percentage was further supported by temporarily lower LRPC volumes. As LRPC volumes recover in the coming quarters, margins may moderate from Q2 levels. However, absolute EBITDA is expected to increase on higher throughput.
With regards to the balance sheet, we continue to strengthen our financial position. During the first half of the year, we repaid INR 157 crore of debt, fully funded through internal accruals. Operating cash flows before tax stood at INR 390 crore, translating to a robust 123% conversion of operating EBITDA to cash flow. As a result, we closed the quarter with net cash position of INR 111 crore and a healthy ROCE of 20.3%.
These metrics also reflect the early impact of our One Usha Martin transformation journey. Over the past year, the initiative has evolved into an integral way of working, aligning our global teams and operations under a unified vision and driving sharper execution and stronger financial discipline. While we had earlier indicated that benefits of this transformation would become visible from second half of FY '26, we are encouraged to note that, early signs have already emerged in Q2.
That said, an area where we believe there was room for improvement this quarter was in volume performance. Volume growth during the quarter was below our expectations, particularly in the rope and the LRPC segments.
Looking at rope first, this was driven by a few key factors. Number one, this quarter, our rope portfolio tilted more towards high performance and value-added ropes. These products command stronger realizations and profitability, though they inherently yield lower output given their specialized manufacturing processes. While there were opportunities to scale up general purpose rope volumes, we chose to maintain our focus on an upgraded product

mix.
Number two, while most of our capex is complete, a few machines for high-performance ropes, which were expected to come online during quarter 2, faced slight delays in commissioning, which impacted volumes. These are now expected to be operational in Q3 and will help further optimize product mix and throughput in quarter 4.
Number three, the domestic market volumes in rope were relatively subdued during the quarter versus last year's strong Q2 base, partly due to delayed monsoon and a softer demand environment. We are, however, beginning to see a gradual pickup as post monsoon activity resumes.
Number fourth, demand in Saudi Arabia, which we have identified as a key volume growth driver is improving, but at a slower-than-expected pace. Our teams are actively engaging with key stakeholders to accelerate traction and

ensure we are very well positioned in this market, as project activity scales up and oil and offshore segment recovers.
Now on the LRPC front, volumes were impacted by the extended monsoon, which slowed down infrastructure activity during the quarter. On the positive side, we are in the final stages of approval with a key customer for our value-added LRPC range. This milestone will enable us to expand our presence, both in India and export markets in the coming quarters.
Overall, Q2 volumes were softer than expected due to short-term operational and market factors, and we expect higher throughput and growth in the second half.
In conclusion, the progress we have made across capacity expansion, product development, market diversification and One Usha Martin continues to strengthen our growth foundation. These initiatives are helping Usha Martin reinforce our leadership in the Wire Rope industry. With a strong balance sheet and a clear strategic direction, we remain confident in our ability to deliver sustainable and profitable growth in the coming years ahead.
With this, I would like to now invite our CFO, Mr.

Abhijit Paul, to present the
financial highlights for the quarter. Thank you.
Abhijit Paul: Thank you, and a very good morning to everyone. I will now provide a brief overview of Company's operating and financial performance for the quarter and half year ended 30th September 2025.
In Q2 of FY '26, our consolidated net revenue from operations stood at INR 908 crore as against INR 891 crore in Q2 of FY '25. This performance was driven by a healthy 14.2% year-on-year growth in the wire segment, while Wire Rope segment, which accounted for around 74% of total revenues, registered a stable 2.6% growth on a year-on-year basis.
Operating EBITDA at INR 173 crore compared to INR 161 crore in the same quarter last year, with margins improving to 19.1% from 18%. Net profit from continuing operations for Q2 FY '26 stood at INR 128 crore, up from INR 109 crore in Q2 of FY '25.
For the half year, revenue from operations was INR 1,795 crore as against INR 1,718 crore in H1 FY '25, registering a 4.5% year-on-year growth. Operating EBITDA rose to INR 318 crore compared to INR 315 crore in the same period last year, while PAT from continued operations improved to INR 228 crore versus INR 213 crore in H1 of FY '25.
During the quarter, we recognized an expense of INR 17.8 crore towards additional expenditure, likely to be incurred related to transfer of certain land parcels to Tata Steel relating to erstwhile sale of Steel division. The same has been reported under discontinued operations. We would like to mention that our operating cash flow will not be impacted due to this as we have amount receivable from Tata on this account.

We would like to highlight that overall fixed expenses have reduced significantly compared to last year, driven by various initiatives under the One Usha Martin program. These include the establishment of a shared back office in India, optimization of treasury operations across group companies, centralized negotiations with vendors and an increased focus on cost awareness across the organization. As a result of these efforts, we are able to reduce our fixed expenses by more than 10% compared to FY '25.

On the balance sheet front, overall net working capital has reduced by over INR 108 crore from the peak of December '24 due to improved net working capital management. While the absolute level has come down, working capital days have increased primarily due to higher base in September '24 as the metric is calculated using average net working capital over the past 12 months.

Free cash flow for H1 FY '26 was INR 229 crore, which helped us to reduce our debt significantly. Gross debt decreased from INR 338 crore in March '25 to INR 181 crore, as on September '25. This has helped in meaningful reduction of finance cost.

To conclude, the strategic groundwork laid under One Usha Martin transformation, together with our disciplined financial approach, continues to strengthen the Company's foundation for sustainable growth. With steady demand across key markets, improving cost competitiveness and robust balance sheet, we are confident of delivering a stronger performance in second half of FY '26. Thank you and over to you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian A: My first question, - we have delivered an impressive 19.1% margin, majorly led by lower sales in the lower margin LRPC segment. So when the LRPC sales normalizes, what is the sustainable EBITDA margin for the core business? And how much of the recent margin expansion is structural, especially from the product mix and cost savings versus cyclical in terms of raw material prices?

I think earlier you had guided 18% margin in FY '26 and 19% to 20% margin in FY '27; could elaborate more on in terms of product mix shi

ft, operational leverage from new capacities, gross cost savings and the net impact of geographic mix in terms of contribution?

Rajeev Jhawar: Thank you for your question. As we mentioned in our opening remarks, our performance is expected to improve in the coming quarters. So, our overall EBITDA will definitely go up, whereas the absolute numbers per ton may reduce. This is a consistent line from our previous quarters as well. This is point number one.

Point number two, as our CFO mentioned, the INR 35,000 per metric ton or 19.1% is a result also of the One Usha Martin initiatives, which has helped us to reduce our fixed cost by approximately 10% over the previous year. So, that

has also contributed. So, it is a mix of the LRPC, as well as advantages gained from One Usha Martin cost optimization that is definitely helping us.

Going forward, as we see the volumes ramped up in the Wire Rope segment, including product mix improvement, which is part of our constant endeavour, we should be able to meet our earlier projections of maintaining the EBITDA levels you articulated. So, we are on line to achieve those numbers even in the coming quarter.

Balasubramanian A: Okay. My second question; - the share of international business has increased to 58%. Which specific geographies, - like Europe, Americas or APAC are driving this growth? And which are the key target markets for the future? Also, are you seeing any signs of demand softness in your key international markets?

And secondly, you mentioned about flexibility to shift production to the UK to mitigate US tariffs. But right now, it does not seem cost effective. What is the EBITDA margin differential between supplying the US from India and Thailand versus from the UK? And what level of tariff or change in cost structure would make the shift to UK production happening maybe in the future?

Shreya Jhawar: Thank you for your question. In terms of the international market, which now contributes 58% of the total topline, the growth has been driven primarily by Europe and US. Europe accounts for 28% of our total topline and the Americas, including US, Canada, and Latin America, together make up 9%. Both have contributed to our growth.

Firstly, with regard to the US market, our performance both in terms of topline and bottom line has been better one compared to the last year. In terms of tariffs, shifting production to the UK is something that we have not done, and it is not something that is in our pipeline right now. The tariffs have largely been passed through to the end customers. So, what is happening in the end market

is, the overall price levels have gone up, but it has minimally impacted our margins. So, little or no impact, I would say.
Secondly, in the US, in terms of the demand momentum, what you asked, we have won some new customers as well as contracts, which we were able to secure earlier this year, because of that, we have quite a good and stable order flow in the region. And like I said, US is one part where, of course, there is still uncertainty. So far, we have managed it well. But our goal is that in the Americas, we also look at Canada and Latin America, whether it is Brazil, Chile, Peru, Mexico, as these are important markets as well, which will help us grow our overall share in that region.
Secondly, when it comes to the European market, as you mentioned, the integration and the model changes at Brunton Shaw that happened over the last year have helped us. The direct shipments from India, from our Ranchi facility to Brunton Shaw have started. That has made us more competitive and helped us reduce our lead time as well, which is translating into overall better

order flow and helping us win new customers as well as serve our existing customers.
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he demand momentum is fairly stable to positive, I would say, we are seeing demand pick up in certain regions, whether it is the industrial sectors, crane and offshore is stable. Our target now in the European market going forward is that right now, through our service centers in De Ruiter in Netherlands, we have a strong presence in that market as well as in the Aberdeen North Sea area with EMM as a service center, but we feel that Europe is a big market and each of these countries is a market in itself, and there is a lot of scope and opportunity for further expansion in the European market.
Balasubramanian A: Okay, my last question; - as new competition has been coming from mining tenders and high-value wires beyond R&D and customer engagements, what are our strategy areas such as product, margins and market share? And what are the strategies to tackle this competition? Also, is there any risk to margins, especially in the high-value wire segment, because of this competition?
Rajeev Jhawar: Competition will always be there, and I think it is healthy competition where each one of us in the global market continues to upgrade our products and our offerings for the market. And we are constantly working with our team in Europe as well as our team in India to constantly upgrade and improve our product mix and the life and performance of our ropes as per the customer requirements. We are happy to say that we are making steady progress on this.
On the various product lines, whether in mining, crane or elevators, we are constantly upgrading our products based on customer needs. This is helping us to ensure that we stay ahead of competition and keep on meeting the higher standards and expectations of the customers.
Balasubramanian A: Got it, sir. Thank you.
Moderator: The next question is from the line of Aman Kumar from AK Securities.
Aman Kumar: First of all, I would like to congratulate the management for delivering steady numbers this quarter despite the heavy rainfall in most parts of the country and a very challenging international business environment. Secondly, I want to congratulate the management for generating very high cash flow, and for the Company becoming a net cash positive organization, which is really very commendable.
Sir, regarding the previous person who had asked the question, I would like to understand, - are we indeed seeing very good traction in the U.S. market despite these tariffs. And previously, the European market was challenging. So, are we now seeing good traction in the European market as well, because that is a very big market for us?
Shreya Jhawar: Yes. As we mentioned, in both the Europe and U.S. markets, we have been able to see topline growth as well as bottom line growth in both of these markets.
In the U.S., in particular, even though with the tariffs, there are tariff headwinds

and there is still some uncertainty, but we are quite sure that with our healthy order book for H2, we are confident that this is a market in the near term that we will continue to do well.

And for the long term, we are constantly working on areas such as new OEM approvals, strengthening our mining presence and trying to secure more contracts. We are constantly working on to ensure that even in these high-value segments of mining, elevator, etc., we continue to keep increasing our market share in the U.S.

Aman Kumar: So, my next question is; - in the plasticated LRPC, I think we have not got much success so far in terms of volume. So, when we can start seeing noticeable volume growth in the plasticated LRPC segment?

Rajeev Jhawar: It is a good question, thank you. Basically, plasticated LRPC's process of approval with customers takes a lot of time. So, out of the 5 or 6 global players, we have received approval with almost all of them, but a couple of them we are working, whic

h should happen in the coming quarters. And that should result in an increase in volumes not only in India, but even in the international market. To answer specifically, I feel that Q4 and Q1 onwards next year, we should see significant growth of plasticated LRPC from these customers as well. Secondly, while we have orders from our other customers, but the projects were significantly delayed due to the extended monsoon. And those should start getting delivered from the quarter 3 and quarter 4 onwards. So, the existing orders should also start picking up from a delivery perspective. So, overall, I think quarter 4 and quarter 1 onwards, we should start seeing a significant improvement in production and delivery.

Aman Kumar: My next question is about LRPC, the margins are quite muted. I think it is a very thin margin business. We are competing with a lot of players who have entered in this segment. So, we are making any profit in LRPC, and are we getting some very high margin or good value orders in the normal LRPC category?

Rajeev Jhawar: You see, LRPC is a very competitive commodity product, and while there is lot of demand, there is also strong competition and supply from other players. The margins have definitely come down, but I would say that still it is profitable. And we expect these volumes to continue perform better in the coming quarters with a positive margin, not the high margins of earlier, but it continues to be profitable.

Aman Kumar: And sir, one more question regarding this Galfan line. So, are we getting good volume growth and good orders in the Galfan Wire?

Rajeev Jhawar: I am happy to say that the Galfan or the GALSTAR line, - as our product is named as Galstar, has received approvals from most of our customers. Again the approval process is fairly long as the samples are supplied, trial supplies are made and delivered to different parts of the world, and then we start getting repeat orders.

I am happy to say that the development process has gone well, and we have got good response from our customers for our initial supplies. And we expect to start ramping up the capacity from quarter 4 onwards, and we expect to get to our levels of 5,000 to 6,000 tons a year what we had projected earlier from quarter 1 onwards of the next financial year.

Aman Kumar: And one last question, - how is the synthetic sling business performing? Are there any notable developments, new customers or growth opportunities in this segment?

Shreya Jhawar: Thanks for your question. Yes, the synthetic sling business is a new business for us and it continues to perform steadily. We have received a couple of high-value orders both from the European and Latin American markets. And I am happy to say that, though it is a new business for us, it is already a profitable business. While it remains a small part of the overall portfolio, it definitely, it can become an independent vertical for us going forward. And since it is a complementary product to our ropes and a lot of the end customers are actually similar, it can be a very good complement and value-added offering to our rope market.

Aman Kumar: And last question, - is the Company planning to introduce new products that are related to our existing business lines and catering to a similar customer base?

Rajeev Jhawar: Yes, of course, in most of our product lines, we are constantly looking at new opportunities to expand. Like the wire, we have begun exploring how to expand into the value-added wires. Of course, our focus would always be on the niche value-added wire, and that is a constant process. So, that is definitely helping us identify new products and new customers, and that is helping us to gradually

increase our volume of higher value-added wires in the market.
Similarly, on the ropes, of course, we are present in mostly all these segments, but w

e are constantly looking at upgrading our portfolio within these segments and trying to introduce new variants for the customers, be it mining, be it elevator, be it the crane ropes for different applications. And this is a constant part of our activity because it is the only way we can continue to increase the share of our value-added products and stay ahead of competition.
And I am happy to say that, in most of these areas, we have been able to constantly improve our mix and thereby helping us to continuously increase the share of specialized ropes within our Wire Rope portfolio.
Aman Kumar: Thank you, sir.
Moderator: The next question is from the line of Mayank Bhandari from Asian Markets.
Mayank Bhandari: My question is particular to the steel wire segment. So, what is your current EBITDA per ton in the steel wire segment?
Shreya Jhawar: So, you know, if we look at our EBITDA per ton on an overall basis, we don’t really break it up between Rope, Wire and LRPC, since a lot of the capacities

are fungible. But if we have to give a ballpark, we would say around INR 10,000 per ton, whereas for ropes, the value-added is much higher, - upwards of INR 55,000 per ton.
Mayank Bhandari: So, is the EBITDA per ton in the wire segment improving over the last 2, 3 years? Could you highlight some of the key trends?
Rajeev Jhawar: I think it is more of a focus to maintain the EBITDA per ton in this segment and try to keep on increasing our portfolio and volumes. So, I think the focus is to, at least, keep maintaining this at INR 10,000 or around that range and to keep on increasing the volume, which we have seen in the previous few quarters. And this trend would continue going forward, the increase in trend and growth of these value-added products. But I do not think we are expecting to see that INR 10,000 move dramatically up or down. It would remain at more stable levels.
Mayank Bhandari: Sir, when you say value-added product, could you highlight on which sectors these value-added products will cater to increasingly?
Rajeev Jhawar: Yes. Like GALSTAR is there. There are certain higher spring wires for the auto sector, some wires for the transmission line business, and some non-roping and roping wires for our international divisions as well. So, these are the various sectors in which we generally operate as far as the wire segment is concerned.
Mayank Bhandari: Okay. And if I were to talk about volume growth, what is your target for volume growth in this wire business, particularly?
Rajeev Jhawar: In the wire business as we mentioned earlier, our objective is to increase it gradually up to 100,000 tons over the next 2 to 3 years. And that is something we are constantly working on, and we should hopefully be able to achieve as per plan.
Mayank Bhandari: Sir, lastly, could you highlight a bit about the competition in this wire segment? I mean, how is the competition behaving in this segment, is the capacity increasing within the industry? How is the pricing power playing out?
Rajeev Jhawar: Wire segment is a much larger segment compared to the rope business globally. It could be 10x, 15x compared to the rope business. And there are quite a few different players, both in the domestic and international market. Some work on high-volume, low-margin business, some work on niche products with decent margins and where the volumes may not be very high, but these require higher quality, not the commercial quality.
So, Usha Martin wants to focus, - I can only talk about where Usha Martin wants to focus. We want to focus on the range where customers have some technical special needs and requirements, which could ultimately help us achieve better realization rather than looking at pure commercial products, which could have higher volumes and practically very low margins. So, we would like to operate in this market. A

nd the competition will always be there like we have in the wire business also globally as well. And each one of us wants to maximize in that

way. So, I can only talk about ourselves, - we are on course to upgrade our volumes and increase our volumes in this and at the margin levels that we indicated earlier.
Mayank Bhandari: Sure, sir. Thank you very much.
Moderator: The next question is from the line of Sahil Doshi from Thinqwise.
Sahil Doshi: Firstly sir, I would like to say that you have done a fabulous job on the balance sheet and the cash flow side. Just taking that forward, sir, I just wanted to understand, - incrementally as we have become debt free and started generating significant amount of cash flow, how should we think about the cash flow utilization over the next 2 to 3 years?
Rajeev Jhawar: Good question. I think first of all, our focus as One Usha Martin has been to constantly improve the balance sheet and the cash flows of the Company. The entire team has worked to achieve the numbers that you have seen. Going forward, we will continue with our growth plans and are further expanding our rope making capacity, particularly in certain segments where demands is expected to grow, like elevator and crane ropes in the coming years. We also plan to further increase our capex to increase our wire production in order to achieve the 100,000 tons level over a period of next 2 to 3 years.
Apart from this, we would also be looking at further expanding our reach in the international markets by further increasing the capacity of our distribution and service business internationally. So, all these requirements would require cash, which we hope to achieve mostly out of our internal accruals. Apart from this, if the Company continues to perform well, which we are confident, we would definitely look at further improving our payout to the shareholders.
Sahil Doshi: Sure, sir, that helps. Broadly, sir, would you have any ballpark capex estimate for all of these things for the next 2 to 3 years?
Rajeev Jhawar: Yes. Our capex including our maintenance capex, would be close to INR 300 crore to INR 350 crore a year. That is something we feel would definitely be needed to consistently maintain our volume growth estimate, and that is something we have planned. This is based solely on organic growth. If some inorganic growth comes in, that could be additional.
Sahil Doshi: Just wanted to understand, in terms of plasticated LRPC, what would be the volume in H1? And similarly, for Saudi, how much have we done this year?
Rajeev Jhawar: Yes. In Saudi, we do not look at individual sectors, because Saudi is part of our Middle East operations. As we mentioned, the supplies and the demand has have remained fairly muted in the last two quarters. This forms part of our consolidated BW - our Brunton wire business, which is expected to grow in the coming quarters.
Our LRPC plasticated has been an average of just around 200 tons a month, which is fairly low, because of the extended monsoon, although we have orders

in hand. And let us see how the projects work on site, only then do we receive delivery orders and we are able to supply. So, these are highly dependent on how fast the projects are getting executed. It is not a standard LRPC product, which gets fairly, it is project-specific based. So, we hope that in the coming quarters, we see an uptick in the demand from the projects which were slowing down due to monsoon.
Sahil Doshi: Sure, sir. And just lastly, wanted to check, - we used to guide for 12% to 15% sustainable volume growth. It has been around 8, 10 quarters where we have not seen this kind of a number. So, when do we see that kind of the environment coming back?
Rajeev Jhawar: As mentioned to you earlier that based in my

opening remarks that based on
the various projects that have been completed, and the balance getting completed in this quarter, we expect volumes to start growing from H2 of this financial year. And hopefully, with all these in place and also depends on how global markets demand continue, I think capability-wise, the factory will be able to push higher volumes, but a lot of it also depends on how the global markets pan out in the coming quarters. We are optimistic but let us see as the global situation improves. We are ready to push up the volumes, should there be a little improvement in the uptake from the international markets.
Sahil Doshi: Sure, sir. Thank you.
Moderator: The next question is from the line of Rajesh Majumdar from 360 One B&K.
Rajesh Majumdar: I just wanted to ask you a couple of questions. One was on the Kedarnath

Ropeway project and the other Ropeway projects that are coming online now. What is our status in terms of the tenders there, because we had got some approval status recently in the domestic Ropeway projects. Are we seeing any traction there? Or are we going to get any chunk of these Ropeway projects?
Rajeev Jhawar: These projects have just started, - they have just been awarded the contract. We are working on a couple of projects where we hope that we should be able to get some orders which are in advanced stages of implementation. But some of these projects are still a few years away and Wire Rope is probably the last leg of the requirement. Like the Kedarnath project, takes 7 to 8 years to get operational. So, Wire Rope would be in the last stages. Of course, we are in touch with all the various project owners, and we are constantly in dialogue with them to see how we could become a part of their project.
Rajesh Majumdar: Okay. So, these are still some time away in terms of giving any meaningful contribution for us?
Rajeev Jhawar: Absolutely.
Rajesh Majumdar: Secondly, sir, do you see any acquisition opportunities because by the end of this year, we will be net cash Company, and there will be a lot of free cash flows. We are almost at the end of our capex program in Ranchi and Bangkok. So, do

you see any kind of acquisition opportunities globally? Are they available? Are we studying them? Yes, that was my question.
Rajeev Jhawar: Yes, of course, we are already a net cash Company as of September, and that would continue to improve. As mentioned, there is a pipeline of capex, both at our Ranchi plant as well as our other manufacturing facilities, which are ongoing and some more are expected to basically take care of the increased demand from certain sectors, whether it is value-added wires, value-added LRPC, whether it is the elevator crane ropes. So, that is something which will be ongoing, and we would continue as our brownfield expansion in our various facilities. Apart from this, we would definitely look at opportunities to further increase our presence in the international markets for value-added offerings. But nothing is on the table at the moment. But definitely there is an endeavour to look at an opportunity. And if and when it comes, we would definitely be keen to expand our presence in the international market for our value-added products and services.
Rajesh Majumdar: And my last question is, though you highlighted a better product mix. If you look at the realization per ton in Wire Ropes, it is still lower compared to Q1 and Q2, but probably slightly higher than last year. Is that a concern? I mean, is there a price war still going on in Europe, etc., which, you know, can lead to realizations being low in the Wire Rope business?
Abhijit Paul: Overall, if you see the realization for Wire Rope has increased from Q1, both in international and in domestic market, right? So, there is no reduction in the realization for Wire Rope.
Rajesh Majumdar: So, i

f you look per ton basis, it is INR 2,42,000 compared to INR 2,51,000 in 1Q?
Abhijit Paul: No. So, we can share with the numbers to you separately. So, as per calculations, both has increased, both domestic and international from Q1.
Moderator: The next question is from the line of Aditya Arora from P4 Capital.
Aditya Arora: Firstly, congratulations on an amazing performance despite all the headwinds, especially on the balance sheet and margin front. I just had two questions. One was a follow-on question to the previous participant. How are you seeing the competitive intensity in Europe?
And the second was in terms of, you know, with the many initiatives being taken by the Government of India on shipbuilding. Just wanted to understand how are we positioned in marine shipyard segment in terms of being able to capture new shipyards, port expansion, inland waterways segment, both in terms of product itself and approvals?
Rajeev Jhawar: Good question. As far as the shipyards are concerned, Usha Martin is very strong in our product portfolio of shipping, not only across all the continents, and we are supplying to quite a large amount of the shipping liners through our various subsidiaries and through our dealers in India. And that is something which we will continue to do so. We are in touch with all the various shipyards

in the country as well as the new shipyards coming in different parts. And we are not only in the shipyards, but also in the ports where we consider these two as part of a common group of portfolio of products. And we are fully geared with all the approvals as well as the entire product offerings to be able to serve to these customers. As these projects starts coming up, we are well positioned to take our share in this market. As far as the European market is concerned, the demand is stable and slightly positive in certain sectors. The competition is equally there with all the European and the Korean players. We all work in the same market. And the intensity is always there. I am happy to say with our One Usha Martin approach of working with our Usha Martin India plant and the BSUK plant and the product offerings through this route directly to the customers, we are not only competitive, but are able to offer much quicker delivery schedules, which is helping us to continuously increase our market share in the European market.

Aditya Arora: Thank you, sir.

Moderator: The next question is from the line of Rajesh Agarwal from Moneyore.

Rajesh Agarwal: What is the size of opportunity when the Ropeway order comes for the Kedarnath and Rudraprayag and all? Or could you quantify in terms of kilometer, - what would be the value of the orders?

Rajeev Jhawar: The Wire Rope is a very small part of the entire project cost. It would be less than 1% or 2% of the project cost. As mentioned earlier in one of the questions, it takes almost 7 to 8 years for each of these projects take to get commissioned, and the Wire Rope comes as one of the last part of the project. So, it comes only after 5 or 6 years. So, most of these big projects, particularly, I can talk about Kedarnath, they are talking the execution time between 7 to sometimes even 8 to 9 years for these. And the rope part of project cost would not be more than 1% to 1.5% of the total cost.

Rajesh Agarwal: Sir, then the domestic growth will come from which sectors?

Rajeev Jhawar: Elevator is one sector which is growing well. Ports, mining, construction and cranes are the other sectors showing growth. These are the four sectors which should do well, though all of them depend on how the economy grows and how the industrial production grows. But assuming that those continue to grow at current levels, these are the four sectors in which we expect growth coming here.

Rajesh Agarwal: And sir, the last question is on working capital. Again, the working capital has increased. Any particular reason for this quarter where it has gone up?

Abhijit Paul: As we mentioned in our opening remarks, that working capital is calculated based on last 12 months average. Since we had a higher base in September '24, the average working capital has gone up. But if we take September as the exit and calculate based on September numbers, it will be down by 5 to 6 days. So, it will be similar too.

Rajesh Agarwal: Thank you, sir.

Moderator: The next question is from the line of Aman Kumar from AK Securities.

Aman Kumar: One last question is regarding the cable bridges over the rivers. So, how big is the opportunity? I think it is a big opportunity going forward.

Rajeev Jhawar: Yes. These are all project-related businesses. And as India is expanding its river connectivity as well as some of these big metro cities are connecting the coastal roadways networks, this is a good opportunity, and we are well positioned for any upcoming locked coil bridges, LRPC plasticated projects, or suspension bridges, - essentially any rope-related applications - and we are well positioned to serve them. But while we expect the demand to be good, it is equally important to understand how these projects get implemented in the country. And we are ready to be part of any of these projects, and we have mostly all the approvals, except a couple of plasticated LRPC customers where we are in the process of final stages of approval.

Aman Kumar: Thank you.

Moderator: Ladies and gentlemen, for the participants, that was the last question for today. I now hand the conference back to the management for closing comments.

Rajeev Jhawar: I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions. The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter. Thank you.

Moderator: On behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2026

Date: 4th February 2026

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
[Scrip Code: 517146]

The Manager
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra
Mumbai – 400 051
[Symbol: USHAMART]

Societe de la Bourse de
Luxembourg
35A Bouleverd Joseph II
L-1840, Luxembourg
[Scrip Code: US9173002042]

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call – Q3 & 9M FY26

In continuation to our letters dated 22nd January 2026 and 30th January 2026 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call for Q3 & 9M FY26 held on 30th January 2026 at 10:00 AM (IST).

The same is uploaded on the website of the Company and can be accessed through the following weblink TranscriptQ3&9MFY26.

Further, please take note that no unpublished price sensitive information (UPSI) was discussed/shared during the call.

This is for your information and records.

Thanking you,

Yours faithfully,

For Usha Martin Limited

Manish Agarwal
Company Secretary & Compliance Officer

Enclosed: As above

USHA MARTIN LIMITED
Q3 & 9M FY26 Earnings Conference Call Transcript
January 30, 2026

Anoop Poojari: Good morning everyone, and thank you for joining us on Usha Martin's Q3 FY26 Earnings Conference Call. We have with us Mr. Rajeev Jhawar, Managing Director of the company; Mr. Abhijit Paul, Chief Financial Officer; and Ms. Shreya Jhawar from the Strategy and Growth team of the company.
We will initiate the call with opening remarks from the management, following which, we will have the forum open for a question-and-answer session.
Before we begin, I would like to point out that some statements made in today’s call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.
I would now like to invite Mr. Rajeev Jhawar to make his opening remarks.
Rajeev Jhawar: Good morning everyone and thank you for joining us today. On behalf of the management team of Usha Martin, I would like to welcome you to our earnings conference call for the third quarter of FY26. I will begin with a summary of the quarter and then share our perspective on the drivers behind the performance.
Consolidated revenues for the quarter grew 6.6% year-on-year to INR917 crore, driven by a better product mix and steady demand trends across our key markets. The Wire segment continued to demonstrate strong momentum, delivering a 20.2% year-on-year increase in revenues.
The Wire Rope segment reported 6.6% year-on-year revenue growth while the LRPC segment recorded a 13% decline year-on-year. Operating EBITDA for the quarter stood at INR176 crore representing a strong 23.3% year-on-year increase. Operating cash flow before tax stood at INR561 crore, translating into a robust 114% conversion of operating EBITDA into cash. 11USHA
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These results are a direct outcome of the strategic choices we have made:
First, we continue to push value accretive products and applications across our portfolio. During the quarter, this was driven by higher traction in elevator ropes, crane ropes and oil and offshore ropes, where requirements are more engineering-driven and less price led. This approach also extends to Ocean Fiber, our synthetic sling solution, which co

mplements our steel rope portfolio
in specialized oil offshore and lifting applications. Over the past few quarters, this vertical has performed well for us, and we have executed several projects successfully. The Ocean Fiber brand is now established and will continue to scale this segment.
Second, our focus continues to be on adding new customers across geographies because that is what ultimately drives sustainable volume growth. We have a dedicated focus on tracking how many new customers we are onboarding each month across markets. A good example of this is Saudi Arabia. Since starting our Rigging business there, we have added around 60 new customers. While these customers are currently small in terms of volumes, but as the trials are completed and share of wallet increases, we expect volumes from this base to scale up.
Third, our focus on cost structure continues to translate into better operating leverage. Over the past year, we have simplified our processes and policies, improved productivity and rationalize overheads under the One Usha Martin framework. This further allowed us to deliver healthy margins during the quarter and achieve an EBITDA per metric tonne of INR33,350 and margins of 19.2%.
Fourth, we continue to focus on generating strong cash flows, improving working capital and being thoughtful about capital allocation. This has allowed us to strengthen the balance sheet while continuing to invest. We closed the

quarter with a net cash position of INR198 crore and a ROCE of 20%.
Looking ahead, growth remains a key priority for us, and volumes are an important part of that equation. We see volume growth coming from new focus areas where we have been building capability over the last few years.
This includes the high-quality Wires such as GALSTAR, value-added growth across segments like Elevators, Crane, Mining and Oil and Offshore as well as 11USHA
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specialized products like the plasticated LRPC. These are categories where customer qualification cycles are longer, but once established, they tend to be more stable and recurring. With capex at Ranchi plant facility largely stabilizing, ongoing approvals and a healthy order book, we are well positioned for a pickup in volumes in the coming quarters.
Additionally, over the past few quarters, we have significantly deepened our engagement with the end customers. Our R&D teams are working closely with these customers to develop customized solutions enabling us to participate in more specialized and higher value requirements. This closer integration with customers also provides us with reasonable visibility on demand pipeline, reinforcing our confidence in scaling up volumes and value.
While the global operating environment continues to present uncertainties, the steps we have taken over the past few years gives us the confidence in how the business is positioned, both operationally and financially. This gives us a stable base to continue into our next phase of growth.
With this, I would like to now invite our CFO, Mr. Abhijit Paul, to present the financial highlights for the quarter. Thank you.
Abhijit Paul: A very good morning to everyone. I will now provide a brief overview of the company’s operating and financial performance for the quarter and 9 months ended 31st December 2025. In Q3 FY26, our consolidated net revenue from operations stood at INR917 crore as compared to INR861 crore in Q3 of FY25.
This performance was driven by a healthy 20.2% year-on-year growth in Wire segment, while Wire Rope segment, which accounted for around 73% of the total revenues, registered a 6.6% year-on-year growth. The growth was supported by an improved product mix and a disciplined approach to the volumes across key markets.
Operating EBITDA for the quarter stood at INR176 crore as compared to INR143 crore in the same q

uarter last year, with margins improving to 19.2%
from 16.6%. Net profit for Q3 FY26 increased to INR107 crore from INR92 crore in Q3 FY25, despite a onetime cost impact of INR13 crore arising from the implementation of the Wage Code. 11USHA
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The improvement in profitability was driven by favorable sales mix and operating leverage, supported by sustained cost discipline. For the 9 months period ended 31st December '25, consolidated net revenue from operations stood at INR2,712 crore, registering a 5.2% year-on-year increase over 9 months of FY25.
During the period, the Wire segment recorded a strong 21.8% year-on-year growth, while the Wire Ropes segment grew by 5.6%. Operating EBITDA for 9 months FY26 stood at INR494 crore, as compared to INR458 crore in 9 months of FY25.
Profit after tax from continuing operations for the 9-month period stood at INR336 crore, up from INR305 crore in the corresponding period last year. On the balance sheet front, overall net working capital has reduced by INR97 crore from the peak of December '24, reflecting continued improvement in working capital management across the business.
This reduction was driven primarily by lower inventory levels and continued discipline in receivables management while maintaining a stable current ratio.
Net working capital days have remained broadly stable on a trailing basis, even as absolute working capital levels have declined, indicating improved

execution discipline. Free cash flow generation during the 9-month FY26 remained strong at INR318 crore, supporting meaningful deleveraging of balance sheet. Gross debt reduced from INR338 crore in March 2025, to INR172 crore as of December 2025, driven by internal approvals.

As a result, the company has moved into a net cash position, which has also led to a notable reduction in the finance cost and further strengthened our financial flexibility.

To conclude, our performance in Q3 and first 9 months of FY26 reflects the benefit of our disciplined operating and financial approach with improving margins, strong cash generation and the strengthened balance sheet. With a net cash position and stable demand across key markets, we believe the company is well positioned to support growth initiatives while maintaining financial discipline. This brings me to the end of my address. 11USHA
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I will now request the operator to open the line for Q&A session. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session.

We take the first question from the line of Aman Kumar Sonthalia from AK Securities. Please go ahead.

Aman Sonthalia: Good morning sir and congratulations to the team for delivering a strong set of results in challenging macro environment. The healthy cash flow generation is particularly encouraging. But, I have a few questions regarding the results.

When do we expect a clear and sustained recovery in volume growth and which business segment are likely to lead this recovery?

Shreya Jhawar: Thank you so much for that question. Of course, volume growth is very important to us. If we look at the 9 months period so far, we have seen about a 5% increase in volume growth. On the wire side, we have been able to increase volumes more but on the rope side, of course, there is definitely further scope to push up volumes, which have only been marginally up I would say, year-on-year.

When we can see this growth, of course, from a capex point of view, our capacities are ramped up on the rope side and we are ready to push up production. Now it is just about getting the right mix for optimal utilization and also pushing further on the market side. As we mentioned in the opening remarks there are a few things that we are doin

g on that front to push up volumes, be it – One, actively developing and tracking new customers across all our regions.

Second, we are also working on more OEM approvals in the value-added segment, which is our focus, for example, in elevators, cranes, etc. And also we are pushing more volumes through value-added services, which we are working more directly with the end customers, which is helping us get better visibility on demand and so we can plan the right mix better. So, all of these should help us in the coming quarters to push up volumes in Q4 as well and then in the next financial year.

Aman Sonthalia: Whether we are seeing good order position compared to last year? 11USHA
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Rajeev Jhawar: Yes, we see a much healthier order book, both on the domestic and export front, based on all the various initiatives the company has taken. With this increased order book position, which is much better than what it was same time or in the previous quarters, we expect that to also help us ramp up volumes in this quarter and the coming quarters.

Aman Sonthalia: And generally, I think the high-value orders, the capacity utilization comes down. Do we have better high-value orders or is the commodity part of the order we had?

Rajeev Jhawar: The commodity part of the order generally comes on a month-on-month basis. The high-value products and project-based orders which are generally booked in advance because they are specialized in nature and require special raw material and extra manufacturing, processing time for those. We see a very good order book on those at the moment as well as good pipeline of inquiries.

Hopefully, that should help us in translating into more value-added products in the future. The other part, what you said, the value-added production, the processing time is higher than the standard and general purpose ropes and we see generally a 30% to 35% low output if it is a specialized product requiring higher compaction and higher tensile of ropes.

Aman Sonthalia: And since Europe is our very important market, so how will free trade agreement translate into tangible benefit for Usha Martin in terms of export volumes, margins and overall competitiveness over the next 12 to 24 months?

Rajeev Jhawar: The European market, the free trade agreement in any case for our product was nil duty. So, we do not see any major issue. It was already on a zero duty. So it is business as usual for us. Our products did not attract any duty even earlier.

Aman Sonthalia: And what is the current status of the Saudi Arabian business and how the Thailand operations are ramping up?

Rajeev Jhawar: The Saudi Arabian business is slowly ramping up. We have seen quarter-by-quarter the business ramping up. As I mentioned earlier that we have developed 60-odd new customers and more and more are getting added and

supplies have already started. So, we expect from Q4FY26 onwards, improvement in the volumes and it should be a gradual ramp-up in the next financial year. We should be able to see better numbers in the coming quarters.

Aman Sonthalia: And about Thailand operation?

Rajeev Jhawar: In Thailand plant we have made some capital expenditure and started some modernization of our plants. We see a good traction of orders coming in from Southeast Asian markets and with some European customers based on the new capex which we have initiated.

However, we are in the process of also working on a cost optimization plan, which would take another, four to six quarters to be able to fully implement. And once these two initiatives are implemented, we hope that Thailand in the next four to six quarters should also start yielding better financial numbers.

Aman Sonthalia: And one more question. How is the synthe

tic sling business scaling up and can you give meaningful contribution to revenues and margin in the next financial year?

Shreya Jhawar: The synthetics business is doing well, as we have mentioned, the Ocean Fiber, which is our brand for the synthetic sling solution that is now well established. We are consistently getting orders on a month-on-month basis. And we do hope to continue to grow this vertical in the next financial year. We have developed 8 to 10 new customers and we are also getting repeat orders from our existing customers. So definitely over the next year and then over the next 2 to 3 years, it should become an even more meaningful vertical for us.

Rajeev Jhawar: When we had initiated this project that it would take a couple of years to breakeven. But I am happy to say that in the very first year, we would be cash positive in this business and the inquiry base is strong and we hope that these can help as Shreya mentioned to ramp up in the coming couple of years.

Aman Sonthalia: That is great, sir. When do we expect a significant volume in plasticated LRPC and how important can the product be in the company's future growth?

Rajeev Jhawar: Plasticated LRPC is a very important part, particularly for the infrastructure business. The approval process does take time. We have approvals from two or three big players and we are in the process of getting approvals for a couple of more, which we hope should happen in the next 2 to 3 months. Once these approvals are in place, we should not only be able to supply to products to them within India, but also an opportunity to export this. I would say, give us another 2 quarters, say, Q1FY27 and Q2FY27, then we see a good ramp-up of plasticated LRPC also.

Aman Sonthalia: And closing question is which business segment and geographies will drive the next phase of growth for Usha Martin? And what strategy will help the company achieve the next level of growth?

Rajeev Jhawar: See, the good part for Usha Martin is that we have a fairly diversified geography, and that also helps us, particularly in this geopolitical crisis as well as certain segments keep improving or keep coming down. So, our focus would continue to be servicing all these geographies and trying to increase our volume wherever possible. Of course, Saudi is something we started new. We are going to ramp up.

Europe continues to be important for our future growth as most of the big producers and the big contractors are based out of Europe. Their Rope demand may be in different parts of the world, but generally, the orders are generated from Europe. So, European customers, the OEMs would continue to be our prime area of growth within the Rope segment.

But at the cost of repetition, we would continue to focus on every part because we have the capacity now. We want to ramp up our volumes, and we do not want to ignore any segment or any geography. I think things should get better. You will see the volume as well as the top line should start growing value-wise in the coming quarters based on all these initiatives.

Aman Sonthalia: Thank you for your time and all the detailed responses.

Moderator: Thank you. We take the next question from the line of Jasdeep Walia from Clockvine Capital Advisors. Please go ahead. 11USHA
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Jasdeep Walia: Hi, sir could you tell us about trends in volumes in India, US and Europe in the third quarter, which has just gone by? This is only about Wire Ropes?

Abhijit Paul: Going with the volumes, you want to know 9 months figure, right?

Jasdeep Walia: No. In the third quarter, how was the volume growth in India, US and Europe in Wire Ropes business?

Abhijit Paul: Year-on-year, this quarter, we did around 13,000 tons in India. This is again around 1

2,000 tons in the Q3 of FY25. So roughly, I would say, around 5% growth over last year Q3. On the European side, it is more or less flat at a similar level, a bit on the lower side and US growth of 5% to 8%.

Jasdeep Walia: Got it. And what is the reason that growth in India has been less than expectations in the last quarter? I think management had said that last quarter was subdued because of monsoons, and hence, the volume growth will come back in third quarter. But this quarter also, we see mid-single-digit kind of growth in India and Europe is flat. What are the reasons driving this subdued growth in volumes?

Shreya Jhawar: Overall, in the domestic market, we are seeing growth in the value-added categories like, for example, Elevator Rope where in the domestic market with the Tier 2, Tier 3 cities coming up, we are seeing growth in that segment. Even in the Port segment, we have reasonable market share, but we are seeing growth there.

Where the growth has been slightly slower is on the GP Rope segment and more of the low-value Wire Rope segment, as we mentioned before, when we focus more on the value-added side, the overall productivity of the plant decreases. So, we have to make a choice as to where we want to focus our energy.

So there are certain low-value general purpose Wire Ropes where realizations are not as attractive and because our focus is on the value-added side, that is some area that we have seen volumes stay stable or decreasing. 11USHA
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Jasdeep Walia: Got it. And is higher competition in low-value GP Ropes also the reason why margins have gone down, and hence, you are not interested in growing that business?

Rajeev Jhawar: In the domestic market, other than a few selected areas is not because of competition but because of strategic choice we have made, whether to produce those products on those machines or if I have the opportunity, to produce value-added products that gives us a higher contribution on a particular line of product.

And that choice we have made. So it is not that we are losing on price to competition. It is a deliberate policy that if I have orders of the higher value-added products, we focus on servicing those customers. But even the domestic market has been subdued. It has not been so aggressive on the GP Rope market. From Q4FY26 onwards, we are seeing a pickup of demand, and we should be able to get better volumes in the coming quarters.

Jasdeep Walia: Got it, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Rupesh Tatiya from Long Equity Partners. Please go ahead.

Rupesh Tatiya: Thank you for the opportunity and congratulations Rajeev ji for a very good set of numbers. My question is on the CBAM issue - the Carbon Border Adjustment Mechanism that Europe has come up with. I think it became applicable from January '26. And I think in the FTA also there was no sort of relief on this front.

And I think steel is one of the major industries and is basically the target industry under this. Is there any impact of this on us? Do we need to change some source of steel? How we procure steel? Can you give some color around that?

Shreya Jhawar: On the CBAM issue, if we look at our product line, it is Wire Ropes and Wires. So, Wire Ropes comes under section 7312, which as part of the definitive period in January 2026 not included yet because it is a more downstream complex steel product, which will likely get included in the 2028 cycle. So, from a Wire Rope standpoint, we are not impacted yet. 11USHA

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On the Wire standpoint, which comes under Code 7217, that is something that is included. Most of the wires that we supply is largely in the domestic market in the United Kingdom, which is not included and some small vol

umes,

maybe around 100 to 200 tons annually in the European market. So, for that small volume, it comes into effect from this year.

We are doing all of the calculations, which need to be submitted on an annual basis from February '27. And we are doing all the necessary calculations, working with our customers to understand what the impact would be and taking necessary actions.

As of now, it is a very small volume for us, so not a meaningful impact. But we are making all the preparations required for when larger part of our products get included and for Wire Rope, which also will probably get included in the coming 2 years.

Rupesh Tatiya: What sort of changes do we have to do from 2028? And does it sort of reduce our competitive advantage in the sense that India has one of the lower steel prices. Does it give some advantage to European manufacturers? Any color you can give around that? And what exactly do we have to do to not have to give any levy for the CBAM?

Shreya Jhawar: Yes. What we are doing now is even though this is 2 years ahead, we are starting to do the calculations, both of direct and indirect emissions for the product to understand what actually could be the potential financial impact.

So even though we are statutorily not required to do the submission, we are still doing the calculation. So, we get an estimate of what that impact would look like.

Now what we have to do is look at, okay, how do we minimize this impact going forward, right? So that might mean that we look at dedicated lines within the plant, which are more - already green manufacturing that can help us reduce this emission. We have already taken up a project to set up a 4-megawatt solar power plant in the Ranchi plant. So that can be more dedicated to these lines for which we supply to the European market. 11USHA

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These are some of the initiatives. Once we have a decent understanding of the impact, we will use these initiatives to see how we can overall minimize it so that the overall financial impact and burden on us is reduced to the maximum extent possible.

Rupesh Tatiya: So, it is a solvable problem. Is that the right takeaway from this?

Shreya Jhawar: Yes, definitely. And ultimately, CBAM is not just applicable to us, it will be applicable to everyone else as well, right? To that extent, it is not a significant competitive disadvantage to us, but we still want to take all the necessary actions in place to make sure we are prepared. And this is a journey we started a few years ago already with trying to see what all we can do in the plant to minimize our emissions. So that is a journey that will continue and now we have put the accelerator on it as well.

Rupesh Tatiya: The second question is Ranchi capex. Where are we on the ramp-up? I do not remember now how much capacity was there. What is the capacity utilization? How will you see FY '27 playing out? How will the value mix move? Some color around Ranchi capex ramp up?

Abhijit Paul: We took a capacity addition of 40,000 tons in ropes and wire at our Ranchi facility. That includes, 19,000 tons of rope and 21,000 tons of wire. So, our rope capacity at Ranchi and Hoshiarpur was around 72,000 tons before these additions. And with this 19,000 tons addition, it will be around 91,000 tons. And our capacity utilization in Ranchi facility is around 75% at the moment, after this addition. That is related to the rope capacity.

On the wire front, in Ranchi facility after this addition of 20,000 will be roughly 75,000 tons, where we will be having around 78% capacity utilization.

Rupesh Tatiya: So, this 75% capacity utilization is a consolidated capacity utilization.

Rajeev Jhawar: You asked for the Ranchi plant. So this is about the Ranchi plant.

Rupesh Tatiya: Okay. And final question, Rajiv ji is, we are now net cash positive, what an amazing journ

ey. I think most of the issues are sorted. So are there any large virgin markets or large virgin product categories that we are working on and 11USHA
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that can take us from, I do not know, INR2,500 crore revenue in wire ropes to, let us say, INR4,000 crore revenue in two, three years.

What is the strategic road map looking like? How are we seeing the new segments? Any color around that would be very helpful.

Shreya Jhawar: Yes, definitely. As you mentioned, we have a net cash position of about INR200 crore, and that is continuously growing. So, we are constantly thinking about how we will continue to invest and the priority would be to continue to reinvest in the business. And as we mentioned, we want to do all of the capex from our internal accruals as well.

In terms of demand, we do see demand across some product categories where capacity is still a constraint today. We are continuing to deploy targeted capex in those areas, primarily around brownfield projects or debottlenecking projects where we feel that returns will be attractive. And the capex of this would be around INR250 crore to INR300 crore level. At the same time, we are also looking at inorganic opportunities that will help us build markets for the capacities that we have created.

We are present virtually across all markets, but in certain areas, for example, in Europe, our presence is primarily in certain regions, whether it be Netherlands, in the England, Scotland area as well as in the Spain area. But there are so many other markets in Europe, be it Germany, where we are seeing some growth and other markets in Europe as well where there is still an opportunity for growth.

So, we will look at both inorganic and organic opportunities that will help us build those markets. And of course, as part of our overall capital allocation plan as well, we might also look at greenfield opportunities if that makes sense.

Rupesh Tatiya: And just a quick question on Parvatmala Project, I think I saw Adani got a contract, maybe three to six months ago. When can we realistically expect

first commercial order for the Parvatmala Project? And what kind of range or size are we looking at for that order? 11USHA
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Rajeev Jhawar: The Parvatmala Projects, there are a few contracts which have been issued. In these projects wire rope procurement is at the last stage. We are in touch with all the people who have won the projects, be it in Prayagraj, Adani and others and they are also in touch with us.
But I think it will not be before next two to three years, that we see the first supply happening to these projects, because these projects take minimum three to five years to come to a level where they start buying the wire ropes.
So we are in the initial stages, but I am happy to say that a few of them are in constant dialogue with us, and we are working to supply all the details to them, work with them. And hopefully, let us see if we can get a few orders in the next couple of years.
Rupesh Tatiya: Thank you for answering all my questions. All the best.
Moderator: Thank you. We take the next question from the line of Prolin Nandu, from Edelweiss Public Alternatives. Please go ahead.
Prolin Nandu: I just wanted to understand some of the color that you have already mentioned on the volume growth and the kind of initiatives that we are taking. Are these initiatives something that will show result as early as Q4FY26? Or do you think this will take a slightly longer time? And the broader question that I am looking for is that, if I look at your previous outlook, our company should have a steady growth in terms of growth of top line, at least in 12% to 15%, is what you had alluded to right?
So should we return back to that run rate, at least

in FY '27 onwards? Or do
you think, that is going to be a challenging thing for us?
Shreya Jhawar: On the volume side, we should see a gradual ramp-up from Q4 and then in the next financial year it should definitely be better, based on some of the inquiries as well as order pipeline that we were mentioning. If you look at the past three years CAGR of the wire and ropes business on a volume standpoint, we will see that it has been around 11% to 12% range.
Where the degrowth has happened is on the LRPC side. Even on a nine month basis, if we look overall, volume growth was 5%, but wire and ropes combined 11USHA
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is at 8% levels. That being said, we know that there is still scope for improvement. Ropes capacity globally at about 145,000 tons now and we are at 74% - 75% utilization overall. So, there is still a lot of room for growth. We have the capacities. And with all of the initiatives, we should see by Q4FY26 slow pickup and then overall further pickup in FY27 as well.
On the revenue standpoint as well on the Wire and Ropes side based on the forecast for this year, if you look at the three-year CAGR from FY24 to FY26 on the Wire and Rope side, again it is about 10% to 11% roughly around what we had guided. And then on the LRPC side where the market has become a more commodity market, so that is something where we see degrowth, which again brings down the overall number.
Going forward, again, on a revenue standpoint, in the next year, we do expect early double-digit growth for sure.
Prolin Nandu: Okay. That is very helpful, Shreya ji. Where I was coming from is that, if I look at your operating EBITDA number. We are at that INR600 crore run rate. We were at INR600 crore in FY24. In FY'25, we were also at INR600 crore. Maybe this year, also best we will do is end up at that number. right? So, three years of flattish EBITDA. My question is that is there any risk that you see to percentage EBITDA margin, per ton EBITDA margin next year that could still keep the EBITDA growth lower than the top line volume growth that you just alluded to?
Shreya Jhawar: Yes. On an overall EBITDA level, if you see last year, we were operating EBITDA of about INR597 crore, this year in the 9 months itself, we are at INR494 crore.

And last 2 quarters, we have had about INR175 crore, INR176 crore.. So, at a minimum, we should see not a INR600 crore level, for sure, definitely more in the INR680 crore, INR700 crore range is what we see for the year.
So from a INR600 crore base over the last few years to INR680 crore, INR700 crore is definitely a growth on an EBITDA standpoint. But yes, on the revenue standpoint, we definitely have more work to do, 100% agreement on that and with all of the initiatives that we mentioned, we should see that coming as well, while maintaining our margins at the 19% to 20% level. 11USHA
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Prolin B. Nandu: Thanks a lot and all the very best.
Moderator: Thank you. We take the next question from the line of Kartikeya Kumar Pandey from 360 One Capital. Please go ahead.
Kartikeya Pandey: I just wanted to understand few things. With most of the capex over, what is your vision for the next 2 to 3 years, if you could give me some light on that, like how much capex are you going to do, some numbers?
Rajeev Jhawar: On the capex, as mentioned earlier, we have a few areas where we see growth and demand coming up, both in the domestic and export market, particularly on the value-added products like elevator, like crane ropes, port cranes and some for the oil offshore and even on the ocean fiber business. So, to maintain a 10% to 12% to 15% volume growth, we believe the capex should be between INR 250 crore and INR 300 crore per year. To have this capex in the next 2 to 3 years, we expe

ct between INR250 crore to INR300 crore, including maintenance capex every year.
Kartikeya Pandey: What will be your maintenance capex number, if you could just give it?
Rajeev Jhawar: The maintenance capex number would be around INR50 crore a year.
Kartikeya Pandey: Okay. And I just want to understand what is the kind of mix between the 3 segments, when you think of your business like 2 to 3 years down the line, what is the segment, the ratio that you think should be the optimal for your business?
Shreya Jhawar: Yes. Definitely, going forward, like we mentioned, LRPC because it is become a commodity market that will become a much lower percentage in terms of volume and the growth is going to come from Wire Ropes and Wires. If we see Ropes right now is around 73% of our top line that would keep growing in the next 3 years, around 75% - 76% at the least. And Wires would also keep growing as we are going into more high-value wires as well as overall increasing our wire volumes by more export volume other than the domestic, which we have been doing.
On the LRPC side, while we will not see that volume growth because the black LRPC, which is a commodity market. On the plasticated LRPC side, as we 11USHA
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mentioned, as the approvals come in and our volume start to go up as the projects get executed, I think that is an area of focus. Right now, we have a capacity of about 6,000 tonnes per annum, and we will look to further expand that as well as the approvals for our various customers coming.
Kartikeya Pandey: Basically, Wire and Wire Rope segment is expected to grow at around 10% to 11%, is what you are saying right?
Rajeev Jhawar: The Rope segment should grow with all the capex in place and the various initiatives which we have taken to develop newer geographies and newer products should grow by about 10% to 12%. And the Wire segment, as we have seen growing by about 20% this year. This momentum should continue with more and more of the value-added wire products, which we are trying to develop both for the domestic and export market. So, these will be the key drivers. And together, an average would be close to around 12% to 15% of volume growth in the Wire and Rope segment combined.
Kartikeya Pandey: Okay. Understood, And in this quarter, you are seeing some good amount of price hikes in steel and as well as price increase in zinc as a commodity. So, what could be any impact in the coming quarter that you can highlights on

margins?
Rajeev Jhawar: I think the Wire and the LRPC is generally pass-through in nature. Any steel price increase or decrease is always passed on to the customers and we have already started seeing the price increase as the steel price on these products.
On the Wire Rope front, I think we, as always seen in the previous last few years also that because of our overall mix and price management, we are able to ensure our protection of margins. So even if the steel price increase, we are hopeful of remaining between the 19% - 20% margins what we have indicated earlier.
Kartikeya Pandey: Right. And it will not have that specific on volume, if I if I get a sense on business?
Rajeev Jhawar: No, it does not impact the volumes.
Kartikeya Pandey: Okay.

Rajeev Jhawar: Thank you.
Moderator: We take the next question from the line of Sucrit D. Patel, from Eyesight Fintrade Private Limited. Please go ahead.
Sucrit Patel: Good morning to the team. I have 2 questions. My first question is, as you have outlined your road map in the commentary so far. I just want to understand the key trade-off the management is currently navigating across Usha Martins core Wire Rope and Cable programs.
For example, between capacity allocation, delivery timelines and margin optimiz

ation, what internal thresholds or early demand signals would prompt you to recalibrate your current plan of action if the conditions shift?
Shreya Jhawar: Of course, with the constant balance between value-added segment and volume growth, right? So that is a constant balance that we have to strike.
And as we mentioned, for the value-added growth, we have a more advanced order book because the delivery timelines, etc for those are a little bit longer and the requirements are also more customized.
But in situations where in months we do not see, for example, a lot of traction on the value-added segment, we recalibrate our approach and focus more on the GP Rope side because ultimately, we want to get to the overall volume level and ensure efficient utilization of all of our assets. We are constantly balancing between the two, and on a month-on-month basis, depending on the demand pipeline, we take that call.
Sucrit Patel: My second question is to Mr. Paul. Again, forward-looking one. From a monitoring standpoint, how are the early operational or financial indicators you track internally could signal either upside or also pressure on the margin in the cash flow before they show up on the reported numbers? I just want to understand your view on this, on the tracking part of it.
Abhijit Paul: So overall, we track the net working capital numbers. That is one key numbers that we track on a monthly basis, basically inventory management and receivables management. These are the 2 areas where we are continuously focusing, and that is yielding our good improvement in the cash flows. So on

the cash flow side, these are the 2 areas we constantly monitor to ensure that cash conversion is positive.
Shreya Jhawar: Just to add to that, a few KPIs that overall, we track as a group is, of course, around our volume growth, around our top line growth. Third is around our conversion of EBITDA to operating cash flow. We want to maintain that above 95% at all times. And right now, we are at 114% for the 9 months. And the fourth KPI that we have as an organization is our ROCE, which is right now 20% and our long-term goal for that is 25%.
Sucrit Patel: Thank you, and best of luck for the next quarter.
Moderator: We take the next question from the line of Anil Yadav from Axe Capital. Please go ahead.
Anil Yadav: Good morning and congratulations on the set of numbers. My first question

is, if we look at our overall Wire Ropes sales volume in tonnage terms, could
you please help us understand what proportion is currently coming from
value-added specialty Wire Ropes? Additionally, how does this segment
compare in realization versus standard Wire Ropes products?
Abhijit Paul: Wire Ropes is 73% of our total turnover. And within Wire Ropes, 70% is value
added. And if you see the difference in margin, the difference is around 1 lakh
in margin between a general rope and elevator rope - on an average.
Anil Yadav: Okay. Within the total Wire Ropes production mix, could you share the
approximate tonnage per attributable specifically to elevator ropes? And if
possible, what would be the average relation per tonne for this category
compared to the blended wire rope realization?
Rajeev Jhawar: We generally do not share sector-wise volume details, what we really share is
between the GP rope and the value added as 2 separate segments. Within
that, we do not share individual details.
Shreya Jhawar: On the top line side, elevator is about 9% to 10% of the overall top line. On
the volume side, we do not split it up by any segment. We do not share that. 11USHA
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Anil Yadav: Okay. Understood. And my last question is out of total Wires Ropes volume,
how much tonnage would be locked coil wire that is LCWR. Further, cou

ld you
provide some perspective on how much of that LCWR volume is currently tied
to infrastructure programs such as Parvatmala or similar OPA projects.
Rajeev Jhawar: As mentioned to you for the previous question, we will not get into individual
segment-wise reporting for individual sectors like this. And we always look
into between the specialized and non-specialized. And that is how our
reporting is done, and individual sector-wise, we do not have those numbers
disclosed.
Anil Yadav: Thank you so much. Thank you for taking my question and time.
Shreya Jhawar: Thank you.
Moderator: Ladies and gentlemen, we take the last question from the line of Rajesh
Agarwal from Moneyore. Please go ahead.
Rajesh Agarwal: My question on any further scope of working capital improvement?
Rajeev Jhawar: Of course, working capital, like our CFO mentioned, in last 1 year, we have
reduced by almost INR97 crore by tightening common with all our business
entities as a part of One Usha Martin are on a common digital platform, and
that is helping us to track our receivables and the inventory and the quality of
inventory. So this is an ongoing exercise. And we hope that this should
continue to get better in the coming quarters also.
Rajesh Agarwal: Can you quantify a number of days? In this presentation, it was 199 days. So
can it come down to 175, 180 days?
Abhijit Paul: We are always trying to do that. So now our target is to reduce to at least 180
days.
Rajesh Agarwal: And second question, the value addition will improve going further. So, is
there a scope of margin improvement also?
Rajeev Jhawar: As we mentioned earlier also that our margin which had come down to about
16%, 17% or 16%, 16.5% - in last 2 quarters, we are at around 19%. On the
product mix improvement, we would be between 19% to 20%, that is our 11USHA
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target. And beyond that, I feel that if you try to keep on increasing that, you
start losing your volumes and market share. So, we would like to try to
maintain increased volume with the EBITDA between 19% to 20%.
Rajesh Agarwal: And sir, the last question on the labor code. The onetime provision has been
done. So, every quarter, the employee costs will increase from here or it will
remain the same?
Abhijit Paul: No, no. So there are onetime costs due to retrospective effect. There will be
some increase in the gratuity expenditures going forward, but that will be less
than a crore in a year.
Rajesh Agarwal: Okay. It will not be much?

Abhijit Paul: No, it will not be much.
Rajesh Agarwal: Thank you.
Moderator: Ladies and gentlemen, with that, we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.
Rajeev Jhawar: I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions. The company is dedicated to creating value for its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the company, please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on this call and see you in the next quarter.
Moderator: Thank you. On behalf of Usha Martin Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.
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Call: May 2026

Date: 8th May 2026

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
[Scrip Code: 517146]

The Manager
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra
Mumbai – 400 051
[Symbol: USHAMART]

Societe de la Bourse de
Luxembourg
35A Bouleverd Joseph II
L-1840, Luxembourg
[Scrip Code: US9173002042]

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call – Q4 & FY26

In continuation to our letters dated 23rd April 2026 and 30th April 2026 and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call for Q4 & FY26 held on 30th April 2026 at 4:30 PM (IST).

The same is uploaded on the website of the Company and can be accessed through the following weblink TranscriptQ4&FY26.

Further, please take note that no unpublished price sensitive information (UPSI) was discussed/shared during the call.

This is for your information and records.

Thanking you,

Yours faithfully,

For Usha Martin Limited

Manish Agarwal
Company Secretary & Compliance Officer

Enclosed: As above

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USHA MARTIN LIMITED
Q4 & FY26 Earnings Conference Call Transcript
April 30, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Usha Martin Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing 'star' then 'zero' on the touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh of CDR India. Thank you, and over to you, sir.

Devrishi Singh: Thank you, Rutuja. Good evening, everyone and thank you for joining us on Usha Martin's Q4 FY26 earnings conference call. We have with us Mr. Rajeev Jhawar – Managing Director of the Company; Mr. Abhijit Paul – Chief Financial Officer; and Ms. Shreya Jhawar from the Strategy and Growth team of the Company.

We hope all of you have had the opportunity to refer to the earnings documents that we shared with you earlier. We will initiate the call with opening remarks from the management, following which we will open the forum for Q&A session.

Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation. I would now like to invite Mr. Rajeev Jhawar to make his opening remarks. Thank you, and over to you, sir.

Rajeev Jhawar: Good afternoon, everyone. On behalf of the Usha Martin management team, welcome to our earnings call for the fourth quarter and full year ended March 31, 2026. I will start with the financial results, cover the key drivers behind them and also share our outlook for the year FY27.

We closed FY26 with consolidated revenue of INR 3,691 crore. Operating EBITDA grew from INR 597 crore last year to INR 705 crore this year, reflecting a margin of 19.1%. Operating cash flow conversion was healthy at 104% of the operating EBITDA. We ended the year with a net cash position of INR 332 crore compared to a net debt of INR 63 crore in the previous year.

In Q4, revenue stood at INR 979 crore, up 9.3% year-on-year. Operating EBITDA was INR 212 crore, the highest since the sale of the steel business with margins at 21.6% and EBI

TDA per ton at approximately INR 39,500 per metric ton. 11USHA '-"MART 'IN

So, what drove these numbers? Our international rope business performed well, especially in Europe and the Americas. Segments like cranes, elevator and mining saw good traction.

Over the past few years, we have invested in expanding capacity and deepening our technical capabilities of high-performance ropes in India. That groundwork is paying off. With Ranchi's upgraded manufacturing capability and Brunton Shaw's brand integrated together, we are executing larger, more complex projects for global OEMs and end users.

During the quarter, we executed a landmark Oceanmax project at our Ranchi facility, including the largest single reel rope production ever undertaken in our Ranchi plant. This is a tangible example of the capability our recent capital investments have created.

Alongside this, our 'One Usha Martin' program continues to drive efficiency across the group. So, our cost base has become structurally leaner, while revenue is shifting towards higher-value products, geographies and applications, giving us clear operating leverage.

Having said that, the operating environment did pose some challenges this quarter. The ongoing conflict in the Middle East led to slower customer activity and project delays in both Dubai and the Saudi Arabian markets. Supply chain in this region were also disruptive, affecting the timing of some shipments. Volumes in the Middle East came in below normal levels. The broader geopolitical situation also created tightness in raw material availability, putting pressures on input costs. However, we were able to manage through this effectively.

First, we proactively built additional raw material inventory to ensure continuity of supply with no disruptions to production at all. Second, in wire and LRPC, we passed through the input cost increases, so margins were not impacted. Third, in rope, a better product mix with a favorable shift towards higher value-added applications, improved realizations and margins while also helping manage volatility in rod and gas prices. Fourth, while the Middle East was softer, we continued to see healthy demand in other markets, which more than compensated. And fifth, faster decision-making meant we stayed ahead of the situation rather than reacting to it.

All in all, the way we navigated this quarter gives us confidence in the resilience of our business model, which is very diversified across products, end-industries and geographies.

Looking ahead, growth remains a key priority. There are 3 areas that give us confidence about this financial year ahead. The first area is value-added rope applications - oil and offshore, elevators, port cranes and mining. We have built references and field performance data in these segments over time, and the track record now lets us approach a wider set of customers. We are
already seeing this play out with growing order book from new customers for H1 this financial year.

In oil and offshore, specifically, there is an added tailwind. More countries are prioritizing energy security and that is driving demand that we are well positioned to capture. Beyond core rope, some of our newer business verticals are maturing well. Oceanfibre synthetic business and plasticated LRPC are two examples where the time we put to product development, technology work and customer approvals has created platforms that are ready for the next stage of growth. We expect meaningful scale up in FY'27 and beyond.

And finally, from a capital allocation standpoint, with strong operating cash flows and a positive net cash position, we have the bandwidth to invest from internal accruals. We will continue targeted capital expenditure where demand visibility is

clear, and we are also evaluating selective organic and inorganic opportunities in markets where our footprint is still limited.

In summary, we enter FY'27 from a place of strength, a healthy balance sheet, a richer product mix and growth engines that are beginning to deliver. The hard work of building the foundation is largely done. Now it is about execution and scaling up.

With this, I would now like to invite our CFO, Mr. Abhijit Paul, to take you through the financial highlights for the quarter and the year ended. Thank you.

Abhijit Paul: I will now provide a brief overview of the company's operating and financial performance for the quarter and full year ended 31st March '26.

Starting with the fourth quarter, consolidated revenue was INR 979 crore, up by 9.3% year-on-year. Rope revenues grew by about 14.8%. Wire revenues saw a notable 31.2% increase while LRPC was lower by 20.4%.

Operating EBITDA for the quarter came in at INR 212 crore, up 52% with margins expanding to 21.6% and EBITDA per ton of nearly INR 39,500 in a challenging macro environment marked by supply chain disruption and elevated input costs. PAT from continuing operations stood at INR 155 crore.

For the full year FY '26, consolidated revenue was INR 3,691 crore, up 6.2%. Performance during the year continued to be led by our core businesses. Wire Rope revenues grew by approximately 8% for the full year, while Wire segment saw strong revenue growth of around 24%. International revenues now account for 57% of total topline, up from 55% last year, reflecting good traction across global markets.

Operating EBITDA grew by 18% to INR 705 crore with margins improving to 19.1% from 17.2%. Operating EBITDA per ton also improved to approximately INR 34,100 for the year compared to around INR 30,100 last year. PAT from
continuing operations increased to INR 491 crore compared to INR 406 crore last year.

We have made meaningful improvement on the cost side this year. Our 'One Usha Martin' program is now showing up clearly in the numbers. Fixed employee costs came down 3% and administrative expenses declined by over 7% year-on-year, even as we grew the topline by 6%. Our finance costs came down by around INR 10 crore as we repaid our debt amounting to INR 192 crore.

The progress during the year is best reflected in the strength of our cash generation. Operating cash flow stood at INR 736 crore, translating into a conversion of approximately 104% of operating EBITDA. After funding capex of INR 198 crore, free cash flow stood at INR 457 crore. This was achieved despite consciously building inventory buffers to manage supply chain disruption due to the ongoing geopolitical situation.

Even then net working capital days improved to 194 days from 199 days last year and ROCE improved to 20.6% from 19.3%. As a result, we closed the year with a consolidated net cash position of INR 332 crore and with standalone operations now entirely debt free. This is an important milestone for the Company. Over the last few years, we have moved from a phase of deleveraging to a position of balance sheet strength.

This gives us the ability to fund growth through internal accruals, remain resilient in volatile markets and maintain discipline in capital allocation. To conclude, FY26 has given us solid foundation to support the next phase of growth. We will continue to invest with a clear focus on returns, cash generation and long-term value creation.

This brings me to the end of my address. I will now request the operator to open the line for the question-and-answer session.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Aman Kr Sonthalia from A K Securities.

Aman Kr Sonthalia: Congratulations to the management on delivering a strong set of results along with an attractive divi

dend payout. I have few questions regarding this quarterly result. First, - though the profit is excellent, the margins are very good, but as far as volume is concerned, it is still concerning. I think the volume has not picked up. What is the reason behind that?

Shreya Jhawar: Thank you for the question. So, in terms of volume growth for this quarter, volume growth in ropes was at about 5%. Like we mentioned, the focus has increasingly for us moved towards specialized and high-performance rope applications. And in those categories, tonnage growth is not always linear, but we do have better quality of revenue with stronger realizations and healthier margins. USHA
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That being said, in this quarter, the rope volumes came in lower than our expectations as in the Middle East, because of the crisis, we did see demand being impacted because of the overall geopolitical situation. So that did have an impact of about 900 ton or so for this particular quarter. If we had that, we would have been at about 8% growth in ropes for the quarter.

But that being said, in FY '27, the priority is volume growth while at the same time, maintaining the quality of mix. And with the groundwork that we have done over the past few quarters and over the past year in terms of market development with the capacities being commissioned in Ranchi as well, we are confident of stronger volume growth in the upcoming year.

Aman Kr Sonthalia: Okay. The ongoing crisis in the Middle East, the war between Iran and other countries, I think it is not going to last very long. So, whenever the war ends, I think the sanctions on Iran will come to an end. And since there is a lot of disruption in Middle East due to this war, I think a huge market will be created. So how is the Company positioned to benefit from this situation?

Rajeev Jhawar: You are absolutely correct. Of course, we all are hoping and expecting that this will not continue and will come to an end soon. If that happens, definitely, we will see a huge opportunity, both from reconstruction as well as from the production of oil & offshore and all the reconstruction activities. And we are well poised to take advantage of that situation.

Also, as Shreya mentioned that the demand has been affected in the fourth quarter because of this ongoing conflict, but I am happy to say that our plant operations are normal, and everything is safe. And once the situation improves, I think we should be able to get substantial benefit from the

opportunities arising there.
Aman Kr Sonthalia: Okay. And the margin for the quarter was excellent. It was very, very healthy. But right now, the steel prices are going up and at the same time, the gas prices are going up, logistic costs are going up. So, whether we will be able to maintain the same margin or even improve it?
Shreya Jhawar: Yes, you are right, steel prices, gas prices, they have been on an increasing trend since January. We are happy to say that so far, we have been able to pass on the increase for the wire segment, LRPC segment, and that would continue. Similarly, for Wire Ropes also, we, on one hand, have been able to pass on a large part of the increases combined with better product mix. So, as you said, we have been able to expand our margins even in this situation where prices have been increasing. Our endeavor would be to continue to do the same in the coming quarters.
Rajeev Jhawar: And earlier what we have been saying that to be between 18% to 19%, we feel that with the product mix and everything, at least we should be able to look at a minimum of 20% operating margin. And as we have been mentioning, our focus would always be to improve the overall absolute EBITDA numbers. And these can change because of the product mix changing in a particular quarter.
But overall, we are pretty optimistic that we should be able to improve our margins.
Aman Kr Sonthalia: Okay. And one more question related to synthetic slings and plasticated LRPC. So, any breakthrough or any meaningful growth can we see in this ongoing financial year?
Rajeev Jhawar: Yes. On the plasticated LRPC, we have been working with a few customers for their approvals, and I am happy to say that we have progressed well on those. It takes some time to get those approvals. So, we are working with a few of the global players, and we are very close to achieving that. And once that is done in the next few weeks, we see the opportunity of getting into both in domestic and export markets.
So, we are expecting a healthy growth in the plasticated LRPC once these approvals are in place in the next few weeks. Also, on the synthetic sling, in the very first year, we have been able to get some very good traction with approvals from customers and repeat orders. And we expect this also to significantly grow in this year and in the coming years.
Aman Kr Sonthalia: Sir, the last one is how the European and U.S. markets are looking for us?
Shreya Jhawar: So, the European market is, as you know, is a very important market for us. It is about 26% of our topline. It performed well in this financial year, and the outlook is positive for the next year as well. All of the changes we made in terms of the integrated model between the Ranchi manufacturing and the Brunton Shaw brand, have started giving us dividends and are working well for us. It has helped us increase our share with the premium customers, both the OEM and [Audio Distortion at 00:22:09 min.] especially in the high-performance segments like cranes and mining.
Second, [Audio Distortion from 00:22:16 min. to 00:22:21 min.] in Europe. So that is helping us work more closely with the customers and we are providing them value-added services instead of just the standard products. So that [Audio Distortion from 00:22:30 min. to 00:22:32 min.] and increases the stickiness that we have with customers as well. And going forward as well, the order book pickup is looking strong, which gives us good visibility going into H1 FY27. [Audio Distortion from 00:23:09 min. to 00:23:12 min.]
Aman Kr Sonthalia: And what is for U.S. market?
Shreya Jhawar: In terms of the growth, it went from 7% of our topline to 9% of our topline for this year. So even though on the ground, it has its share of challenges around tariffs, trade uncertainties, etc., we do see good opportunities. It is a high value market. So, you know elevator ropes, again, crane ropes, mining ropes, the work that we have done over the last few years did support us to navigate these challenging times. So going forward as well, still our market share in the U.S. is sub 5%. So, there is tremendous opportunity for growth.
Moderator: The next question is from the line of Vinit Thakur from Plus91 AMC.

Vinit Thakur: Congratulations on the recovering margin and the great results. I had a couple of questions regarding this: there is an increase in our other income and reduction in debt, interest as well up, even though the debt reduction is not that great. And we have also seen a higher realization quite a bit. So, would you expect a similar realization going forward? Or would it be the same?

Abhijit Paul: So, the other income for this current quarter includes the refund on which we have got interest, so that interest component of INR 19 crore is included in other income. So that is one. And on the interest cost, yes, there has been a substantial reduction compared to last year. So, we have repaid around INR 193 crore in borrowings, and we are debt-free across all the geographies, except one. So, that is the reason behind the decrease and decline in the interest cost.

Rajeev Jhawar: And in terms of the realization, as we mentioned in our opening remarks, we have been able to develop certain products in our international market and built up certain good customer base for oil, offshore, crane and mining. And we have a fairly healthy order book in the first half of this year in H1. We hope the realizations would continue to be healthy.

Vinit Thakur: And for margins, can we do more than 19% going forward?

Shreya Jhawar: Yes. I mean, for this year, it was above 19%. And this quarter, we did close to 22%. And as we mentioned that we are confident of sustaining margins at the 20% range because of the overall better mix and the high-performance rope segment that we are targeting.

Vinit Thakur: And we have mentioned that we are going to scale down LRPC and focus on the plasticated LRPC, as mentioned by the previous participant as well. So, the traditional LRPC is going to be reduced by what time, like by what time would we assume that traditional LRPC contribution will be negligible? Because we have been reducing it on a quarter-on-quarter basis.

Shreya Jhawar: Yes. I mean, in terms of plasticated LRPC, first thing is that some of the major approvals are within a couple of weeks, which should be done. So that will help ramp up the volumes, both in the domestic as well as the international market. As those approvals come in and then also obviously, because it is a project-dependent market, as the projects materialize as well, we would gradually convert the black LRPC into plasticated. We have a capacity of 6,000 tons per annum of plasticated LRPC. So, to the tune of that, we would aim to convert over a period of time.

Rajeev Jhawar: And the black LRPC, we will continue, and we expect even this year to do around 48,000 tons, similar to what we did last year, and the plasticated LRPC of close to 5,000 to 6,000 tons as the approvals convert into orders.

Vinit Thakur: Okay. And what are the capex guidance for next 3 to 4 years?

Rajeev Jhawar: In next 2 years, we intend to spend close to INR 300 crore to increase our manufacturing capacity for elevator ropes and some more opportunities where we see for some specialized wires and also increasing our capacity of plasticated LRPC. So, in next 2 years, we see a capex of close to INR 300 crore. In addition to this, as we mentioned in our opening remarks that we would also look at opportunities of some inorganic growth in areas where we want to expand our presence globally, particularly in the value-added and rigging and helping us to get close to the customers.

Vinit Thakur: Thank you sir so much.

Moderator: The next question is from the line of Pranav Iyer from PL Capital.

Pranav Iyer: You just said capex of around INR 300 crore, so that will be mainly for Wire Ropes and how much capacity will it add from the current levels?

Rajeev Jhawar: So, we are planning to increase our rope capacity by close to 6,000 tons with this and almost 70% 75% of the capex would be going to expand this capacity. And the balance 30% would be used to augment the capacity of specialized wires, as well as further increasing the capacity by addition of few equipment and testing facilities for plasticated LRPC.

Pranav Iyer: And plasticated LRPC, you said we can sell around 6,000, 7,000 tons per annum. Am I right on this number?

Rajeev Jhawar: Yes, our current capacity is around 6,000 tons. So, we should be able to, but once all the approvals are in place, we will also be able to access the export market for these products. So, once we are close to utilizing this capacity, we would take steps to further augment our capacity to 8,000 to 9,000 tons, but all those will come in steps. And those costs are included in the capex, which

we intend to do over the next 2 years.
Pranav Iyer: And can you also give some c

olor on how is the demand in India for next, let us say, 1 or 2 years, apart from whatever is going on globally in the rest of the markets like Europe and the U.S? Do you expect any disruption in demand in next year?

Rajeev Jhawar: No. As we mentioned, our demand from Europe and America is pretty strong, particularly in the segments of oil & offshore, crane and wind energy. So, in these areas, we are seeing strong demand, because most of these countries are wanting to have their own energy security. So, we are seeing a fairly strong demand and order book, and there are a lot of projects in the pipeline and inquiries also in the pipeline, and we are having some good orders for H1. We do not see any pushback in demand from these markets.

As far as India is concerned, we are growing at 6%, 7%, 8% overall, and we have a fairly large market share in India. And we would continue to grow based on how the country grows. We should be able to hopefully maintain and slightly increase our market share, particularly in segments like elevator
and ports, which are growing at a much faster pace. And we are building up capacities to ensure that we are ahead of the curve to take care of these demands.

Pranav Iyer: Okay.

Moderator: The next question is from the line of Shraddha Kapadia from SMIFS.

Shraddha Kapadia: Congratulations on the good set of numbers. So, if you could help me with the current capacity utilization across the different plants?

Shreya Jhawar: In terms of capacity, the total rope capacity now is about 140,000 tons, out of which we are, say, at about 75% utilization. And in terms of wires, we are at about an 80,000 tons capacity also around 75% to 78% utilization. And LRPC, if we break it down, the normal LRPC is about 60,000 odd tons and the plasticated is about 6,000 tons. And even there, we are at about 70% or so utilization.

Shraddha Kapadia: Okay. Also, if you could help or throw some light on the ‘One Usha Martin’ initiative, the benefits which we have realized till now and the future expectations?

Shreya Jhawar: So, in terms of ‘One Usha Martin’, like we mentioned in the opening remarks that the benefits of that, we are already seeing on the cost side; - where fixed costs, fixed employee costs as well as the admin costs have come down substantially this year. That is on the cost side. And we feel that now we have a much stronger overall cost discipline in the organization as well and that is very well embedded both in India as well as our subsidiaries.

Then on the revenue side as well; so, as we are working as One Usha Martin, we have better working between India and the subsidiaries across all the high-value segments. So global references from one location is helping us build market in the others like we mentioned. So, as we are working more closely, sharing references, sharing performance data, which really is helping us. So on the cost side, we have been able to get significant fixed costs about 3%, admin cost about 7%, so, all the cost savings we have taken at ‘One Usha Martin’, we have seen over the last 18 months, about INR 65 crore to INR 70 crore of cost savings that we have been able to make.

Shraddha Kapadia: Sure. If you could help with any future numbers or future guidance, that would be great, with regards to the ‘One Usha Martin’?

Shreya Jhawar: Yes, I think we answered the question on One Usha Martin. So, if there is any further questions, we will be happy to take that.

Shraddha Kapadia: Also, if you could just help with any future guidance or future plans which you have with regards to this only, any quantifiable numbers or anything if you could help in terms of Usha Martin only, ‘One Usha Martin’?
Rajeev Jhawar: This has become a discipline

in our DNA, and we will continue to work on getting more back-office services to India, further optimizing our costs. So, this has become a part of our DNA, and this will be a continuous way to look at

efficiency.
Shraddha Kapadia: Okay.
Moderator: The next question is from the line of Kartikeya Pandey from 360 ONE Capital.
Kartikeya Pandey: So my first question would be on the LPG cost. So, can you quantify what was the quantum as a percentage of sales and what is the inflation on that? And are there any production disruptions that can happen if the crisis persists for some time, even after April?
Rajeev Jhawar: We use about close to 250 to 300 tons depending on LPG. So, a few steps we have taken. Of course, the cost has gone up from the earlier level of INR 60,000 per ton to around INR 120,000 to INR 130,000 per ton. We have been able to take a few steps. One is we have a line very close to our plant, which has just been completed, and we are shifting part of our requirement to natural gas. The line is very close to our plant and 25% of our requirement, we will shift to natural gas, which is available in this part of the country. And the cost, whatever the increase has been there is close to about INR 2.5 crore to INR 3 crore a month because of the increased price of LPG and propane. We have been able to pass on the cost, as a part of our product pricing to the customers. And we have taken advanced steps, as we mentioned in our opening remarks, that we created enough buffer in our system and the supply chain management to book at the right time, even at these costs to ensure that there is no disruption, and we do not expect any disruption on account of gas shortage.
Kartikeya Pandey: Okay. Could you just help me understand, - this is 250 ton of LPG on per ton, - how should I model this if I want to understand?
Rajeev Jhawar: No, you see there is nothing called per ton because LRPC does not require it, or certain wires do not require it. So, our total consumption is between 250 to 300 tons a month, and that is across all our furnaces. So, we cannot attribute it to any single product. So, it is a total requirement. And if I look at it, our total cost is about INR 4.5 crore to INR 5 crore even at these inflated prices today. So, it cannot be attributed to per ton of rope or per ton of particular wire. It is used in a variety of furnaces. So, we look at it as our total cost of 250 to 300 tons every month.
Kartikeya Pandey: Okay. So, like you just mentioned previously, you were looking at 18% to 19% stable operating margins. Now you are saying that this can inch up to 20% due to a better product mix. So, if I am not wrong, with the product mix that we are looking at, is that not going to affect our volumes in general for the Wire Rope business? So, what I want to understand is what is the volume growth that you are looking at? Is it the same 10% to 12% that you mentioned last quarter? Or is there any change that you are looking at? USHA MARTIN

Rajeev Jhawar: No, we are looking at overall, between our product mix, growth of between 10% to 12% that would continue, as well as our endeavor to move more and more towards specialized products would also continue. So, it is going to be a mix of volume growth as well as a continued focus on building higher value-added ropes. So, both are independent and to some extent, interlinked. Both the targets are being simultaneously focused by us. And we would continue and barring some major geopolitical issues, we should be able to achieve the 10% to 12% volume growth and constantly push the value proposition also.
Kartikeya Pandey: Okay. But like if I am not wrong, you had mentioned some output drop if you venture high-quality ropes like elevator, crane and mining applications. So that is why I was just trying to connect the pieces?
Rajeev Jhawar: See

you are right when it comes to certain compacted and high-quality ropes or some ropes which are running on the machine at lower diameter, because the number of SKUs are pretty large in a plant like ours or in the rope industry. But the kind of capacities which we have built in our plant now and the new capex, which has been implemented, we have the flexibility to push higher value-added products as well as scale up our volume. So, it is not a very simple calculation. But based on whatever infrastructure we have created in our facility, we feel confident that we will be able to manage both the value-added sector as well, while at the same time, pushing our volume. So, both will happen.
Kartikeya Pandey: Okay. What is your international market share as of FY '26, specifically in U.S., Europe and the Middle East as compared to FY '25?

Shreya Jhawar: Overall, like we said, in the U.S. market, it is sub-5% share. In Europe, it would be higher with our service centres as well as our factory present about 10% to 12%. And Middle East, again is a combination, there is a lot of general-purpose ropes as well an unorganized market, but we are the only manufacturer of Wire Ropes in the GCC region. So that does give us a benefit, and we probably have a larger share over there.

Moderator: The next question is from the line of Kamlesh Bagmar from Lotus Asset Managers.

Kamlesh Bagmar: A very strong performance on the margins as well as a very good articulation of the outlook and the prospects ahead. Just one question, going forward, can we assume 6% to 7% volume growth on a CAGR basis for next 2 to 3 years or can we march ahead of that? Because honestly, we have performed very well on the execution side. But going forward, can we assume the growth will remain at 5%, 7%, given the fact that these are the industries where our product goes, the growth would remain at similar levels?

Rajeev Jhawar: It is a very good question. 6% to 7% growth is the normal growth for this industry globally, 6% to 7%. But as Shreya mentioned, our share, particularly when you talk about Europe or talk about the U.S., our base and market share in those markets are very low. And once we have built our capacity as well as USHA MARTIN

based on the various capex, which we have already done and we have been able to make in-roads, which has taken time for us to get into new customer approvals, new OEM approvals, even some of the new end user customers we have been able to develop over the last 3 or 4 years, we have been able to build that kind of capability now and also newer markets.

We hope that both with a lower base and these product approvals and the markets which we have developed and the capability from the plant, we should be able to get to overall, of course, this includes Wire Rope as well as some specialized wires and plasticated LRPC in the entire basket, we hope to be able to get to that 10% to 12% volume growth for the next 2 to 3 years.

Kamlesh Bagmar: Great. And second, as we ramp up our volumes, will our margins remain at these levels or because we want to capture higher volumes, will we have to take some hit on the margins, or will the product mix will take care of the higher volumes? How would things be on the margin part?

Shreya Jhawar: Yes, as you rightly said, as the product mix is also getting better, we should be able to sustain at the 20% margin level. And our goal would be to continue to drive better mix and improve the margins going forward.

Kamlesh Bagmar: Great. And once again, sir, a lot of appreciation, the way we have transformed our Company since that exit of direct steel business, and wish you best of luck.

Moderator: The next question is from the line of Deeya from Sapphire Capital.

Deeya: Can you share your current order book and also provide a break-up of the order book?

Rajeev Jhawar:

You see, for the specialized projects, as I mentioned, we have a fairly healthy order book. We generally do not talk about any specific volumes, but we do have a good visibility for these higher value-added products, and a good visibility for our value-added products for H1. 85% of our business comes through the replacement market. And we have a very strong dealer network in India as well as our own distribution arms and subsidiaries. So, the kind of order book and the feedback based on all the inquiries, I think we have a fairly strong order book and visibility for the rope demand for the next 6 months at least.

Deeya: Sir, can you please quantify it?

Rajeev Jhawar: No, sorry, we generally do not quantify these numbers.

Moderator: The next question is from the line of Pawan from Viansh Ventures.

Pawan: Congratulations on the result. I just wanted to understand the margin mix. Basically, we have been talking about increasing the value-added products. But if you see the value-added products from FY'25 to FY'26, it is pretty much the same at 53% in the oil & offshore, crane and other value-added product USHA MARTIN

lines that we highlighted. And still we have got a margin improvement, and the gross profit per kg is largely the same in the last 2 years. So, the margin improvement that we have seen is only due to 'One Usha Martin'? I mean, where can we see the contribution of value-added products coming in margins?

Rajeev Jhawar: No. You see, even in Q4, we have seen the impact of the better product mix and our Wire Rope prices in the international market because of a better product mix, you can see it is over INR 300,000 per ton for the first time. This is as a result of a fairly healthy product mix.

And the gross margins have also improved over the last couple of years. And also, the impact of cost efficiency as a part of 'One Usha Martin', that has also helped us to improve our cost structure. So, it is a combination of the 'One Usha Martin' where we have tried to optimize our costs between all our various subsidiaries and the parent Company. And we have been able to also ensure that we have gradually moved to the value-added products. And in our export market, revenue which used to be around 55% from the international business, that has also gone up to 57%.

So, a combination of all this has helped us to improve the margins to the levels that we are achieving now and hopefully, we should be able to maintain this. Of course, it depends also on the product mix on a month-to-month and a quarter-to-quarter basis. But as Shreya mentioned, over 20% is the new benchmark we would like to hold for ourselves and try to see how we can continue to improve upon that.

Shreya Jhawar: And what you mentioned, the 53%, even if you look at within the value-added products, it is not that all of them would be at the same level. Fishing, for example, the share of fishing has decreased over a period of time, which is a specialized product, but it is lower value than, say, crane or mining or elevator, which has increased over time. Even within elevators, there are some which are more higher value realization products, there are some lower. Looking at this 53% in isolation probably is not the right way to look at it.

Rajeev Jhawar: So our focus is continuously to improving within the value-added through a better product mix. And our endeavor would be to continue to improve our margins, as well as, at the same time, volumes are equally important. So, it is going to be a balance between volume and value. And hopefully, we should be able to continue this journey as we have done in the last 2 to 3 years.

Pawan: Understood. And sir, just one more clarification on the margins since Q4 is now the benchmark of, say, around 22% margins. And going forward, we are seeing healthy growth in volumes. We are anticipating

healthy growth in
volumes. We are anticipating easy pass-throughs. We have 'One Usha Martin' which should continuously drive improvement. Why are we not expecting growth in margins? Why are we expecting a decrease from 22% to 20%? What is the link that I am missing?

Rajeev Jhawar: No, we are not saying that we are expecting to reduce it from 22% to 20%. Say for example, between last year and this year and even Q4 of last year to Q4 of this year, our LRPC sales are down by 20%. So, if the LRPC, which is the lowest margin part of our business, has seen volumes down by 20% that also improves the average of the EBITDA percentage or EBITDA per ton.

So, our endeavour would always be like we used to say earlier that we would like to see that we are between 18% and 19%. We would like to see that, of course, we would be happy if it continues at 20%, but it is not a straight line because it also depends on the mix between wires, LRPC and within rope also, how much is of those big projects with value-added or of the different categories of rope.

So, our endeavour would not be to bring it down, we would rather like to see it keep growing. But our minimum benchmark would be that we would like to see that push from 18% to 19%, at least to a minimum of 20%. And we would also like that we have a large capacity in the plant, we have put a large capex, so that our absolute EBITDA numbers also keep improving. It is just not the EBITDA per ton with the lower volume. We would like to also see that with all the fixed assets and the plants which we have created, the absolute EBITDA numbers also keep on improving. And that is something which we would also be also focusing on.

Pawan: Understood. I was just looking at the realization of each of the subsegments, -

Wire Rope, Wire & Strand and LRPC, - and correlating it to the steel prices reported by the Company. The value add really seems to have only been in the Wire Rope segment. The wire strand is almost 1.5x of the steel prices, in terms of realization. So, is it the right understanding to think that most of the value-add going is also expected in the Wire Rope segment?

Rajeev Jhawar: You are right. In the normal Wire and LRPC, we are able to pass on the increase of steel and maintain that ratio that you mentioned. But within the LRPC, we are looking at developing more and more plasticated LRPC where the delta would be much higher and different. As well as on the Wire side, the zinc aluminium wires, GALSTAR, those products are also at a higher value. But overall, most of the value addition comes from the rope side.

Pawan: Understood.

Moderator: The next question is from the line of Aman Kr Sonthalia from A K Securities.

Aman Kr Sonthalia: One question relating to Thailand. So, what is the update on that plant? And what are the products we will make there after the completion of modernization and expansion?

Rajeev Jhawar: The Thailand plant, we are in the process. As we mentioned, the Thailand plant is fully integrated plant starting from Wire rod, unlike Dubai and the UK, where we start from Wire and Strands. So, we have similar plants in Ranchi and Hoshiarpur. So, we are in the process of modernizing that plant and also USHA MARTIN

have increased capacity for some very specialized cords and for specialized elevator ropes.

So that would be our area of focus as well as focusing on getting more and more into the value-added products like fine cords for gondola ropes and for elevators and for port crane ropes. So, this process has started. I would say over the next 18 months, we will see a significant improvement in the operations of our Thailand plant.

Aman Kr Sonthalia: Okay.

Moderator: The next question is from the line of Kartikeya Pandey from 360 One Capital.

Kartikeya Pandey: I just wanted to understand, what is the current run rate of our sling segment and plasticated LRPC? And when you say 10% to 12% volume growth, is it including the Parvatmala project or are we keeping it aside as a potential positive surprise from that side in terms of volume?

Rajeev Jhawar: You see, when we talk about 10% to 12%, it is across all segments, whether it is increase in plasticated LRPC or increase in our GALSTAR or some projects on Parvatmala. For the Parvatmala project, there are a lot of activities going on. But I think the actual, real rope demand from this will come in probably 2 to 3 years, as the projects move to the final stages of implementation. So when we talk about 10% to 12%, it encompasses and covers all the different segments of our products. And overall, we look at the volume growth.

Kartikeya Pandey: The point I wanted to understand, is the quantum of extra demand that we can see, because addressable market, I know you had mentioned a few quarters back. But in terms of volume, will we be making a significant capex to address that because you mentioned that we are, I think, the only player with the certification that is required for such?

Rajeev Jhawar: See, as far as plasticated LRPC, currently, we do around 2,500 tons a year. That will, based on the various approvals, we are hoping to get soon, enable us to double our quantity of plasticated LRPC from 2,500 to 4,000, 4,500 tons. The capacity is there. We need to ensure that those orders come through, as these are project-based orders, but assuming those happen in the coming weeks, we should be able to push the volumes to almost double from the current level of 2,500 tons. And we have the capacity and capability created for that.

Similarly, on Parvatmala, I told you, that we have the capacity, we have the capability, but the execution of those orders, when those will be completed because those are all projects which take 6 to 7 years before we see these projects start getting commissioned. And the Wire Rope is the last part of the project. So those will happen, but it will take maybe a few years. And also, there are some delays as we talk to the various customers in terms of their approvals. So definitely, our capability is there. When these inquiries get USHA MARTIN converted and then supply comes, those will all add on to the volume of business.

Kartikeya Pandey: So you mentioned 12% market share in Europe. So, what I understand is that a large chunk of European market is for general purpose rope. So, in the market that you compete in, what is the market share in that segment like in the elevator, mining?

Rajeev Jhawar: Every market, whether it is Europe or US, there is a general-purpose rope market, there is a market for fishing ropes, for ports, for elevators, for oil & offshore for these bigger projects that we do. Our presence, as far as our Company is concerned, is more and more on the higher end of the products where we compete with companies like Bridon, Teufelberger, WireCo. And those are the markets which we want to expand and grow.

On the GP rope, we are present there and those volumes are also there. But mostly, we try to sell those through our own rigging shops, which are using these ropes to finish this. So, our increase in market share is more coming from those more premium sectors where we have worked over the last 2 to 3 years to build up capability, build up markets, get OEM approvals as well as new customers. So that is the area we want to grow. And there we see a fairly strong demand, and we expect that growth to be seen in the coming few quarters.

Kartikeya Pandey: Okay.

Moderator: Ladies and gentlemen, I would now hand the conference over to management for closing comments.

Rajeev Jhawar: First of all, my apologies for the disruption and inc

onvenience caused to all of you. We will make sure that it does not happen in the future. I would like to thank everyone for attending this call and showing interest in Usha Martin Limited. I hope we have been able to answer all your questions.

The Company is dedicated to creating value for all its stakeholders in a sustainable manner. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or to CDR India. Thank you once again for taking the time to join us on this call and see you all in the next quarter.

Moderator: Ladies and gentlemen, on behalf of Usha Martin Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.